October 19, 2026 **Yuanta Research**

2027
Stock market outlook and strategy

Ground zero



Yong-goo Kim Strategist
+822 3770 3521
yg.kim@yuantakorea.com

Sebin Kim Research Assistant
+822 3770 3646
yg.kim@yuantakorea.com

Yuanta Securities (Korea)

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Part 1

Stock market outlook and strategy



Yong-goo Kim

Strategist

+822 3770 3521
yg.kim@yuantakorea.com

Summary

2027 stock market outlook and strategy

We expect the KOSPI to trade within a 6,000-10,000pt range in 2027, with a weaker 1H followed by a stronger 2H, supported by another earnings leap at leading AI/semiconductor companies and the gradual normalization of multiples and investor flows. Our quarterly range estimates are 6,000-7,500pt for 4Q26 and 1Q27, 6,500-8,000pt for 2Q27, 7,500-9,000pt for 3Q27, and 8,500-10,000pt for 4Q27. Under our best-case scenario, the index could rise further to 12,000pt, while we see firm downside support at 6,000pt even under our worst-case scenario. Our projection for the KOSDAQ is 1,200pt under our base case and 1,550pt under our best case. We favor the KOSDAQ through 1H27 and the KOSPI in 2H27.

Optimism has vanished from the Korean equity market. First, overseas investors dismiss the series of quantum leaps in Korean exports and earnings as fleeting, unsustainable events, and continue to maintain neutral-to-underweight positions. Second, many domestic institutional investors, deeply discouraged by a market that remains unresponsive even as Samsung Electronics reported quarterly OP of over W100tn in 3Q26, have resorted to directionless, short-term trading in individual stocks in an effort to preserve investment returns. Third, wealth management and retail investors are also beginning to turn away from Korean equities, repeating the cynical refrain that “the smarter you are, the sooner you exit Korean stocks.” Yet, as the old saying goes, lotus flowers bloom in muddy water, and starting from the lowest point can offer ample room for gains and opportunities, even if the upside is limited.

We expect the KOSPI to reclaim 8,000pt in 1H27 and challenge 10,000pt in 2H27, supported by: 1) no more than two actual Fed rate hikes through end-2027, as below-trend economic growth in 2027 and core PCE inflation approaching the 2% target in the second half constrain further tightening, with the final hike in December under our base case; 2) a peak in risks surrounding high inflation, tight monetary policy, and elevated interest rates in 2027, followed by a return of the US 10-year Treasury yield to its fair-value range of 4.8–5.0%; 3) easing doubts over the sustainability of the capex supercycle among major Big Tech firms and hyperscalers as market interest rates decline and stabilize; 4) the normalization of valuation multiples across related value chain stocks as the Big 5 hyperscalers expand their businesses and revenue; and 5) explosive earnings growth at leading Korean AI/semiconductor companies, underpinned by LTA coverage in the 80% range. We adjust our earnings forecasts above the current consensus for the AI/semiconductor value chain, which offer high earnings visibility and low exchange-rate sensitivity, and below consensus for non-AI/semiconductor companies, which exhibit the opposite characteristics. Under our base case (a 10% upward adjustment for the AI/semiconductor value chain and a 10% downward adjustment for non-AI/semiconductor companies), KOSPI aggregate for both OP and net profit attributable to controlling shareholders could exceed W1,000tn in 2027, reaching W1,410tn and W1,160tn, respectively.

The primary concern lies in the perspective of foreign investors, who are skeptical of Korea’s semiconductor-led earnings momentum, despite ranking second globally in terms of 12-month-forward net profit, and continue to sell Korean stocks despite historical rock-bottom valuations. This stems from the negative perceptions of global asset allocators that: 1) question the sustainability of Korea’s semiconductor-driven earnings outlook; 2) favor Taiwanese semiconductor stocks over Korean peers in terms of AI exposure, regardless of earnings momentum; and 3) are reluctant to overweight the Korean market, given its extreme fund flows and volatility above China, France, Germany, and India.

A shift in the stance of foreign investors toward Korea’s semiconductor heavyweights would require: 1) the peaking-out of risks surrounding high inflation, aggressive tightening, and high interest rates; 2) an expansion in hyperscalers’ revenue and business area, thus improving the confidence in the sustainability of the capex supercycle; 3) stronger-than-expected earnings growth (validating the effectiveness of LTAs and showing that the current earnings quantum-leap is not a temporary phenomenon reliant solely on ASP hikes); 4) early capacity additions and yield improvement (proving that flexible volume expansion can preserve earnings in the event of pricing weakness); and 5) active shareholder return policies comparable to those of US Big Tech. Through 1H27, share prices, valuations, foreign investor flows for the semiconductor duo will likely remain subdued, limiting the KOSPI’s P/E upper bound to around 6.6x (-2.5SD), equivalent to 8,000pt. In 2H27, a gradual improvement in foreign investor sentiment towards Korean semiconductors should support a partial normalization of the KOSPI’s P/E, lifting its upper bound to 7.3x (-2.0SD), equivalent to 10,000pt.

For investors seeking to hedge the risks of high inflation, aggressive tightening, and elevated interest rates in 2027, portfolio/leading stock strategies will likely to diverge in three directions: 1) selecting stocks with strong earnings momentum and pricing power that historically outperformed the KOSPI during bear-flattening conditions or the subsequent transitions to bull steepening; 2) adopting a bifurcated, focused approach pairing oversold earnings plays in the AI/semiconductor value chain whose share prices were strongly correlated with sales growth at the Big 5 hyperscalers, and safe-haven stocks immune to earnings uncertainty in the non-AI/semiconductor value chain whose 2027 worst-case (worst earnings estimate) is better than their 2026 best-case (best earnings estimate); and 3) preemptively positioning in small- to mid-cap earnings leaders poised for inclusion in the upcoming KOSDAQ Select Index. Leading sector alternatives for 2027 that align with this framework are semiconductors, IT electronics (rechargeable battery), IT hardware, shipbuilding, machinery, chemicals, and bio. Our 2027 top-picks are Samsung Electronics, SK Hynix, Samsung Electro-Mechanics, KB Financial Group, Doosan Enerbility, Samsung SDI, Celltrion, LS Electric, S-Oil, LIG Defense & Aerospace, Hyundai E&C, HD Hyundai Marine Solution, Daeduck Electronics, Intellian Technologies, and Tomocube.

1) 2027 KOSPI outlook: 6,000-10,000pt

- **We expect the KOSPI to trade within a 6,000-10,000pt range in 2027, with a weaker 1H followed by a stronger 2H,supported by another leap in earnings at leading AI/semiconductor companies and the gradual normalization of valuation multiples and investor flows.**
- **Our quarterly range estimates are 6,000-7,500pt for 4Q26 and 1Q27, 6,500-8,000pt for 2Q27, 7,500-9,000pt for 3Q27, and 8,500-10,000pt for 4Q27.**
- The upper bound of our target range is based on 2027E KOSPI net profit of W1,160tn (W949.3tn from the AI/semiconductor value chain and W210.1tn from the non-AI/semiconductor value chain) and a target P/E of 7.3x (+1.0σ; 5.11x as of Oct 8).
- The lower bound is based on 2027E KOSPI net profit of W960tn (W776.7tn from the AI/semiconductor value chain and W186.7tn from the non-AI/semiconductor value chain) and a target P/E of 5.1x (-1.0σ).
- In the best-case scenario, the KOSPI could climb further to 12,000pt. Even in the worst-case scenario, we see firm downside support at 6,000pt.

KOSPI targets under 2027 net profit and P/E scenarios

	2027E net profit (companies with consensus estimates, Wtn)	Target P/E (x)	Target KOSPI (upper bound, pt)
Best case	1,270 (AI/semiconductor value chain: 20% above current consensus; non-AI/semiconductor value chain: in line with current consensus)	8.5 (+2.0σ)	12,000
Base case	1,160 (AI/semiconductor value chain: 10% above current consensus; non-AI/semiconductor value chain: 10% below current consensus)	7.3 (+1.0σ)	10,000
Worst case	960 (AI/semiconductor value chain: 10% below current consensus; non-AI/semiconductor value chain: 20% below current consensus)	5.1 (-1.0σ)	6,000

Note: AI/semiconductor value chain comprises semiconductors, IT hardware, IT appliances, and machinery under the WI26 sector classification
Source: FnGuide Quantiwise, Yuanta Securities

2027 KOSPI target estimates

2027 KOSPI target estimation model

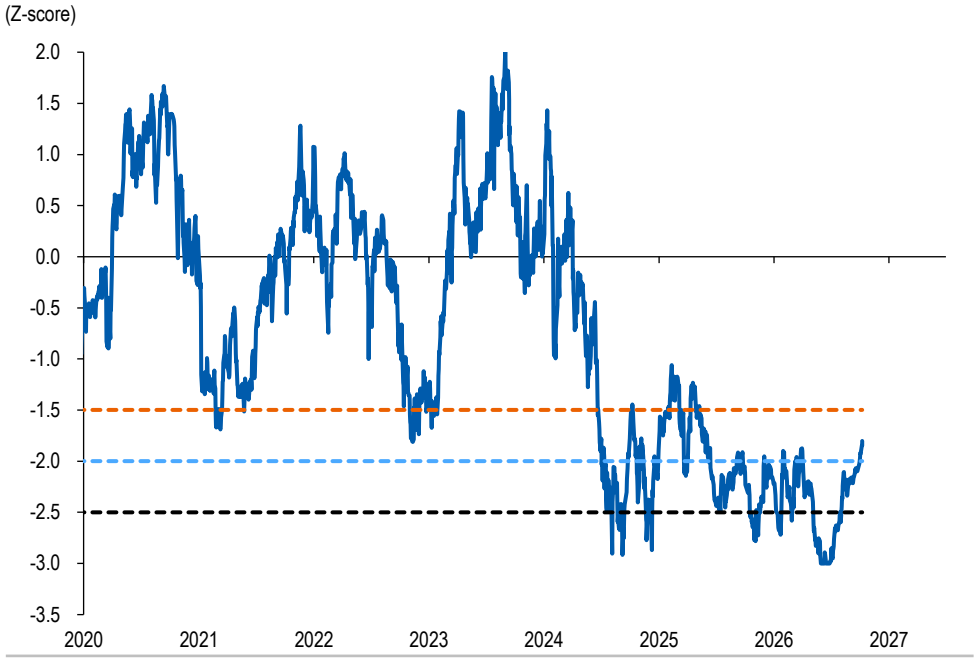
		KOSPI 12-month-forward P/E (x; 5.11x as of Oct 8)						
	KOSPI net profit scenario	8.5 (+2.0σ)	7.9 (+1.5σ)	7.3 (+1.0σ)	6.8 (+0.5σ)	6.2 (20-week MA)	5.7 (-0.5σ)	5.1 (-1.0σ)
2027E KOSPI net profit (Wtn)	20% above current consensus	12,881	12,077	11,273	10,469	9,666	8,862	8,058
	15% above current consensus; broadly consistent with best-case scenario	12,371	11,601	10,830	10,060	9,290	8,519	7,749
	10% above current consensus	11,861	11,124	10,387	9,650	8,914	8,177	7,440
	5% above current consensus	11,351	10,648	9,944	9,241	8,538	7,834	7,131
	Quantiwise consensus as of Oct 8; broadly consistent with base-case scenario	10,841	10,171	9,501	8,832	8,162	7,492	6,822
	5% below current consensus	10,331	9,695	9,058	8,422	7,786	7,149	6,513
	10% below current consensus	9,821	9,218	8,616	8,013	7,410	6,807	6,204
	15% below current consensus; broadly consistent with the worst-case scenario	9,311	8,742	8,173	7,603	7,034	6,464	5,895

Source: FnGuide Quantiwise, Yuanta Securities

2027 KOSDAQ outlook: base case 1,200pt, best case 1,550pt

- **We project an upper target for the KOSDAQ in 2027 of 1,200pt under the base-case scenario and 1,550pt under the best-case scenario.**
- Limited earnings visibility and reliability make the effectiveness of conventional, fundamentals-based index forecasts uncertain for the KOSDAQ. We therefore project the KOSDAQ's trajectory through its statistical relationship with the KOSPI, focusing on the correlation between the two indices' absolute levels.
- The base case assumes a KOSPI upper target of 10,000pt and stabilization of the three-year Z-score of the KOSDAQ/KOSPI relative strength ratio at around -2.0σ.
- The best case assumes the same KOSPI base-case upper target of 10,000pt, with a further improvement in the three-year Z-score of the KOSDAQ/KOSPI relative strength ratio to -1.5σ.
- Further gains in the KOSDAQ are likely to be driven by: 1) a gradual normalization of the Korean stock market in 2027; 2) the launch of the KOSDAQ Select Index in 2H27; and 3) increased market participation by pension funds and the National Growth Fund.

KOSDAQ/KOSPI relative strength: three-year rolling Z-score



Source: FnGuide Quantiwise, Yuanta Securities

2027 KOSDAQ upper targets by KOSDAQ/KOSPI relative strength Z-score, assuming KOSPI base-case upper target of 10,000pt

	KOSDAQ/KOSPI relative strength Z-score	KOSDAQ upper target (assuming a KOSPI upper target of 10,000pt)
Best case	-1.5	1,550
Base case	-2.0	1,200
Worst case	-2.5	850

Source: FnGuide Quantiwise, Yuanta Securities

Korean equities: optimism fades, but lotus flowers bloom in muddy water

- **Optimism has vanished from the Korean equity market for several reasons. First, overseas investors dismiss the series of quantum leaps in Korean exports and earnings as fleeting, unsustainable events, and continue to maintain neutral-to-underweight positioning. Second, many domestic institutional investors, deeply discouraged by a market that remains unresponsive even as Samsung Electronics reported quarterly OP of over W100tn in 3Q26, are drifting into a struggle to preserve returns through short-term trading in individual stocks without a clear direction. Third, wealth management and retail investors are also beginning to turn away from Korean equities, once again repeating the cynical refrain that "the smarter you are, the sooner you exit Korean stocks."**
- This reflects the combined effects of: 1) recurring domestic and global cyclical disruptions since the COVID-19 pandemic in 2020, with these disruptions developing into more persistent crises and shocks following the start of Trump's second term; 2) a chain of intensifying risks from elevated inflation, tight monetary policy, and high interest rates fueled by this uncertainty; 3) the resulting mid- to long-term skepticism toward the AI/semiconductor capex supercycle; and 4) the prevailing view among domestic and overseas investors that Korean equities are inevitably the weakest link in this vicious cycle.
- Yet, lotus flowers bloom in muddy water. It is worth remembering that starting from the lowest point can offer ample room for gains and opportunities, even if the upside is limited.

Major domestic and global cyclical shocks that reshaped the investment environment following the 2020 pandemic

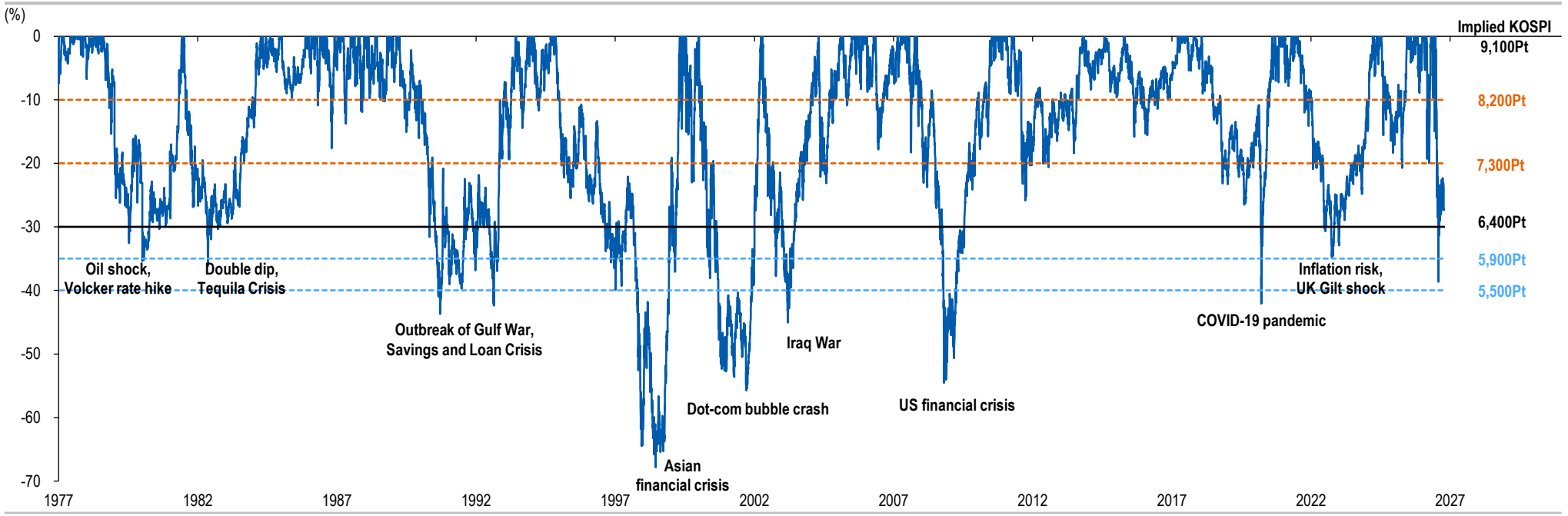
	Major cyclical shocks
2020	COVID-19 pandemic; global economic shutdown
2021	Supply chain shortages; speculative frenzy in meme stocks
2022	Surging inflation; aggressive monetary tightening; Russia–Ukraine war; UK liability-driven investment (LDI) crisis
2023	US regional banking distress (SVB crisis); collapse of Credit Suisse (CS)
2024	Growing concerns over concentration in AI stocks; summer de-risking; heightened yen carry trade unwind risk; President Yoon's declaration of martial law
2025	Escalation of Trump's tariff and trade risks ("Liberation Day"); China's DeepSeek shock; currency debasement fears ("debasement trading"); ruling to remove Yoon from office and Lee Jae-myung's inauguration
2026	US–Israel–Iran war; oil and logistics shocks; concerns over AI monetization and disruption in software industry; private credit stress; unwinding of AI positions and volatility shocks originating from Korean leveraged ETFs
2027 (?)	Intensifying political and policy conflicts between US Democrats and Republicans; persistent Middle East geopolitical uncertainty (trilemma); prolonged Russia–Ukraine war and spillovers into the eurozone; potential resurgence of US–China trade friction; debate over AI doomsday scenarios

Source: Yuanta Securities

Korean equities in 2027: starting again from “ground zero,” with room to rise even if upside is limited

- Even allowing for the need to remain vigilant against latent uncertainties in 2027, we believe the KOSPI has secured firm downside support near 6,000pt.
- During the July panic, the KOSPI passed through a major historical bottom, when its maximum drawdown (MDD) from its two-year high reached between -35% (around 5,900pt) and -40% (around 5,500pt). Repeated fluctuations in August and September then confirmed robust downside support near an MDD of -30% (around 6,400pt), even in the face of extreme uncertainty.
- Unless domestic and global political, policy, and geopolitical uncertainties, together with high inflation, tight monetary policy, and high interest rates, trigger a rapid and devastating deterioration in the AI technological revolution and capex supercycle, culminating in systemic risks comparable to the 1997 Asian financial crisis, the 2000 dot-com crash, or the 2008 global financial crisis, downside support near 6,000pt should remain intact even in the worst case.
- Although the ultimate upside target may vary considerably as conditions change, the fact that the 2027 equity market is starting again from “ground zero”—a starting point with stock prices, valuation multiples, and investor positioning at their lowest levels—highlights the opportunities and possibilities for investment strategy.

KOSPI maximum drawdown (MDD) from recent two-year high

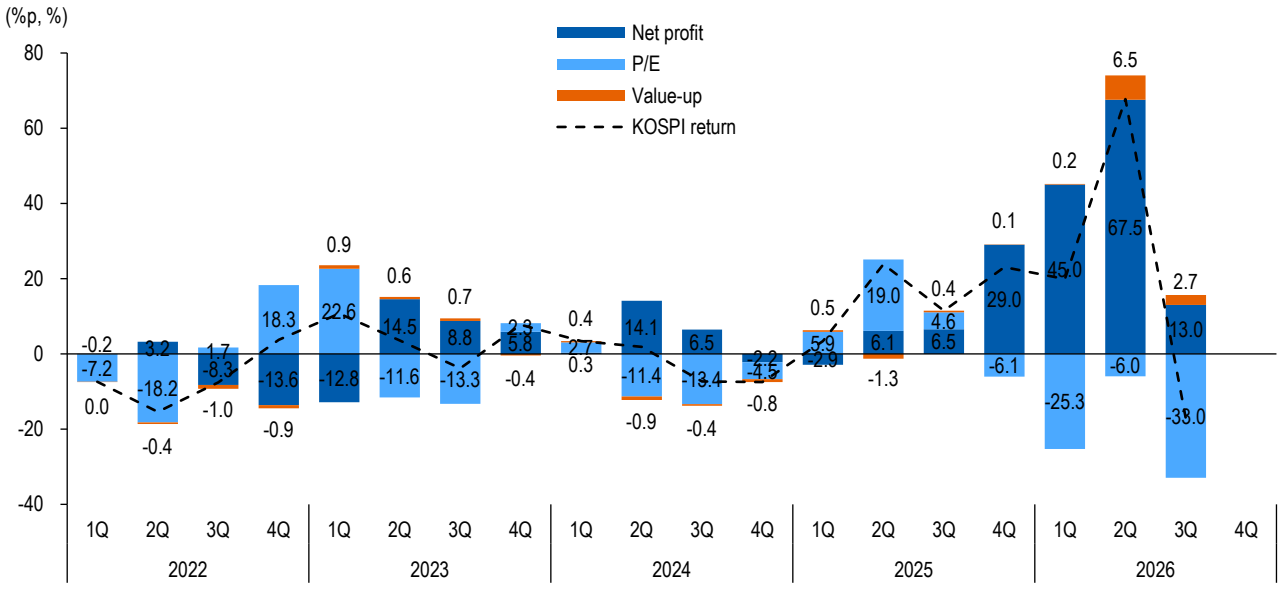


Source: LSEG Workspace, Yuanta Securities

1H27 KOSPI upside potential of +25% vs downside risk of -5%

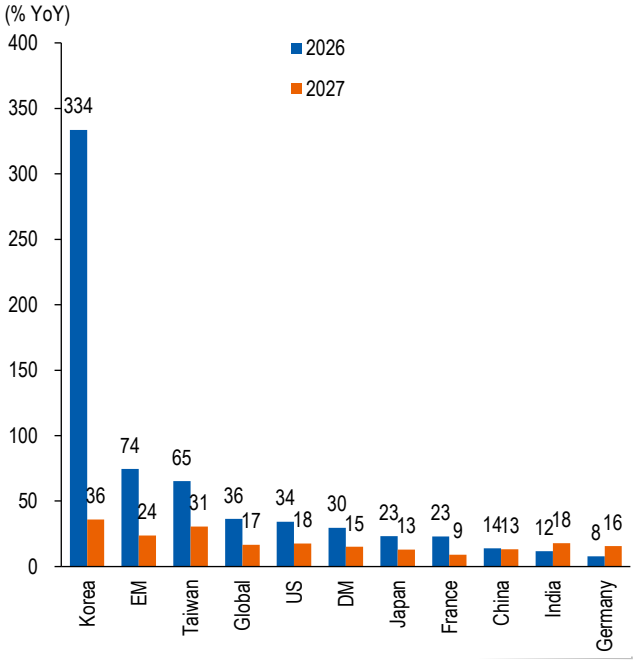
- **Through 1H27, we expect the KOSPI's upside to be at least +25% (based on the upper-end forecast of 8,000pt) compared with a downside risk of no more than around -5% (based on the lower-end forecast of 6,000pt). Maintaining a bearish stance may help limit or avoid a 5% loss, but failing to shift to a bullish stance could entail an opportunity cost of 25%.**
- We expect the KOSPI to reclaim 8,000pt in 1H27 and challenge 10,000pt in 2H27, supported by: 1) no more than two actual Fed rate hikes through end-2027, as below-trend economic growth in 2027 and core PCE inflation approaching the 2% target in the second half constrain further tightening, with the final hike in December under our base case; 2) a peak in high inflation, tight monetary policy, and high interest rate risks in 2027, followed by a return of the US 10-year Treasury yield to its fair-value range of 4.8–5.0%; 3) easing doubts over the sustainability of the capex supercycle among major big tech companies and hyperscalers, as market interest rates decline and stabilize; 4) normalization of valuation multiples across related value chains as the Big 5 hyperscalers expand their businesses and revenue; and 5) explosive earnings growth at leading Korean AI/semiconductor companies, underpinned by LTA coverage in the 80% range.

Quarterly KOSPI return contributions



Source: FnGuide Quantiwise, Yuanta Securities

Net profit growth by major country based on MSCI indices



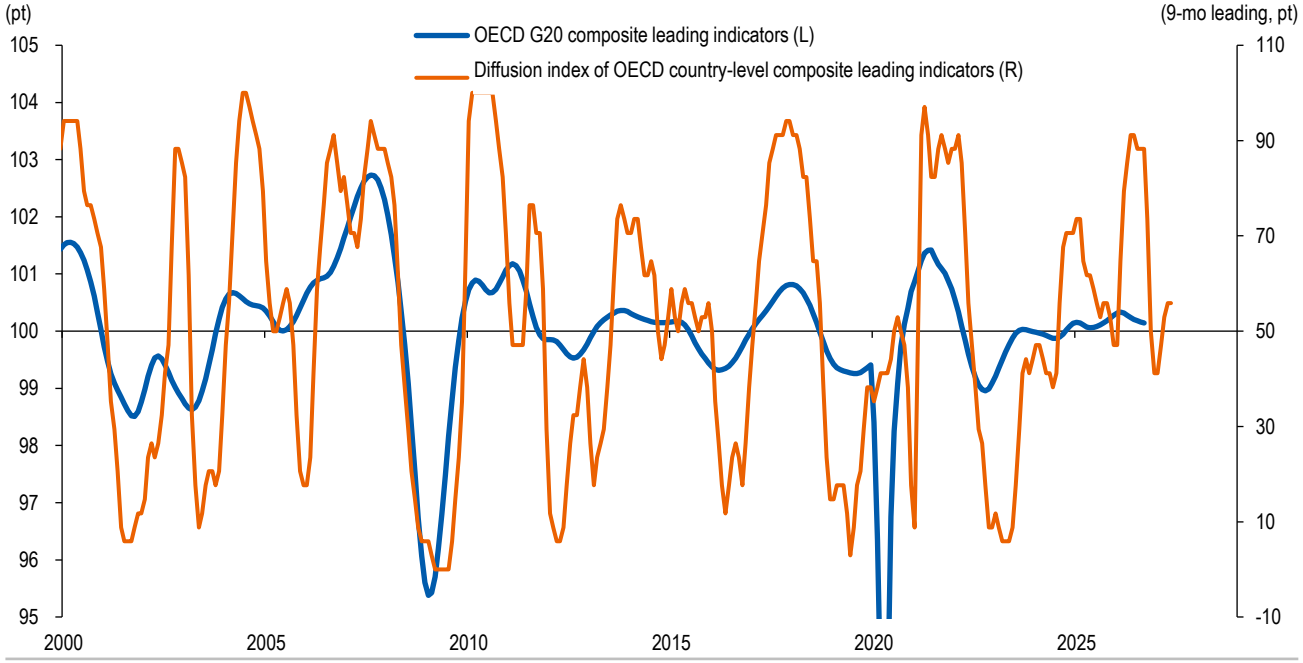
Note:: as of the Oct 9 closing prices

Source: LSEG Workspace, Yuanta Securities

2027 global macro environment: from quasi-Goldilocks to immaculate-Goldilocks

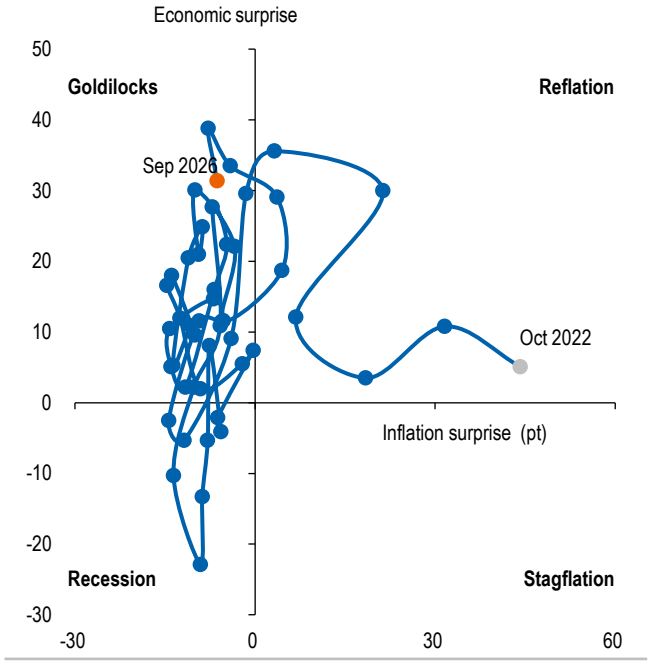
- **We expect the global macro environment to navigate an uneven quasi-Goldilocks phase from 4Q26 through 1H27 before settling into immaculate-Goldilocks in 2H27.**
- The diffusion index of country-level composite leading indicators, which leads the OECD G20 composite leading indicator by around nine months, suggests that domestic and global economic activity may briefly lose momentum through end-2026 amid high inflation, tight monetary policy, and high interest rates, before resuming its upward trajectory in 2027.
- We map the global and major-country macro environments into four quadrants from an investment strategy perspective, using the Citi Economic Surprise Index on the Y-axis and the Citi Inflation Surprise Index on the X-axis. In 2026, the global macro environment shifted from immaculate-Goldilocks in 1Q to reflation in 2Q, followed by quasi-Goldilocks in 3Q and 4Q to date.
- With the AI/semiconductor capex supercycle supporting continued economic expansion in 2027, recession and stagflation remain distant prospects. Evolving uncertainties surrounding high inflation, tight monetary policy, and high interest rates will determine whether the 2027 macro environment tilts toward Goldilocks or reflation. If these risks peak, however, Goldilocks becomes the much more likely outcome.

OECD G20 and US composite leading indicators vs diffusion index of country-level composite leading indicators (leading by three quarters)



Source: LSEG Workspace, Yuanta Securities

Four quadrants of the global macro environment

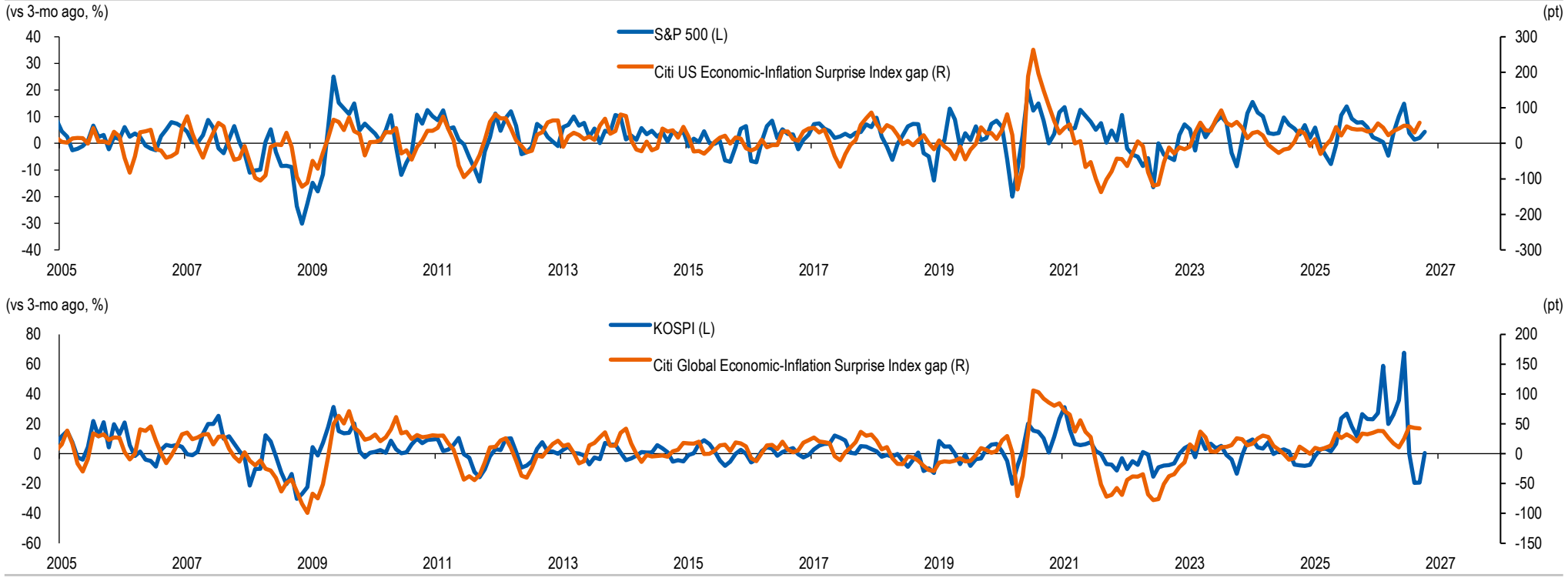


Source: LSEG Workspace, Yuanta Securities

Positive and widening CESI–CISI gap should continue to support equities in 2027

- **We expect the gap between the Citi Economic Surprise Index (CESI) and the Citi Inflation Surprise Index (CISI) to remain positive and widen further in 2027. Equities can rise in a reflation environment as well as under Goldilocks conditions.**
- Domestic and global equity indices move in response to changes in global and country-level growth and inflation momentum, measured by the gap between the CESI and CISI.
- US economic growth will inevitably be at or below trend in 2027. Korea's AI/semiconductor exports should maintain their powerful momentum, although non-AI/semiconductor exports may face a more challenging path.
- Nevertheless, risks from high inflation, tight monetary policy, and high interest rates are likely to peak in 1H27. Concerns over Fed rate hikes until end-1H27 should give way to expectations of rate cuts in 2H27.

(Top) S&P500 vs Citi US Economic – Inflation Surprise Index gap; (bottom) KOSPI vs Citi Global Economic – Inflation Surprise Index gap

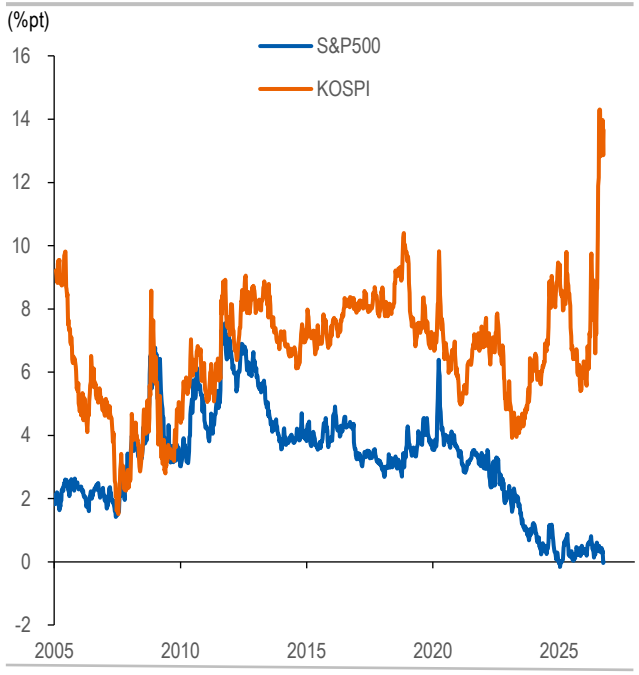


Source: LSEG Workspace, Yuanta Securities

Yield gaps and ERP at historical lows send strong signal to turn bullish

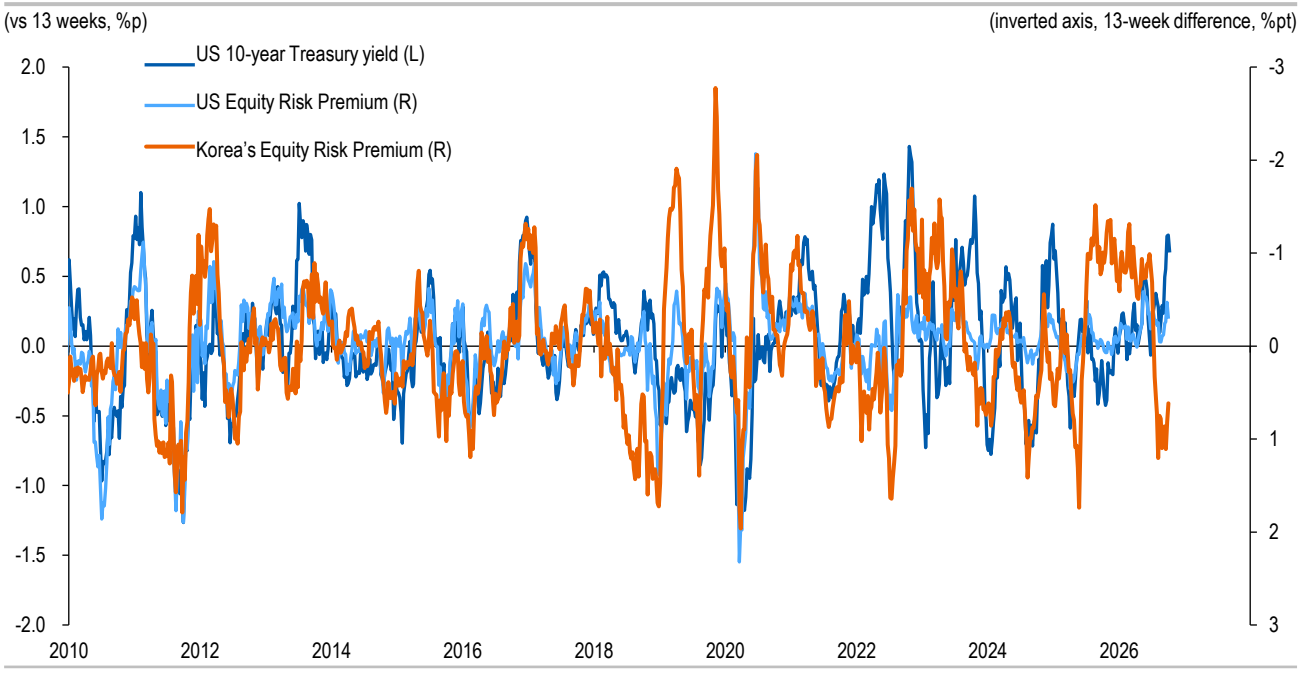
- As of Oct 8, the S&P 500 earnings yield gap (the reciprocal of its 12-month-forward P/E minus the US 10-year Treasury yield) stood at just -0.006%p. By contrast, the KOSPI earnings yield gap stood at a record high of +13.7%p.
- The US equity risk premium (ERP), which has a strong inverse correlation with the US 10-year Treasury yield, has fallen to 1.38% based on ASR estimates, its lowest level since 2000.
- Viewed in isolation, these indicators suggest that markets have entered a “death of equities” phase, in which the expected excess return from equities over US Treasuries is negligible or even negative from an asset allocation perspective.
- However, this reflects a combination of excessive pricing-in of high inflation, tight monetary policy, and high interest rate risks, alongside a broad underestimation of the domestic and global AI/semiconductor industry outlook in terms of stock prices and valuation multiples.
- **From an investment strategy perspective, exceptionally high yield gaps and equity risk premiums warrant caution over a potential stock market bubble bursting, while exceptionally low readings signal the need to accelerate a shift to a bullish stance.**

S&P500 vs KOSPI yield gap (earnings yield gap)



Source: LSEG Workspace, Yuanta Securities

Earnings contributions and market capitalization weights of major countries in the MSCI AC World Index

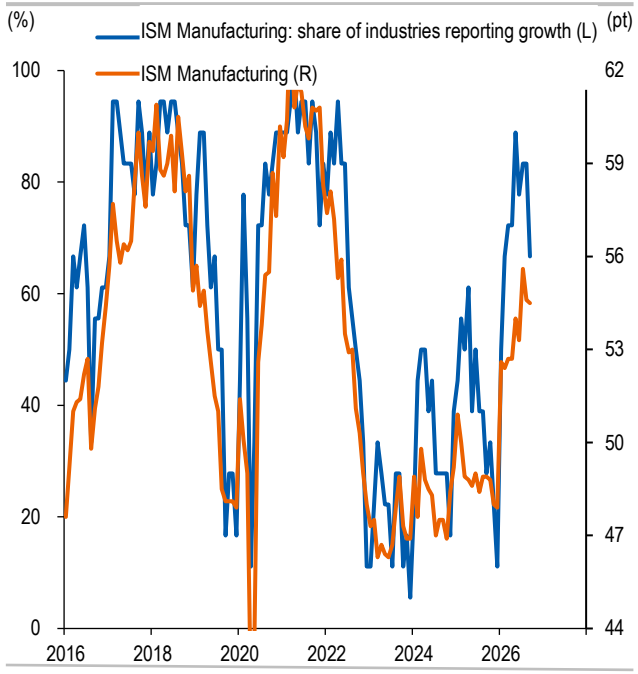


Source: LSEG Workspace, Yuanta Securities

Elevated inflation, tight policy, and high rate risks likely to peak in 1H27

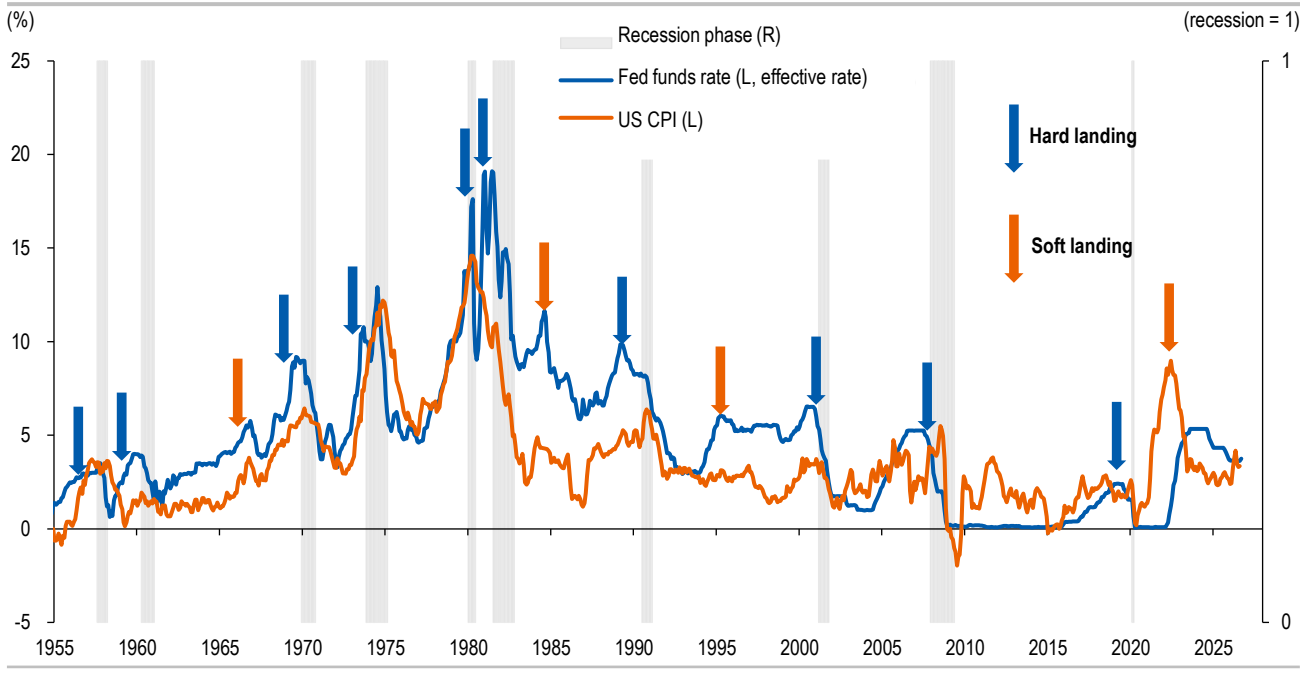
- **Contrary to current market expectations of at least three Fed rate hikes through end-2027, we expect no more than two actual hikes, with December marking the final hike under our base case.**
- **A peak in high inflation, tight monetary policy, and high interest rate risks in 1H27 should bring the US 10-year Treasury yield back to 4.8-5.0% in 2H27, helping unwind the extreme undervaluation of AI/semiconductor stocks and Korean equities.**
- 1) The impact of tariffs is likely to fade gradually unless tariff and trade friction risks resurface. 2) WTI crude prices are likely to ease from the current $93-114/bbl range (+1SD to +2SD) toward $72-93/bbl in 2027 (historical average to +1SD), as constraints on President Trump tighten following a midterm Democratic election victory and efforts to resolve the Middle East conflict ramp up.
- 3) Below-trend economic growth, signaled by weakening labor market conditions in both qualitative and quantitative terms, together with a sustained decline in shelter inflation, should bring core PCE inflation close to the Fed's 2% target in 2H27. 4) Our view also reflects the historical record. Of the 14 Fed rate hike cycles aimed at combating inflation since World War II, only four successfully stabilized the economy.

ISM Manufacturing PMI and changes in share of industries reporting growth in the ISM Manufacturing Survey



Source: LSEG Workspace, Yuanta Securities

Case studies of hard and soft landings during Fed rate hike cycles since World War II

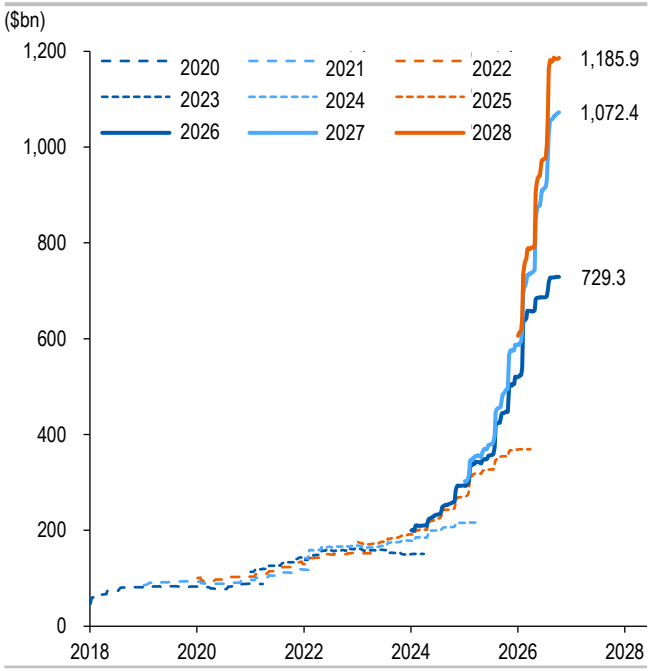


Source: LSEG Workspace, Yuanta Securities

Focus on outlook for AI/semiconductors and reversal of undervaluation in 2H27

- **Capex competition among major Big Tech firms/hyperscalers in 2027 will likely persist in a cutthroat, all-out battle until the ultimate winners of the AI technological revolution emerge. Corporate management strategy will likely be concentrated on aggressive business and revenue expansion through new service launches including Meta's AI agent "Muse" and OpenAI's "dots" to cushion capex burdens.**
- In 1H27, the peak-out of risks associated with high inflation, aggressive tightening, and high interest rates combined with expanding top lines at Big Tech/hyperscalers should alleviate market anxieties over financial burdens and financing bottlenecks from surging capex, and raise expectations for future returns on investment and sales conversion, contributing to the gradual normalization of valuation multiples for major domestic and global AI semiconductor value chain stocks in 2H27.
- Downside support for share prices and multiples across the Korean AI/semiconductor value chain led by Samsung Electronics and SK Hynix is highly likely to drift upward in response to this macro shift in 2027. However, a recovery in share prices and fund flows to their 1H26 highs will require more than the downward stabilization of market rates and an expansion in Big Tech revenue. It will also depend on greater visibility and confidence in the sustainability of the current earnings supercycle.
- Investors should consider rotating into semiconductor materials, components and equipment, IT hardware, IT electronics (ESS), and machinery (power equipment, etc.) in 1H27, before pivoting back to a direct core holding strategy in Samsung Electronics and SK Hynix in 2H27.

Annual capex trend of US Big 5 hyperscalers



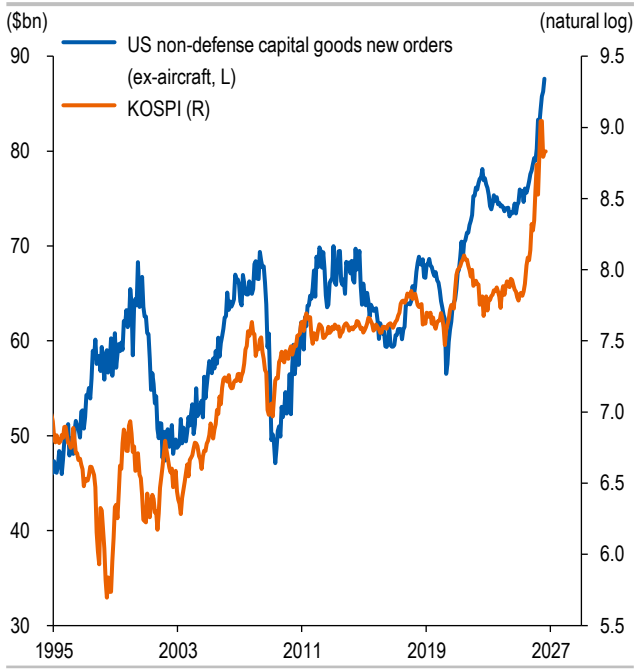
Source: Bloomberg, Yuanta Securities

US non-farm labor productivity and recession periods



Source: LSEG Workspace, Yuanta Securities

US non-defense capital goods new orders and KOSPI

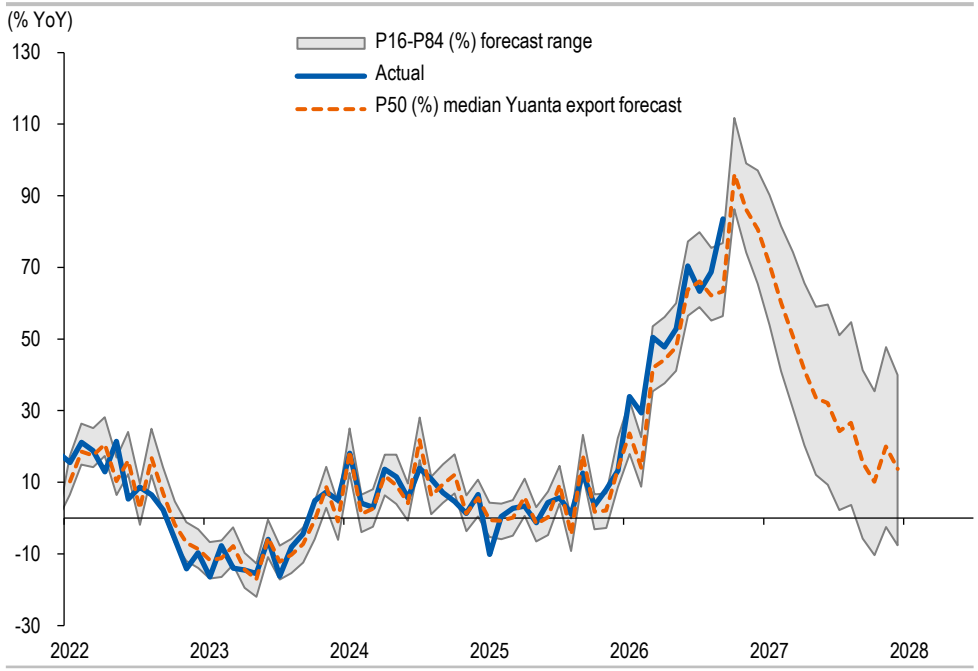


Source: LSEG Workspace, Yuanta Securities

AI/semiconductor supercycle to drive exports past $1tn in 2026 and toward $1.5tn in 2027

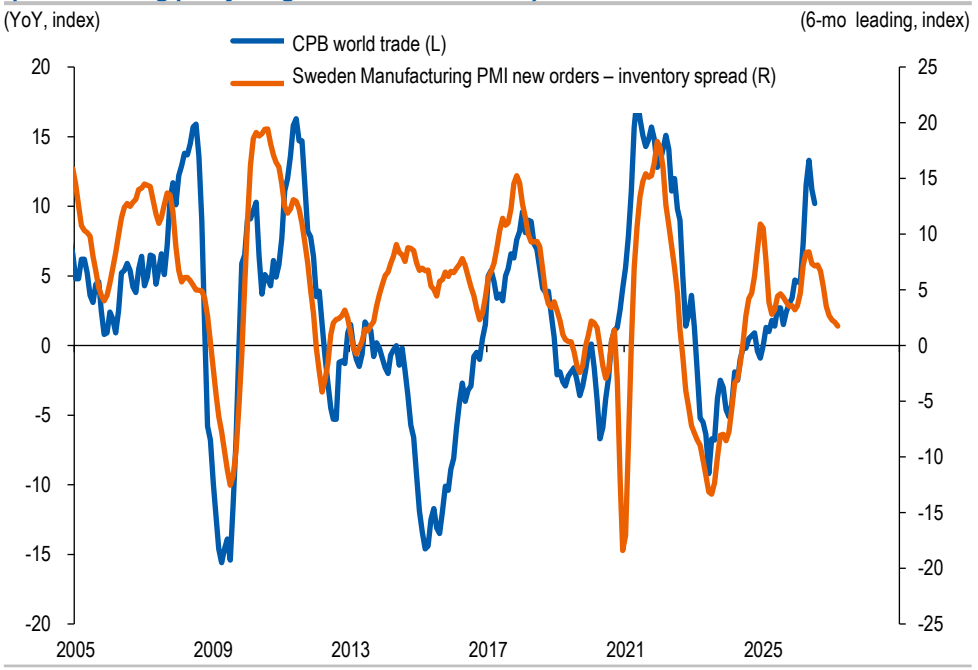
- **The historic upward momentum of Korean exports is set to continue again in 2027 following 2026. While 2026 marked the first year of exports surpassing $1tn, 2027 will likely represent the start of the country's push toward $1.5tn.**
- According to our economist Ho-jung Kim, exports will expand by 29.6% YoY to $1,516.2bn in 2027 (2026E exports to rise 64.9% YoY to $1,169.8bn).
- The K-shaped divergence in exports and earnings between AI/semiconductors and non-AI/semiconductors will likely widen in 2027, as signaled by the recent spread between Sweden's Manufacturing PMI new orders and inventory.
- Korea's non-semiconductor exports should continue to grow, rising from $656.4bn in 2026 (January-September cumulative $474.1bn), up 22.5% YoY, to $735.5bn in 2027, up 12.1% YoY.
- Semiconductor exports will likely surge from $510.4bn (January-September cumulative $340.4bn) in 2026 (+194.2% YoY) to $747bn in 2027 (+46.3% YoY), surpassing total non-semiconductor export volume.

Yuanta export forecast for Korea: 2027 exports projected at $1,516.2bn, up 29.6% YoY



Source: LSEG Workspace, Yuanta Securities

CPB world trade and Sweden Manufacturing PMI new orders – inventories spread (2-quarter leading proxy for global trade conditions)

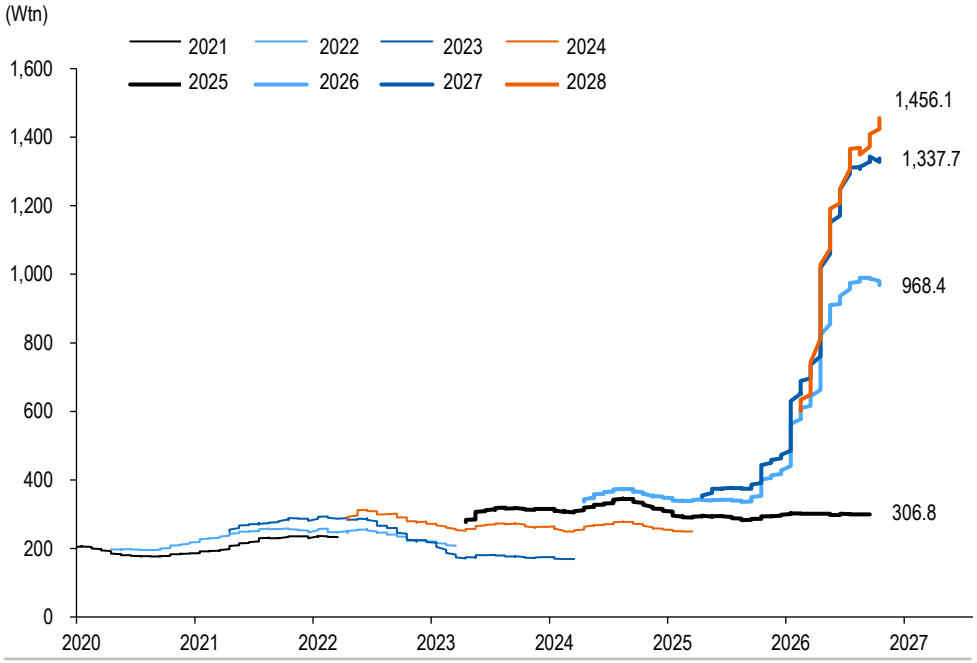


Source: LSEG Workspace, Yuanta Securities

KOSPI to enter W1,000tn era for both OP (W1,410tn) and NP (W1,160tn) in 2027

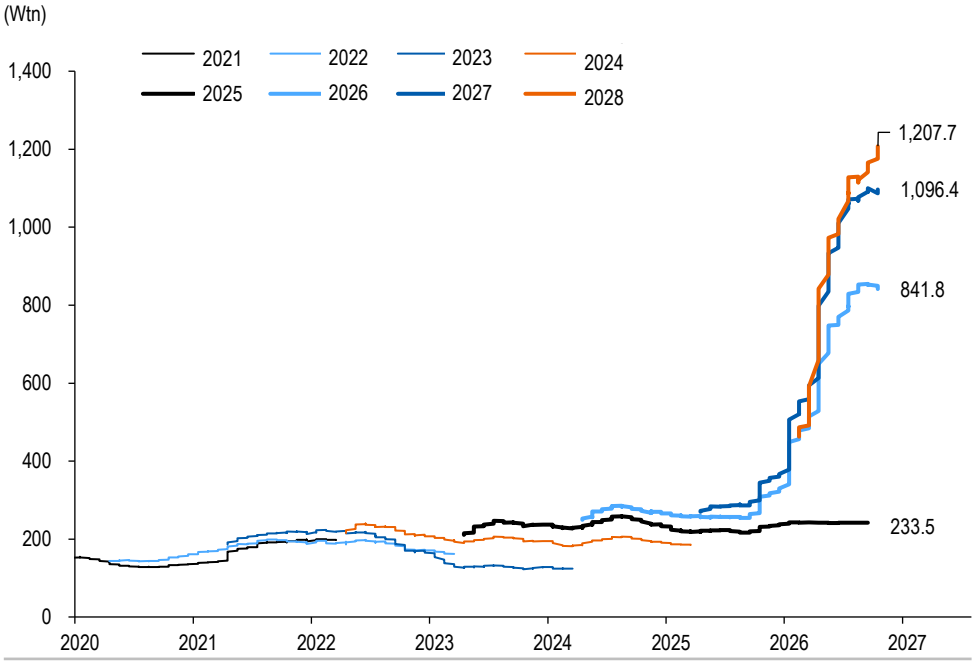
- As of Oct 8, consensus for 2027 KOSPI OP stands at W1,337.7tn (+38.1% YoY), with W1,049tn for the AI/semiconductor value chain and W289tn for non-AI/semiconductor), and that for net profit at W1,096.4tn (+30.3% YoY). The market is focusing on the likelihood of the KOSPI entering the W1,000tn era for both OP and net profit attributable to controlling interest (NPCI) in 2027.
- For 2028, consensus projects KOSPI OP at W1,456.1tn (+10.1% YoY) and NP at W1,207.7tn (+8.8% YoY), strengthening expectations for prolonged earnings growth.
- We revise our earnings forecasts. AI/semiconductor value chain stocks with high visibility for industry conditions and earnings and low forex sensitivity are adjusted above consensus, while non-AI/semiconductor sectors are revised below consensus.
- **1) Best case (AI/chip value chain +20%, non-AI/chip at current consensus): revised 2027 KOSPI OP of W1,550tn and NPCI of W1,270tn**
  2) Base case (AI/chip value chain +10%, non-AI/chip -10% downgrade): revised 2027 KOSPI OP of W1,410tn and NPCI W1,160tn
  3) Worst case(AI/chip value chain -10%, non-AI/chip -20% downgrade): revised 2027 KOSPI OP W1,180tn and NPCI W960tn

Annual trends in KOSPI OP consensus (as of Oct 8)



Source: FnGuide Quantiwise, Yuanta Securities

Annual trends in KOSPI net profit consensus (as of Oct 8)



Source: FnGuide Quantiwise, Yuanta Securities

Global investors remain skeptical of earnings momentum underpinning Korea's position as world's second-largest earnings contributor, led by semiconductors

- **As of Oct 9, MSCI Korea ranked 6th globally by market cap within the MSCI ACWI, with a market cap of $2.7tn and index weighting of 2.6%. However, Korea's 12-month-forward net profit is the second highest at $0.55tn, trailing only the DM leader, the US ($3.46tn), and surpassing Japan ($0.35tn), emerging markets including China ($0.24tn), and Taiwan ($0.19tn).**
- The gap between Korea's earnings contribution within MSCI ACWI (8.6%) and market cap weight (2.6%) stands at +5.9%p, representing the widest undervaluation margin across global stock markets. Based on market consensus, Korea's earnings contribution is expected to continue expanding in the mid- to long term from 7.6% at end-2026 (net income $0.42tn) to 8.8% at end-2027 ($0.57tn) and 8.1% at end-2028 ($0.60tn).
- MSCI Korea's 12-month-forward P/B (currently 1.56x) flipped from an 8.7% premium over EM in early June to a -19.0% discount today, trading at an extreme, recessionary discount of -55.8% relative to DM.
- **This stems from the negative perceptions of global asset allocators that: 1) place little faith in the mid- to long-term earnings forecasts for the semiconductor-driven Korean stock market; 2) regard Taiwanese semiconductor players as more attractive than Korean firms in terms of playing the AI theme, irrespective of earnings momentum; and 3) are reluctant to overweight the Korean market, characterized by extreme fund flows and volatility, relative to China, France, Germany, and India.**

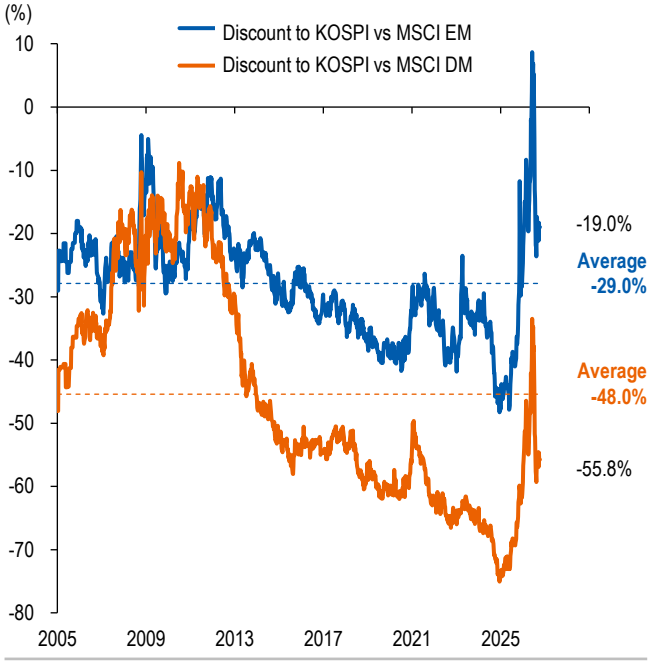
Top 15 countries by earnings contributions and market cap weight in MSCI AC World

Country		Market	Market cap ($tn)	Inclusion weight (B, %)	12-mo-fwd net profit ($tn)	Earnings contribution (A, %)	Gap (A – B, %p)
1	US	DM	65.9	64.5	3.5	54.4	-10.1
2	Japan	DM	5.2	5.1	0.3	5.4	0.3
3	Taiwan	EM	3.5	3.4	0.2	3.1	-0.4
4	UK	DM	3.1	3.0	0.3	4.0	1.0
5	Canada	DM	3.0	2.9	0.2	3.0	0.1
6	Korea	EM	2.7	2.6	0.5	8.6	5.9
7	China	EM	2.4	2.4	0.2	3.8	1.4
8	Swiss	DM	2.0	2.0	0.1	1.9	-0.1
9	France	DM	2.0	2.0	0.2	2.4	0.4
10	Germany	DM	1.9	1.8	0.1	2.1	0.3
11	Australia	DM	1.4	1.3	0.1	1.2	-0.1
12	India	EM	1.3	1.3	0.1	1.1	-0.2
13	Netherlands	DM	1.2	1.2	0.1	1.0	-0.3
14	Spain	DM	0.9	0.8	0.1	1.1	0.2
15	Italy	DM	0.7	0.7	0.1	0.9	0.2

Note: as of the Oct 9 closing prices

Source: LSEG Workspace, Yuanta Securities

P/B discounts of MSCI Korea vs MSCI EM and DM



Source: LSEG Workspace, Yuanta Securities

Normalization of valuations requires shift in foreign perspective on Samsung Electronics/SK Hynix

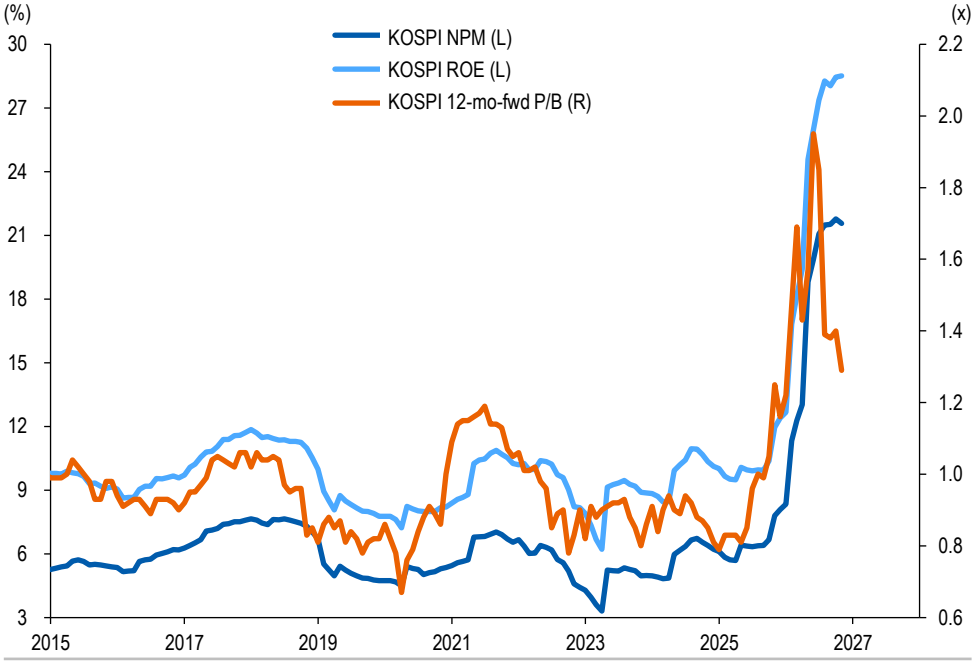
- The KOSPI's 12-month-forward P/E (I/B/E/S) has tumbled to an all-time low of 5.6x (-3SD level). Forward P/B is also low at 1.3x, despite ROE and net profit margin suggesting a fair value of 2.0x.
- The prerequisite for a normalization of Korean stock market share prices, valuations, and fund flows is a reversal in global investor sentiment toward Samsung Electronics and SK Hynix.
- To change foreign investor perceptions toward the semiconductor heavyweights, we would need to see: 1) a peak-out of risks associated with high inflation, aggressive tightening, and high interest rates; 2) an expansion in hyperscalers' revenue and business area (improving the credibility/visibility of the capex supercycle); 3) earnings growth above market expectations (confirming through LTAs that the current leap in profits is structural rather than a price-driven blip); 4) early capacity additions and yield improvements (proving that flexible volume expansion can preserve earnings if prices soften); and 5) aggressive shareholder return policies comparable to US Big Tech.
- **Through 1H27, we expect the KOSPI's P/E ceiling to remain constrained near the -2.5SD level (6.6x, equivalent to 8,000pt) on lower-than-neutral semiconductor share price, valuation multiples, and foreign fund flows. In 2H27, as foreign sentiment gradually turns, the KOSPI's P/E ceiling will likely normalize at around the -2.0SD-level (7.3x, 10,000pt).**

I/B/E/S KOSPI 12-mo-fwd P/E: 5.6x in early October, extreme undervaluation at -3SD level



Source: LSEG Workspace, Yuanta Securities

KOSPI 12-mo-fwd NPM (21.6%), ROE (28.5%), and P/B (1.3x)

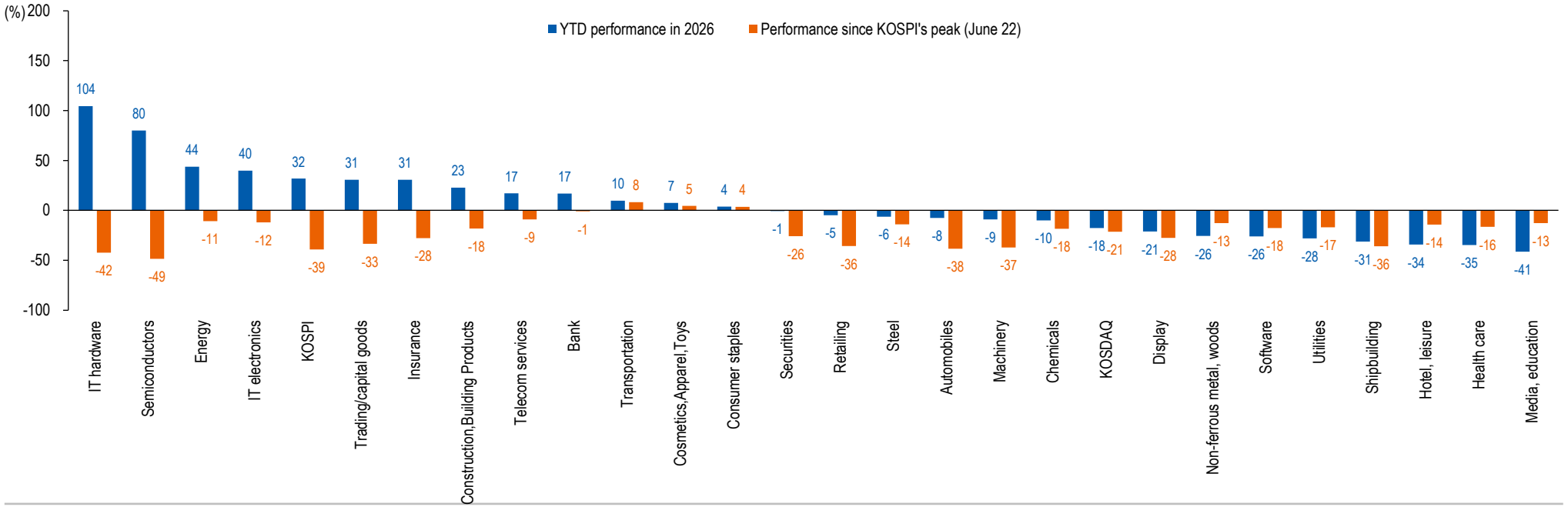


Source: FnGuide Quantiwise, Yuanta Securities

2027 core portfolio strategy: semiconductor, IT electronics, IT hardware, shipbuilding, machinery, chemicals, and bio

- For investors in 2027 seeking to hedge high inflation, aggressive tightening, and elevated rate risks, interest regarding portfolio and leading stock strategies will likely diverge in three distinct directions.
- 1) Selecting leaders with proven pricing power and earnings momentum that outperformed the KOSPI during market rate bear-flattening or subsequent bull-steepening transitions; 2) a bifurcated approach focusing on oversold stocks with strong earnings in the AI/semiconductor value chain that showed a high correlation with the sales growth of the US Big 5 hyperscalers, and non-AI/semiconductor value chain stocks whose 2027 worst-case earnings (worst-case earnings estimates) exceed their 2026 best-case estimates; and 3) positioning early in small-to-mid cap growth leaders poised for inclusion in the upcoming KOSDAQ Select Index.
- **2027 leading sector recommendations in this context include semiconductor, IT electronics (rechargeable battery), IT hardware, shipbuilding, machinery, chemicals and bio.**
- **Yuanta Securities 2027 top picks include Samsung Electronics, SK Hynix, Samsung Electro-Mechanics, KB Financial Group, Doosan Enerbility, Samsung SDI, Celltrion, LS Electric, S-Oil, LIG Defense & Aerospace, Hyundai E&C, HD Hyundai Marine Solution , Daeduck Electronics, Intellian Tech, and Tomocube.**

WI26 major sector performance YTD in 2026 and since KOSPI's peak (Jun 22, 2026)



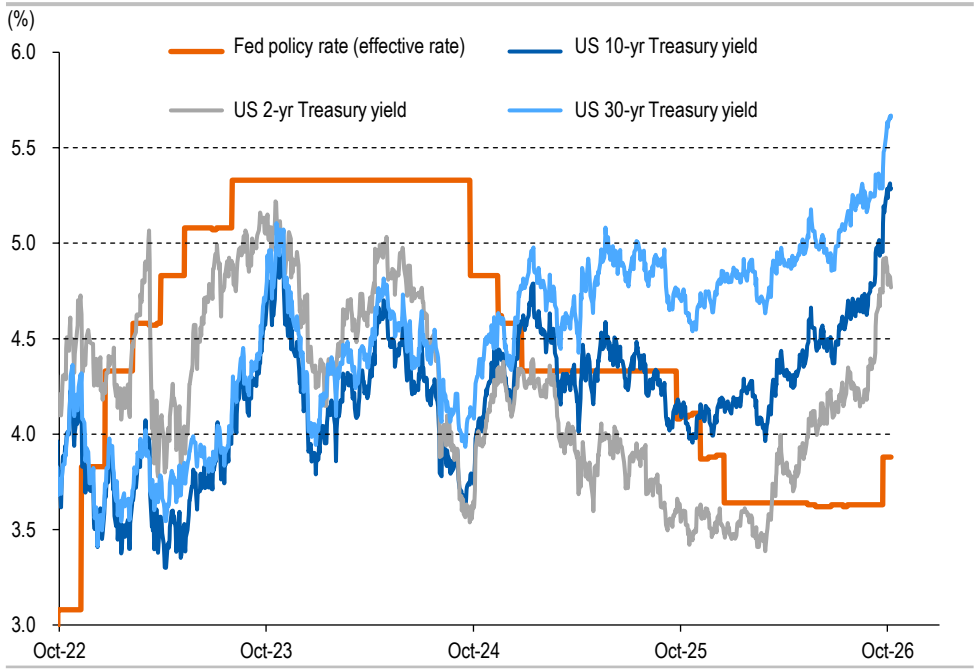
Note: as of the Oct 8 closing price

Source: FnGuide Quantiwise, Yuanta Securities

2) 2027 strategic focus: i) peak-out of high inflation, aggressive tightening, and high interest rate risks

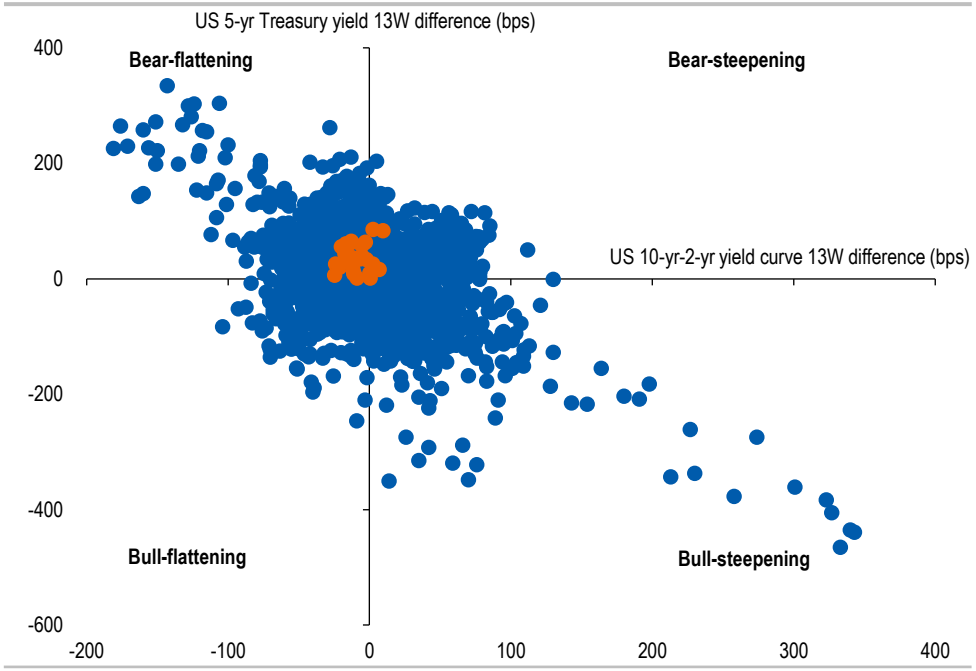
- **Compounding the 2025 "Liberation Day" tariff shock, the outbreak of the Iran war on Feb 28 intensified high inflation, aggressive tightening, and high interest rate risks across global asset markets.**
- Since Feb 28, the US 2-year Treasury yield has risen (4.77% as of Oct 7) by 138.1bp, the 10-year yield (5.29%) by 132.1bp, and the 30-year yield (5.67%) by 103.5bp.
- The 10-year and 2-year yield spread (yield curve) has fallen 5.9bp from +57.7bp on Feb 27 to 51.8bp currently, entrenching a persistent bear-flattening regime.
- This reflects four catalysts: 1) demand-side shocks from upward growth revisions and funding needs driven by the AI capex boom; 2) supply-side shocks from rising tariffs and commodity/energy prices stemming from uncertainties over Trump's politics, policies, geopolitical actions; 3) eroding market confidence in the Fed under Kevin Warsh; and 4) intensifying risks of US fiscal deficits and Treasury issuance.

Fed policy rate and US 2-yr, 10-yr, and 30-yr Treasury yields



Source: LSEG Workspace, Yuanta Securities

US market rate (yield curve) 4-quadrant matrix: bear-flattening trend entrenched post-Iran war in late-Feb

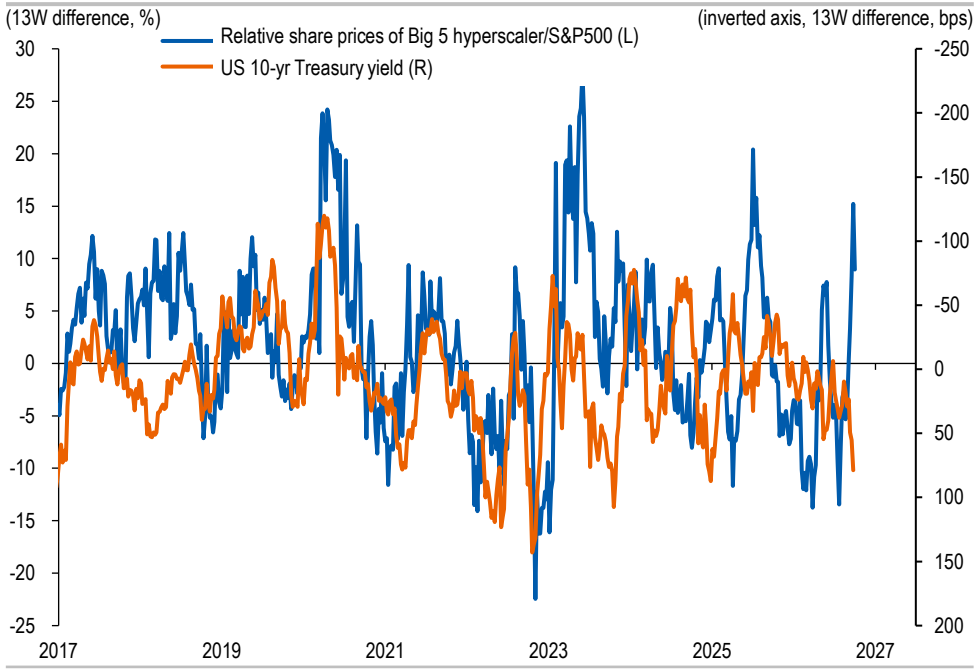


Note: orange markers indicate interest rate environment changes from Mar to early-Oct
Source: LSEG Workspace, Yuanta Securities

Overstated risks of high inflation, aggressive tightening, high interest rates resulted in undervaluation of AI/semiconductor industry conditions, earnings, and stocks

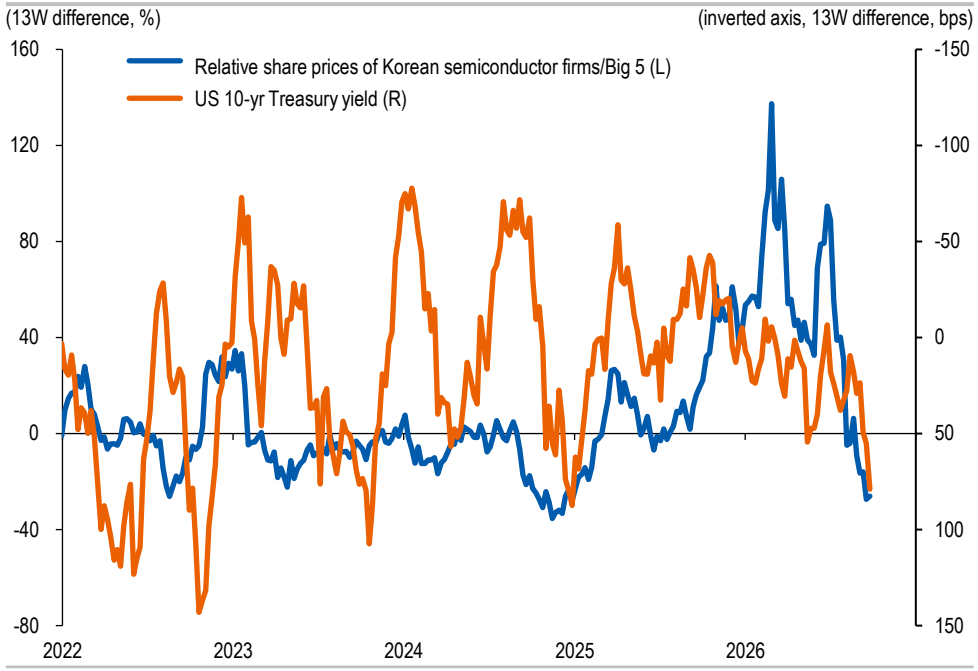
- **The excessive overestimation of risks associated with high inflation, aggressive tightening, and high interest rates has led to an equally pronounced extreme undervaluation of the domestic and global AI/semiconductor outlook and an excessively pessimistic assessment of share prices, valuations, and investor flows.**
- The Big 5 hyperscalers, which have outperformed the market (S&P500) since 2015, began underperforming after the US 10-year Treasury yield breached its historical 4.5% ceiling on May 15.
- This is due to rising doubts regarding the sustainability of the AI capex supercycle and concerns over funding constraints facing Big Tech firms and hyperscalers amid heightened inflation, aggressive tightening, and high interest rate.
- Korea's semiconductor stocks suffered steeper drawdowns than US hyperscalers, reflecting their sensitivity to high inflation, aggressive tightening, and high interest rates as producers of intermediate/capital goods, as well as their exposure to the highly volatile Korean stock market.
- US tech leaders are primarily associated with final goods, consumer goods, and enterprise platforms, making them less sensitive to inflation and interest rates, while Korean firms are primarily manufacturers of intermediate and capital goods, thus making them more sensitive to these factors.

Relative share price of US Big 5 to S&P500 and US 10-year Treasury yield



Source: LSEG Workspace, Yuanta Securities

Relative performance of Korean semiconductor stocks vs US Big 5, and US 10-yr yield

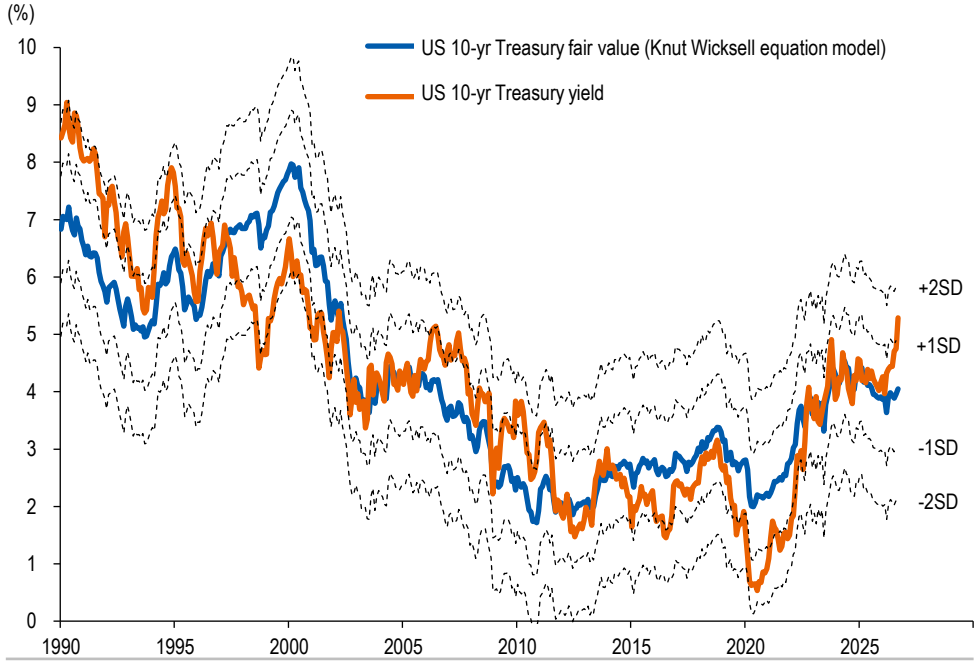


Source: LSEG Workspace, Yuanta Securities

US 10-yr fair value at 4.8-5.0%; expected to enter fair value phase in 2027

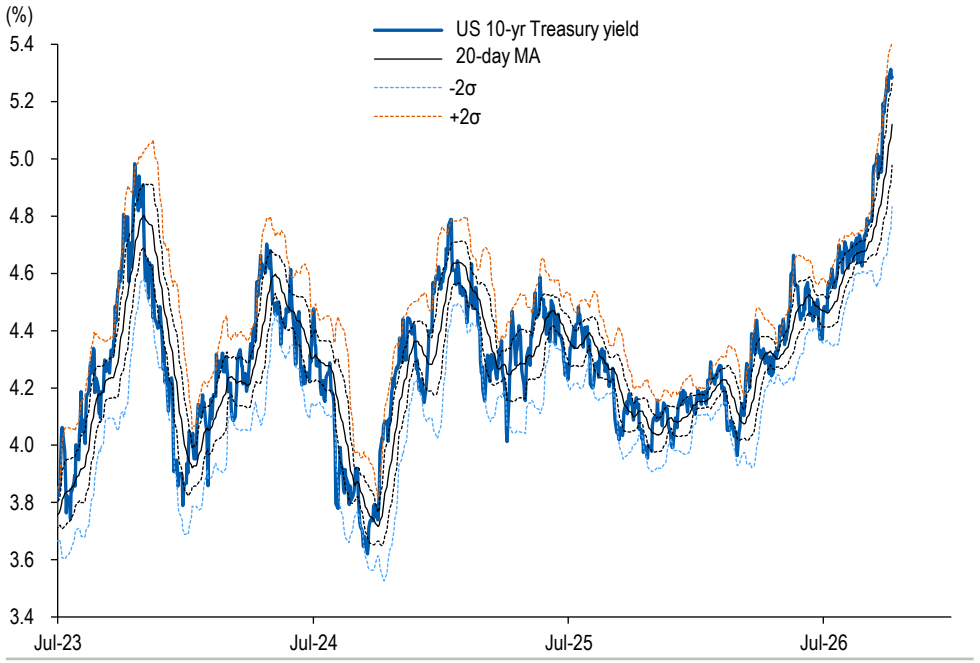
- **Fair value for the US 10-year Treasury yield stands at 4.8-5.0%. The 4.8% floor corresponds to the -2σ boundary of its 20-day MA, while the 5.0% ceiling corresponds to +1SD threshold derived from the Knut Wicksell equilibrium model.**
- **Upward momentum on market rates in 2026 will likely cap out around +2σ (5.4%) in 4Q26, and the yield should be able to settle into the fair value range (4.8-5.0%0 in 2027 as high inflation, aggressive tightening, and high interest rate risks peak out.**
- The US 10-year Treasury yield typically cycles between -2σ (4.8%) and +2σ (5.4%). From a tactical trading perspective, upside yield momentum will see stronger resistance at the 5.4% level in 2026 and see downward pressure at around 4.8% in 2027.
- The Knut Wicksell equilibrium equation model, expressed as α + β × (CBO potential GDP growth + Cleveland Fed 10-year expected inflation) + ε, suggests the fair value of the US 10-year Treasury yield at 4.1-5.0%.
- When factoring in: 1) current commodity/energy supply-shock inflationary pressure stemming from uncertainties over Trump's policies and geopolitical actions; 2) higher growth expectations and expanded funding demand (additional corporate bond issuance) related to the AI capex boom; and 3) the expansion in the US federal government's debt and fiscal deficit (increased Treasury issuance), we set the upper target boundary at 5.0% (+1SD).

US 10-year Treasury fair value using the Knut Wicksell model and current market rate



Source: LSEG Workspace, Yuanta Securities

US 10-year Treasury yield: upside pressure to stall at +2σ (5.4%) in 2026 and downward pressure to be seen at -2σ (4.8%) in 2027

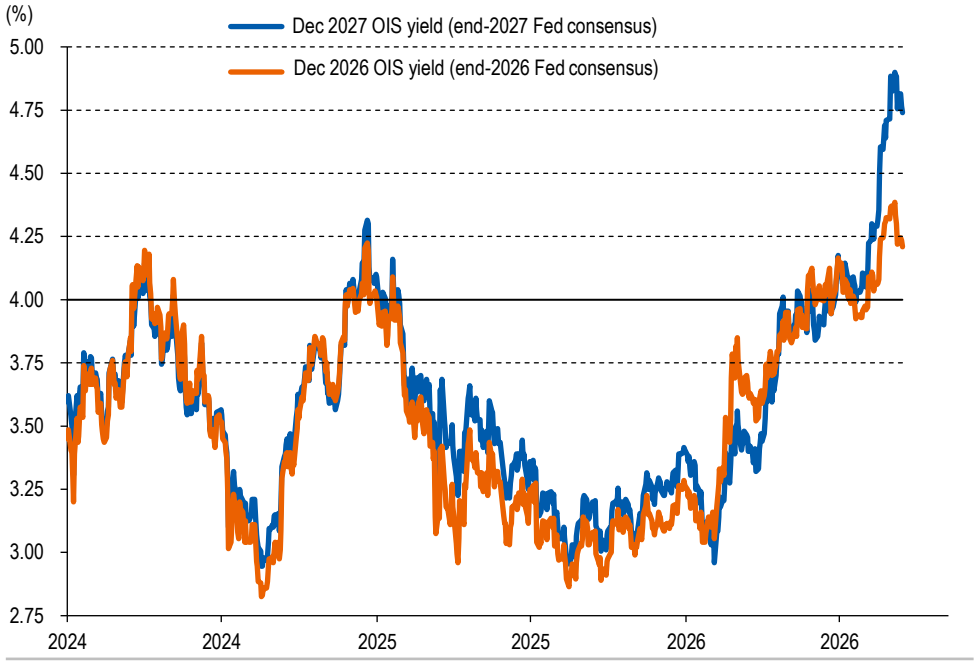


Source: LSEG Workspace, Yuanta Securities

Fed rate hikes to be limited to two or less (50bp) through end-2027

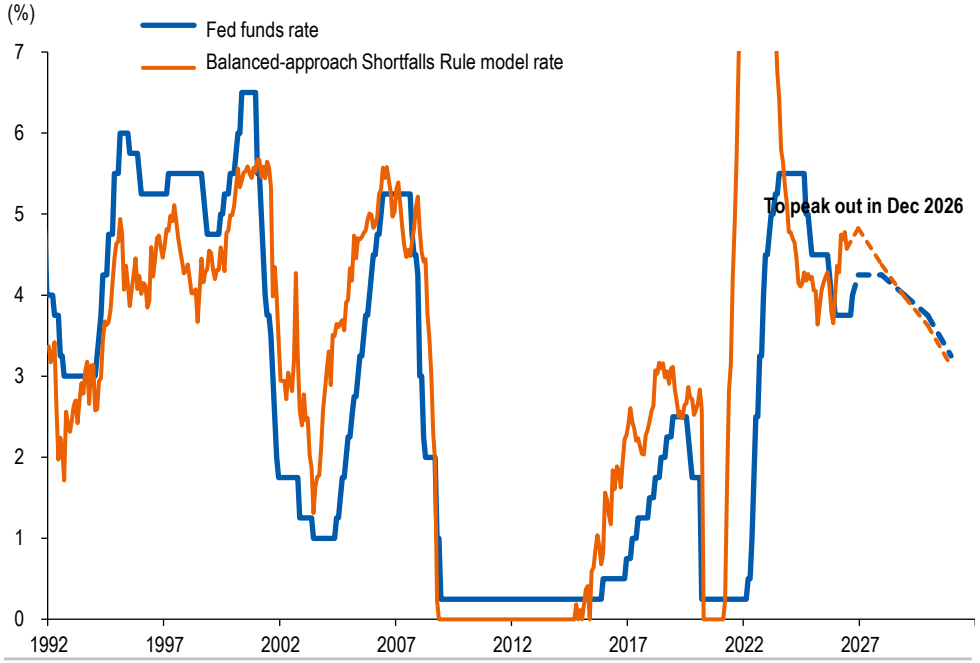
- **In contrast to current market consensus, which prices in three or more rate hikes through late 2027, we expect Fed rate hikes to be limited to at most two moves.**
- As of Oct 7, the market is pricing in 75bps in hikes, including one rate hike in 2027 (Dec 2026 expiry OIS at 4.21%) and two more hikes in 2027 (Dec 2027 expiry OIS at 4.74%). According to CME FedWatch consensus, the market is pricing in three rate hikes in Dec 2026 (Dec 9, 98.0% probability), Mar 2027 (Mar 17, 89.2% probability), and Jun 2027 (Jun 9, 91.9% probability).
- We focus on the fact that Fed hiking cycles concluded as soon as the prescribed rate under the Fed's Balanced-approach Shortfalls Rule began to peak and decline. The rule estimates the fair rate as follows: fair policy rate = long-term real policy rate + 1-year forward core PCE + 0.5 (1-year-forward core PCE – long-term inflation target) +2Min {(long-term unemployment forecast – current unemployment rate), 0}.
- Substituting the Sep 2026 FOMC economic projections and dot plot into the formula, this policy rule model peaks out in Dec 2026. This implies that hiking pressure will be confined to one to two moves centered around the Dec 2026 FOMC meeting.

Dec 2026, Dec 2027 expiry OIS rates (reflecting year-end Fed policy rate consensus)



Source: LSEG Workspace, Yuanta Securities

Fed policy rate and Balanced-approach Shortfalls Rule model

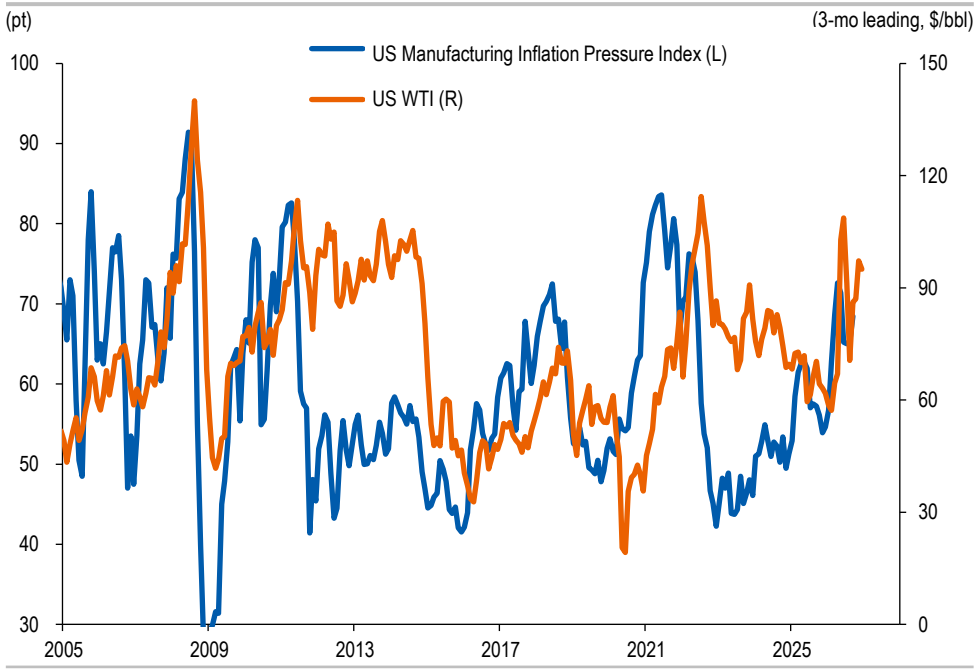


Note: Monetary Policy Report June 2025; post-2026 projections based on the September 2026 FOMC dot plot
Source: Fed, LSEG Workspace, Yuanta Securities

Trump-driven inflation in goods and energy disrupts outlook on inflation, monetary tightening, and interest rates

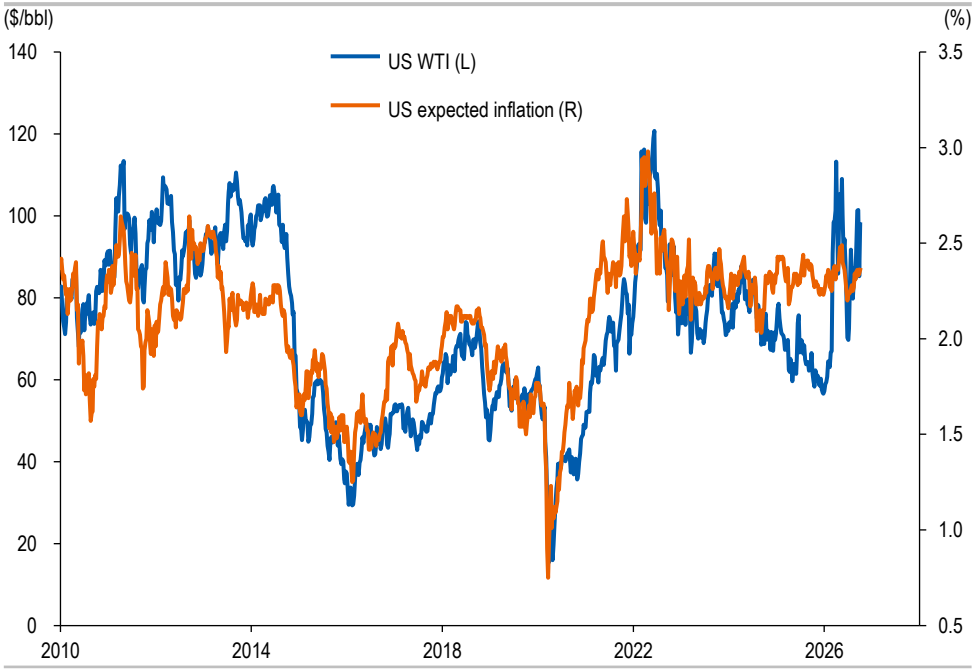
- **The biggest disruption to the projected path of inflation, monetary tightening, and interest rates is inflationary pressure—driven by goods and energy—stemming from Trump-related political, policy, and geopolitical uncertainties.**
- According to an Oct 6 analysis by the New York Fed, Trump's tariffs added 2.9%p to YoY inflation across 67 non-petroleum consumer goods categories as of February this year.
- WTI crude prices lead changes in the US Manufacturing Inflation Pressure Index by around three months. The impact of oil prices breaking above $100/bbl in March and July amid the Iran war is now feeding into risks from high inflation, tight monetary policy, and high interest rates.
- Given the recent re-escalation of the Middle East conflict and oil prices approaching the key $100/bbl threshold, another rate hike at the December FOMC meeting to combat inflation appears highly likely.
- **However, unless tariff and trade friction risks resurface, the impact of tariffs is likely to fade gradually. Oil prices should also gradually ease from the current $93-114/bbl range (+1SD to +2SD) toward $72–93/bbl in 2027 (historical average to +1SD), as the Democrats strengthen their checks on Trump following a midterm election victory and efforts to resolve the conflict's intensify.**

US Manufacturing Inflation Pressure Index and WTI crude prices



US Manufacturing Inflation Pressure Index is calculated as average of ISM Manufacturing Supplier Deliveries Index and Prices Paid Index.
Source: LSEG Workspace, Yuanta Securities

WTI crude prices and US inflation expectations (10-year TIPS-implied breakeven inflation)

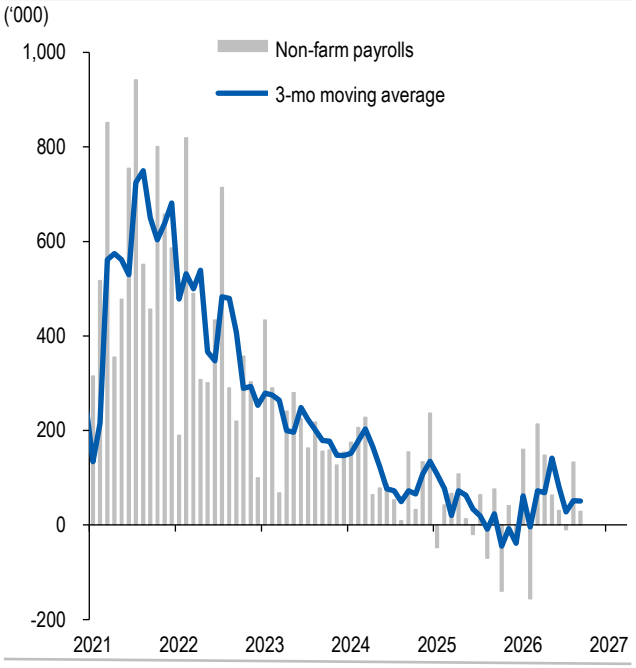


Source: LSEG Workspace, Yuanta Securities

Continued deterioration in labor market quality and job growth weakens the case and urgency for Fed rate hikes

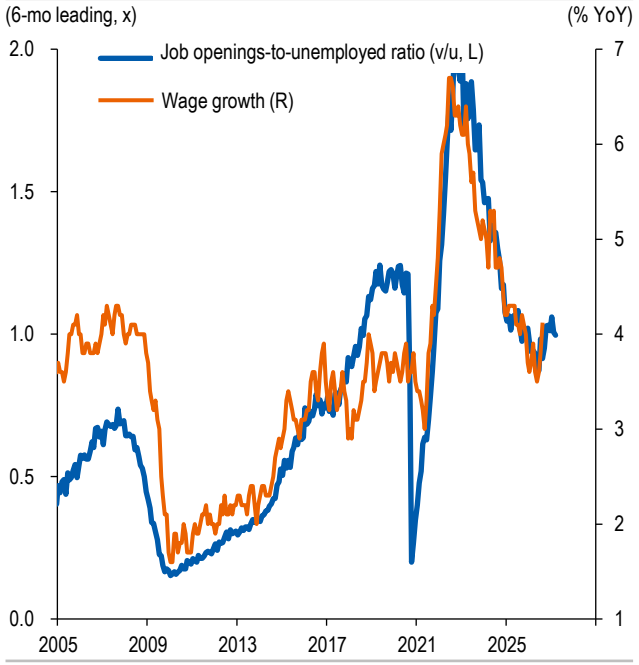
- **As the US labor market continues to worsen in both qualitative and quantitative terms, the case for further Fed rate hikes, and the urgency of such action, should gradually weaken.**
- Another rate hike at the December FOMC meeting may be unavoidable to curb goods- and energy-led inflation stemming from Trump-related uncertainties. However, the real economy may not be strong enough to accommodate the three or more rate hikes currently priced in by markets through end-2027.
- 1) Nonfarm payroll gains continue to slow. 2) The job openings-to-unemployed ratio, which leads wage growth and core/services inflation by around six months, is likely to fall below the critical 1.0x threshold from September onward. 3) Hourly wage growth slowed further to 3.0% YoY in September, suggesting that both income and consumption may weaken going forward; and 4) AI-driven productivity gains, combined with worsening labor market quality and job growth, could drive a sustained decline in labor costs, helping core inflation ease and stabilize.

US nonfarm payroll gains



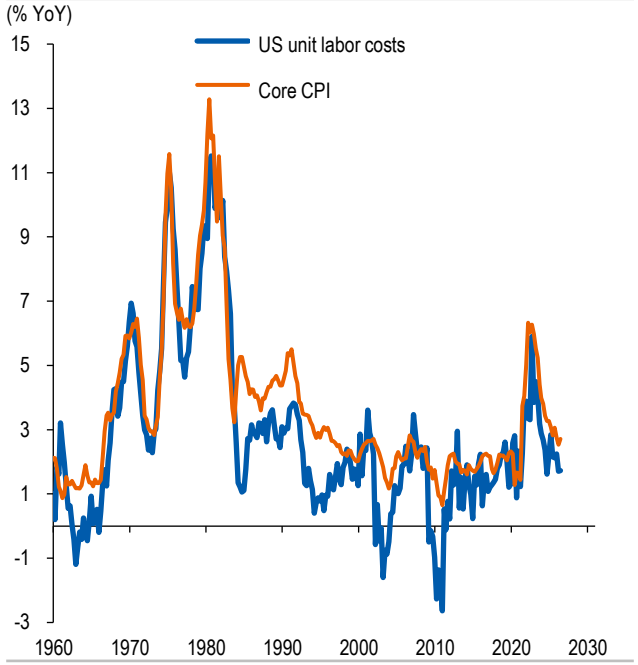
Source: LSEG Workspace, Yuanta Securities

US job openings-to-unemployed ratio and wage growth: falling below 1.0x from September



Source: LSEG Workspace, Yuanta Securities

US unit labor costs and core CPI

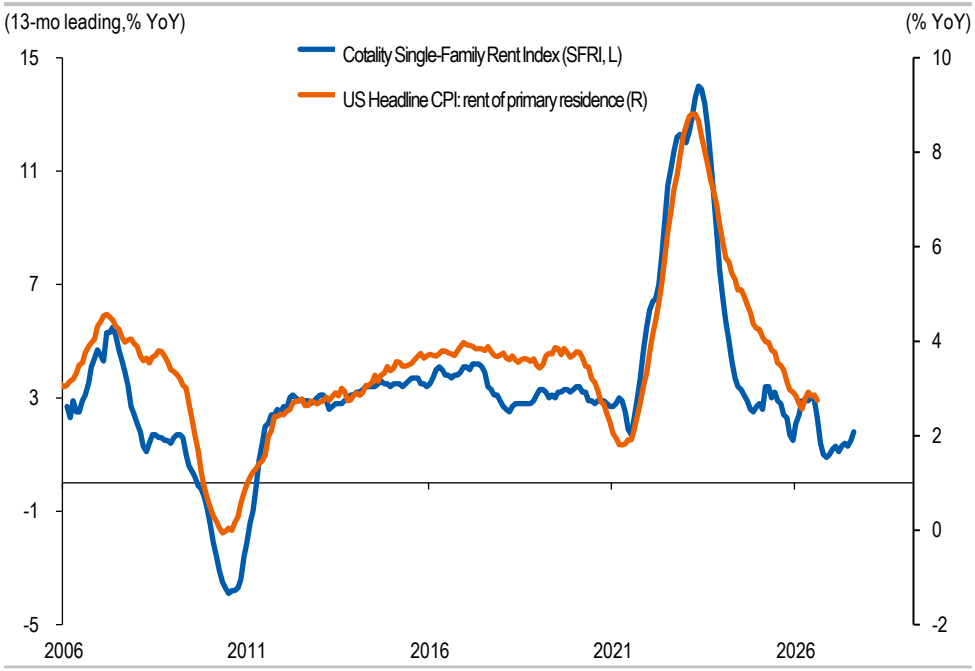


Source: LSEG Workspace, Yuanta Securities

Core PCE inflation should approach 2% target in 2H27 unless Trump-related uncertainty intensifies again

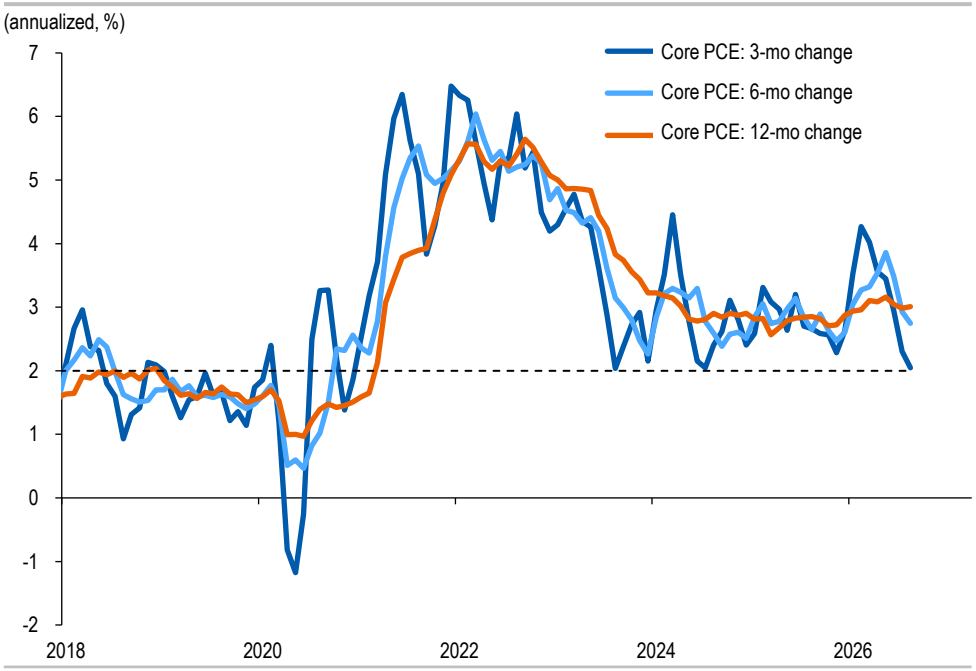
- **We expect core PCE inflation to approach the Fed's 2% target in 2H27 unless Trump-related political, policy, and geopolitical uncertainties intensify again.**
- Shelter is the most important component, accounting for around 40% of the core CPI/PCE deflators. 1) A prolonged environment of high inflation, tight monetary policy, and high interest rates; 2) a sharp decline in housing demand in states such as California and Texas following tighter immigration enforcement and controls; and 3) steep declines in housing prices in areas such as Florida, which suffered severe storm and flood damage, should translate into a sustained decline in shelter costs through broad housing market weakness.
- The Cotality Single-Family Rent Index (SFRI), which leads shelter costs by around 13 months, reflects these changes and indicates that shelter disinflation will continue through 1H27.
- Core PCE remained above 3% YoY for six consecutive months from March. The Cleveland Fed's estimates of 3.0% for September and 3.1% for October suggest that inflationary pressure at or above 3% will persist for now. However, the six-month annualized rate, which leads the YoY measure, peaked in May and fell to 2.7% as of August, while the 3-month annualized rate reached the 2.0% target in August.

US Cotality Rent Index and the rent component of headline CPI



Source: Cotality, LSEG Workspace, Yuanta Securities

Core PCE : 3-, 6-, and 12-month changes

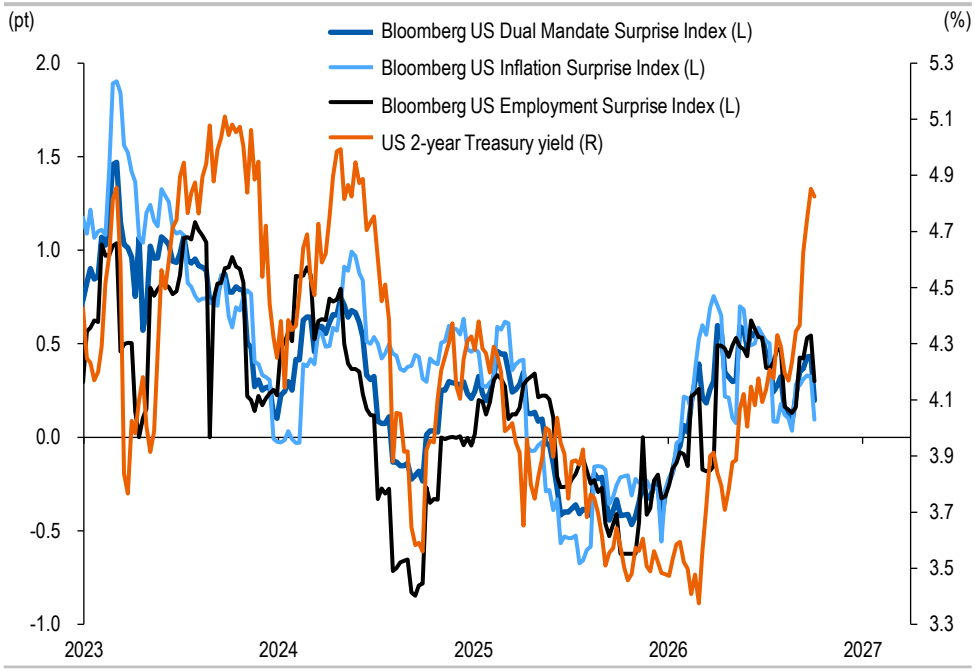


Source: LSEG Workspace, Yuanta Securities

Fed's inflation fight is likely to be brief rather than prolonged

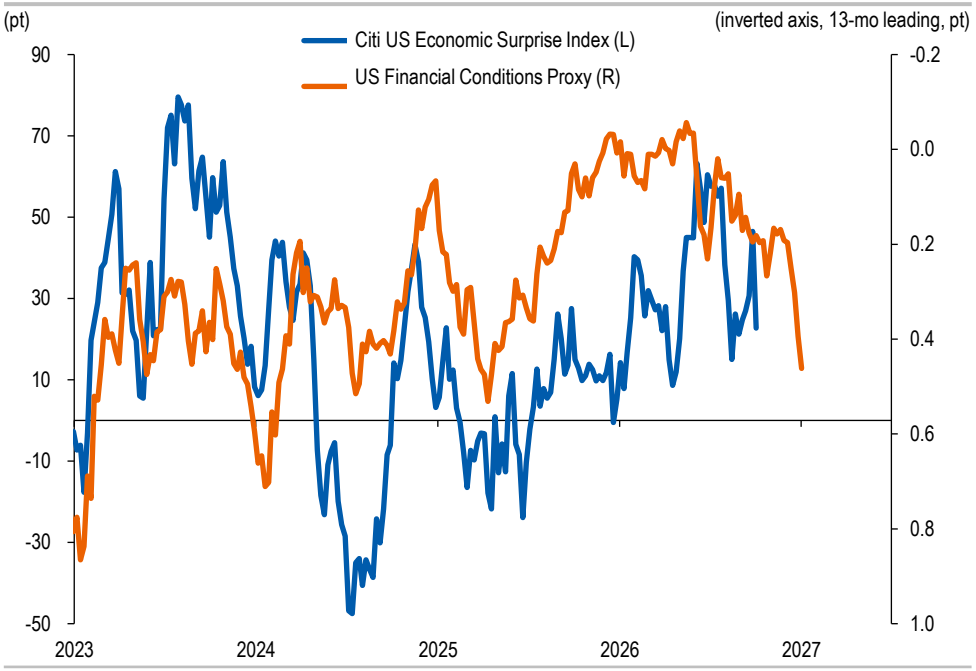
- **We expect the Fed's inflation fight to be limited to a short campaign of no more than two rate hikes (final hike in December under our base case), rather than a prolonged campaign (three or more hikes through end-2027).**
- With inflation taking priority over growth in the Fed's policy decisions for now, discussions of further rate hikes to contain inflation and the resulting market turbulence will be unavoidable through Dec 2026 and 1Q27.
- Bloomberg's US Employment And Inflation Surprise Indices resumed their decline in August. As macro surprises weaken, the Fed would be better served by holding rates steady, monitoring economic conditions, and preserving policy flexibility than by raising rates and limiting its options. This is why its inflation-driven rate hike cycle is unlikely to continue indefinitely.
- The US Financial Conditions Proxy, which leads the Citi US Economic Surprise Index by around three months, peaked in April, suggesting that economic momentum may continue to weaken. Financial and monetary conditions have already tightened through high tariffs, elevated inflation, high interest rates, and a strong dollar, potentially allowing inflation to be contained without aggressive Fed rate hikes.

Bloomberg Dual Mandate (inflation / employment) Surprise Indices, US 2-yr yield



Source: Bloomberg, Yuanta Securities

Citi US Economic Surprise Index (economic momentum) and the Financial Conditions Proxy (leading by three months)

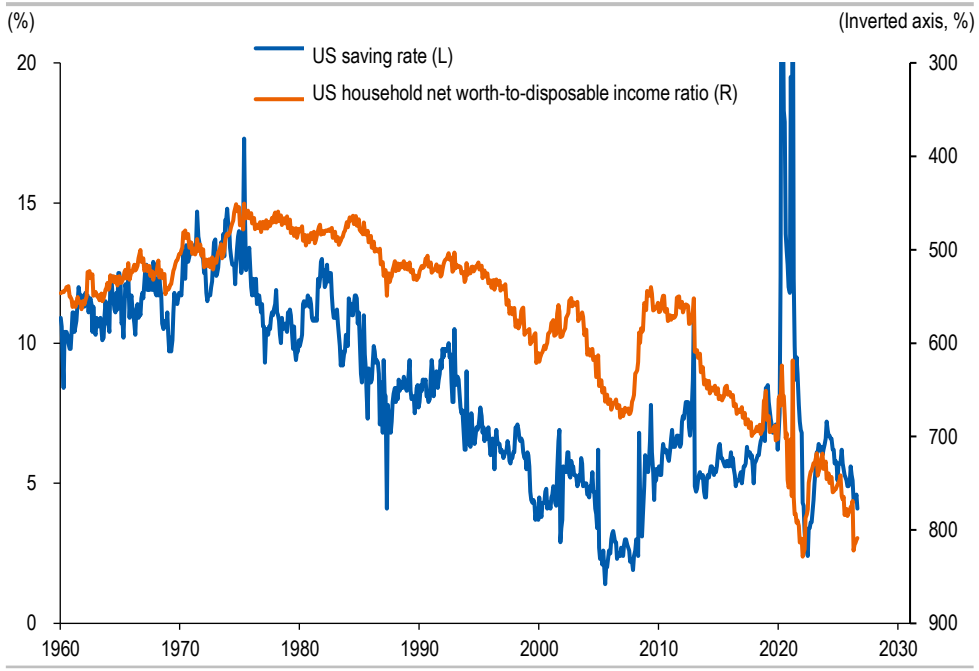


Note: US Financial Conditions Proxy is calculated by standardizing US 10-yr yield, high-yield corporate bond yields, and the Dollar Index.
Source: LSEG Workspace, Yuanta Securities

High inflation, tight monetary policy, and high interest rate risks should peak by 1H27 at the latest

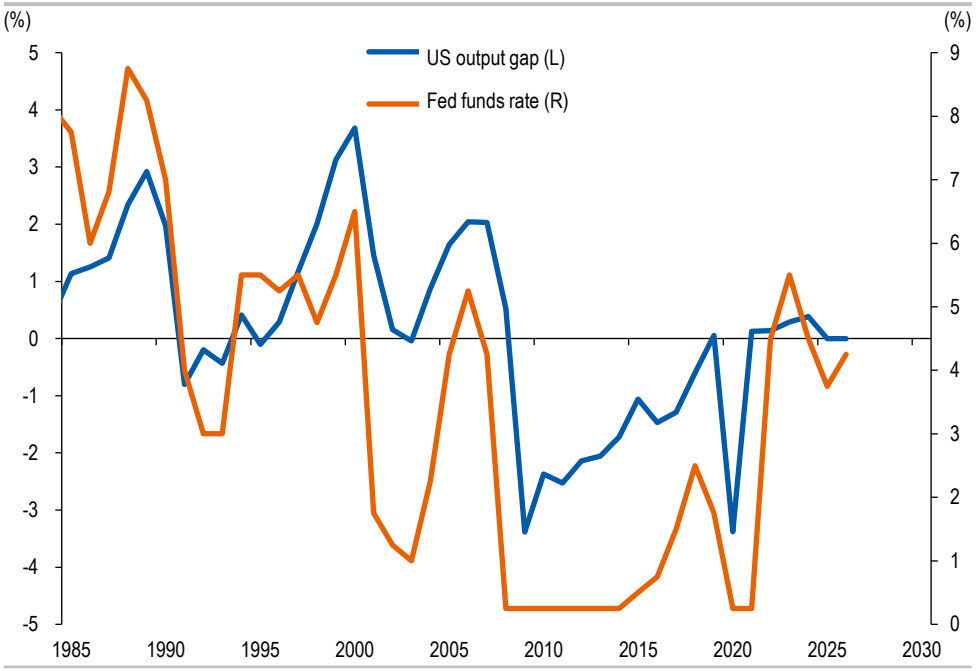
- **A prolonged rate hike cycle is difficult to sustain when growth is below trend (potential GDP growth). We expect high inflation, tight monetary policy, and high interest rate risks to peak by 1H27 at the latest.**
- The US economy is driven by consumption. The household net worth-to-disposable income ratio, a measure of the wealth effect, peaked in 2Q26, prompting households to lower their saving rate to support higher spending.
- However, with the saving rate also near historical lows, the three or more rate hikes that markets expect through end-2027 could place substantial pressure on economic activity beyond their intended effect of controlling inflation.
- The IMF estimates the US output gap at -0.001% in 2026, making its first negative reading since 2020 highly likely. Concerns over below-trend growth will remain a persistent feature of the outlook from 2027 onward.
- Historically, the Fed has never sustained a prolonged rate hike cycle while the output gap was negative.

US saving rate and household net worth-to-disposable income ratio



Source: LSEG Workspace, Yuanta Securities

IMF-estimated US output gap and the Fed funds rate



Source: LSEG Workspace, Yuanta Securities

Better not to bet against Scott Bessent, as his push to lower and stabilize long-term yields grows more urgent

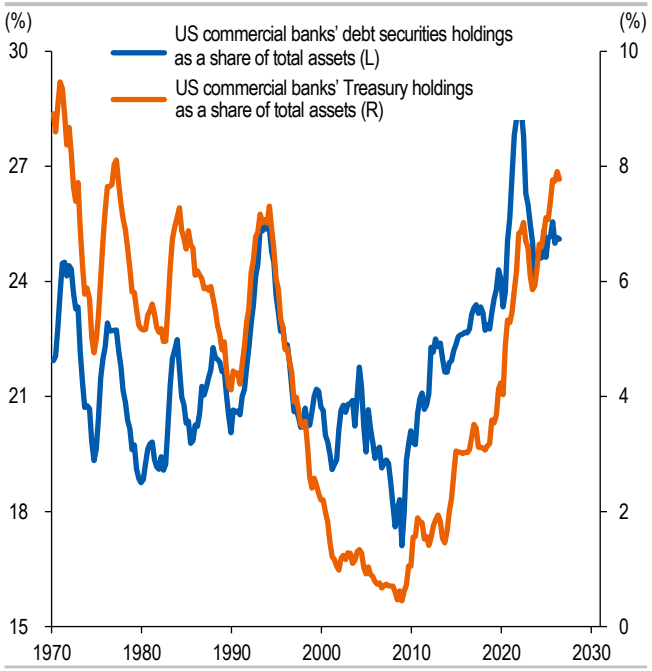
- **Treasury Secretary Scott Bessent may appear to be making promises he cannot deliver, but—as with Fed monetary policy—it is better not to bet against the Treasury's determined fiscal policy efforts.**
- Bessent has pledged aggressive measures to lower and stabilize long-term yields, including expanding buybacks by more than $6bn over Sep 9–Nov 4 and using the Treasury General Account (TGA) to purchase long-term Treasuries. However, the market response has been lukewarm.
- Federal debt has already exceeded $40tn, while Treasury yields continue to rise. With the fiscal deficit and interest payments steadily increasing, Treasury issuance is indeed likely to keep expanding.
- However, the Treasury has numerous policy tools to lower and stabilize market interest rates. Encouraging commercial banks to increase Treasury purchases and holdings is also likely to emerge as a powerful additional option and potential game changer.
- At end-2Q, debt securities accounted for 25.1% of commercial banks' total assets, well below 28.8% at end-2021. Treasuries represented just 7.8%, leaving room for additional purchases.

US Treasury policy tools to lower and stabilize market interest rates

Channel	Tools	Objective
Treasury supply and duration management	Treasury issuance, buybacks, and TGA cash management	Adjust volume and maturity composition of Treasury supply while providing liquidity to market segments under stress
Official liquidity backstops	FIMA Repo Facility, Standing Repo Facility (SRF), Fed securities lending, and dollar swap lines	Alleviate forced selling, funding stress, and impaired market functioning
Regulatory and market structure policies	Capital and liquidity regulatory reforms; adjustments to the treatment of Treasuries and high-quality liquid assets (HQLA); central clearing, repo netting, margin requirements, and dealer rules	Improve the financial system's capacity and efficiency in holding, financing, and intermediating Treasuries
Policy signaling and expectations management	Signals regarding projected fiscal deficits, borrowing, and changes in future Treasury supply	Indirectly influence Treasury prices by changing expectations for future supply, demand, and market intervention, even before policies are implemented
Treasury supply and duration management	Treasury issuance, buybacks, and TGA cash management	Adjust the volume and maturity composition of Treasury supply while providing liquidity to market segments under stress
Official liquidity backstops	FIMA Repo Facility, Standing Repo Facility (SRF), Fed securities lending, and dollar swap lines	Alleviate forced selling, funding stress, and impaired market functioning

Source: US Department of Treasury, Yuanta Securities

Debt securities and Treasuries as share of US commercial bank assets



Source: LSEG Workspace, Yuanta Securities

Treasury's hidden card for lowering long-term yields: expanding commercial banks' Treasury purchases and holdings

- **Large-scale increases in Treasury purchases and holdings by commercial banks and deposit-taking institutions amount to "stealth QE," enabling long-term yields to decline and stabilize with limited political controversy or economic disruption.**
- Under Fed QE: 1) purchases of bonds from non-bank institutions create both reserves and new deposits (credit creation); while 2) purchases of Treasuries from commercial banks create only reserves, with no credit creation effect. During Fed QE, the Fed's balance sheet and bank reserves expanded sharply, while liquidity in the broader economy increased by much less.
- By contrast, increased Treasury purchases and holdings by commercial banks directly create new deposits, raising the economy-wide money multiplier and dollar liquidity in the broader economy, with positive implications for asset markets.
- Although Scott Bessent's fiscal policy may inspire little confidence for now, this explains why we believe expanded commercial bank Treasury purchases and holdings could help lower and stabilize long-term yields while supporting domestic and global equities.

Changes in commercial bank balance sheets before and after additional Treasury purchases

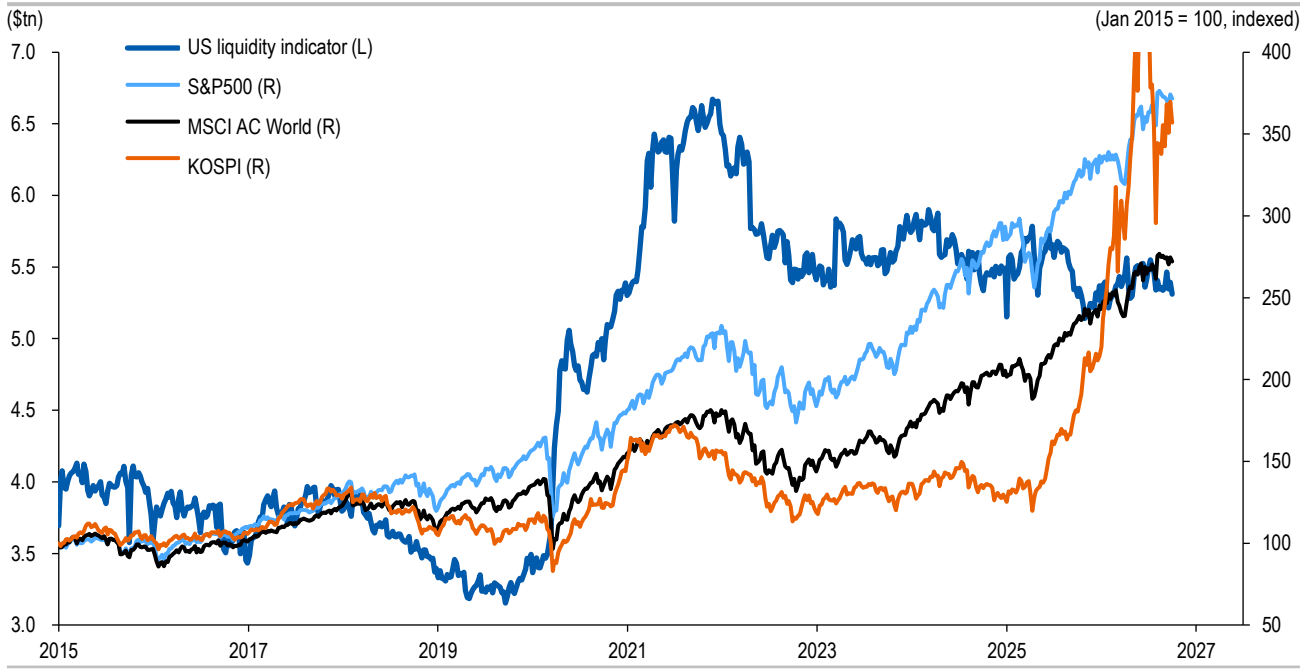
Before Treasury purchases

Assets		Liabilities + equities	
Loans	600	Deposits	700
Reserves	50	Other liabilities	200
Securities	350	Equity capital	100
	1,000		1,000

After Treasury purchases

Assets		Liabilities + equities	
Loans	600	Deposits	700
Reserves	50	Other liabilities	200
Securities	350	Equity capital	100
New Treasuries	100	New deposits	100
	1,100		1,100

US liquidity indicator and domestic and global equities

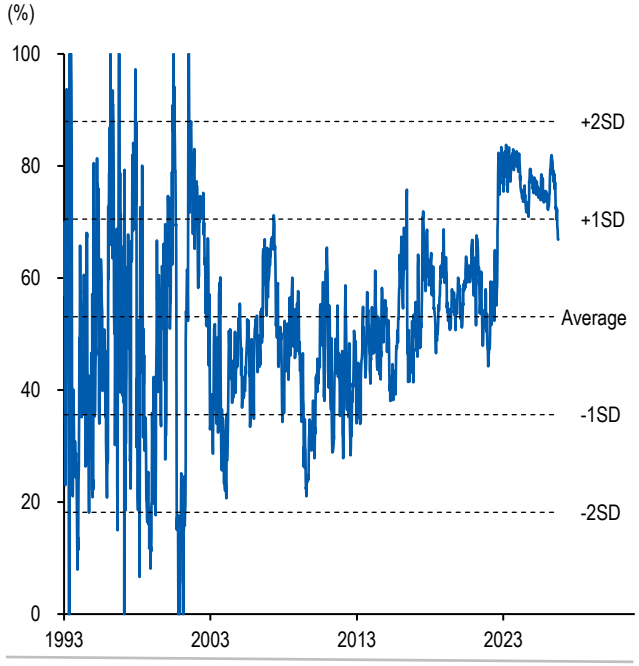


Note: The US liquidity indicator is calculated by subtracting reverse repo balances (RRP) and the Treasury General Account (TGA) balance from the Fed's total assets
Source: LSEG Workspace, Yuanta Securities

Watch for reversal of positions among bond vigilantes that have bet heavily on rising long-term yields

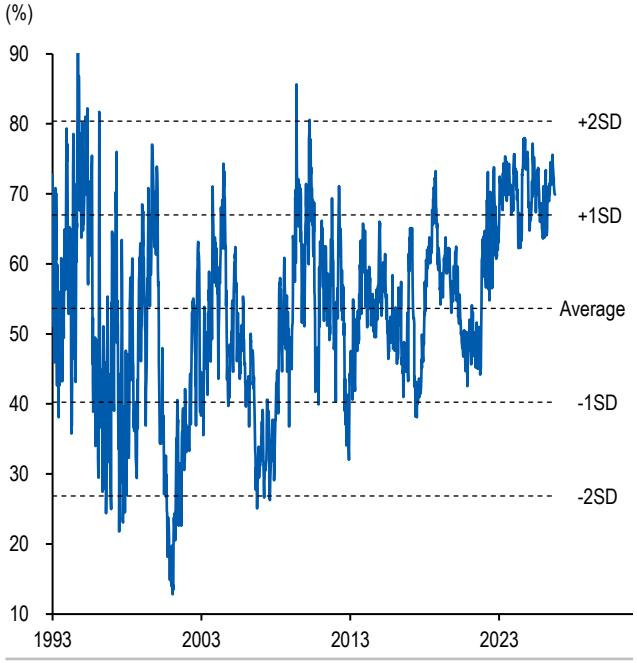
- **1) Core PCE approaching the 2% target in 2H27; 2) no more than two Fed rate hikes through end-2027; and 3) a series of aggressive Treasury measures to lower and stabilize long-term yields are likely to trigger a short squeeze in Treasury futures positions held by bond vigilantes, helping long-term yields gradually decline and stabilize.**
- As of Oct 6, short positions accounted for 66.9% of speculative (non-commercial) positions in two-year Treasury futures, 69.9% in 10-year futures, and 66.5% in long-term Treasury bond futures (T-bonds). These shares have fluctuated within the +1SD to +2SD range, an upper threshold zone from a statistical and trading perspective. Bond vigilantes that have bet heavily on rising market yields through short Treasury futures positions are increasingly watching one another for signs of a reversal.
- This suggests that the drivers of higher long-term yields may already be largely priced into current levels, leaving very limited room for further repricing.

Short positions as share of speculative positions in US 2-year Treasury futures: 66.9% as of Oct 6



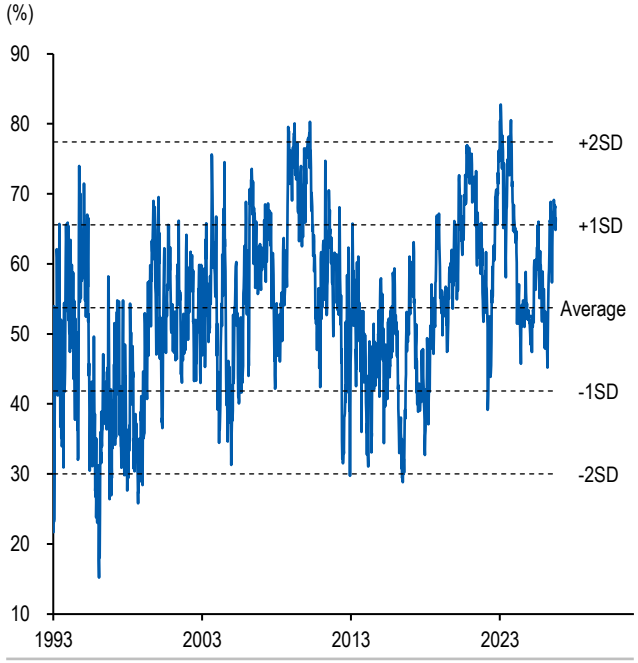
Source: Bloomberg, Yuanta Securities

Short positions as share of speculative positions in US 15–25-year Treasury bond futures: currently 66.5%



Source: Bloomberg, Yuanta Securities

Short positions as share of speculative positions in US 10-year Treasury futures: currently 69.9%

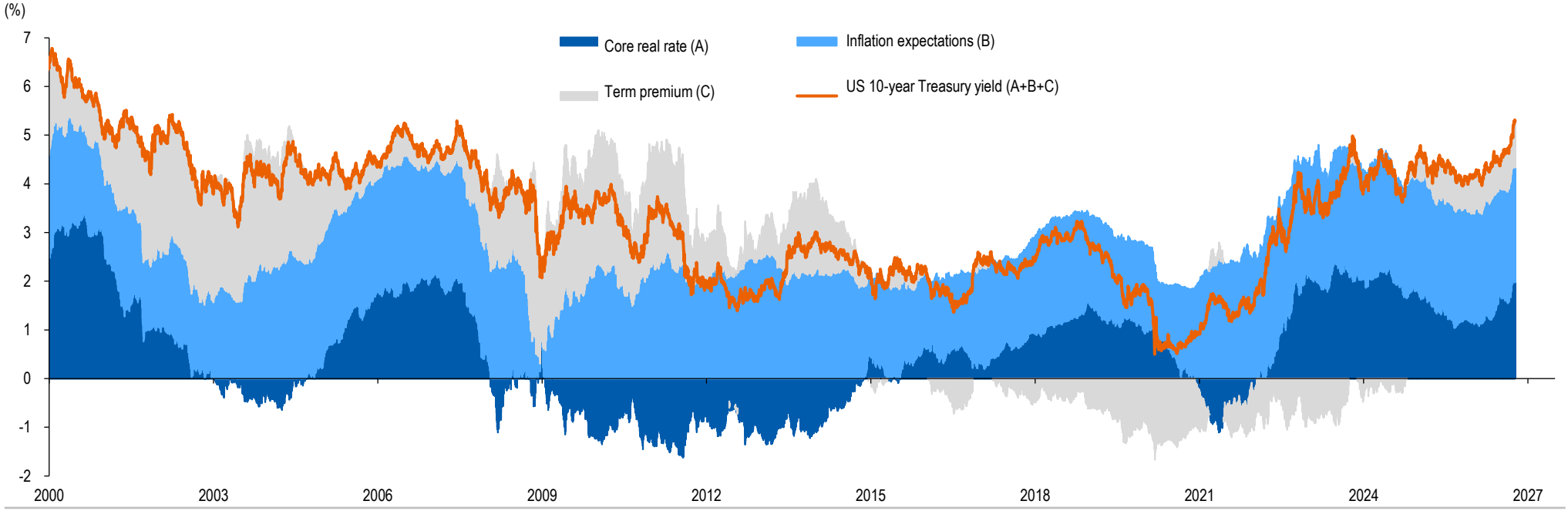


Source: Bloomberg, Yuanta Securities

10-year Treasury yield of 5.3% = core real rate of 2.0% + inflation expectations of 2.4% + term premium of 0.9%

- **As of Oct 7, the US 10-year Treasury yield (nominal yield) of 5.29% comprised a core real rate (or real short-term rate) of 1.98%, expected inflation of 2.36%, and a term premium of 0.95%.**
- The recent rise in market yields has been driven largely by an increase in the core real rate. This reflects the combined effects of: 1) higher growth expectations and increased funding demand driven by the AI capex supercycle; 2) tariff-related and goods- and energy-led inflation stemming from Trump-related uncertainties; 3) concerns over aggressive monetary tightening involving three or more rate hikes through end-2027; and 4) mounting risks associated with the US fiscal deficit and Treasury supply.
- Expected inflation is the largest component of current long-term yields. However, recent oil price fluctuations have affected only short-term inflation expectations, with little impact on long-term expectations. This reflects the simultaneous rise in concerns over future growth and demand as high oil prices and inflation exacerbate monetary tightening and interest rate risks.
- The term premium has risen steadily since the start of Trump's second administration. A meaningful decline is highly unlikely unless a recession materializes or Trump enters a lame-duck phase.

Decomposition of the US 10-year Treasury yield: as of Oct 7, nominal yield of 5.29% = core real rate of 1.98% + inflation expectations (BEI) of 2.36% + NY Fed-estimated 10-year Treasury term premium of 0.95%

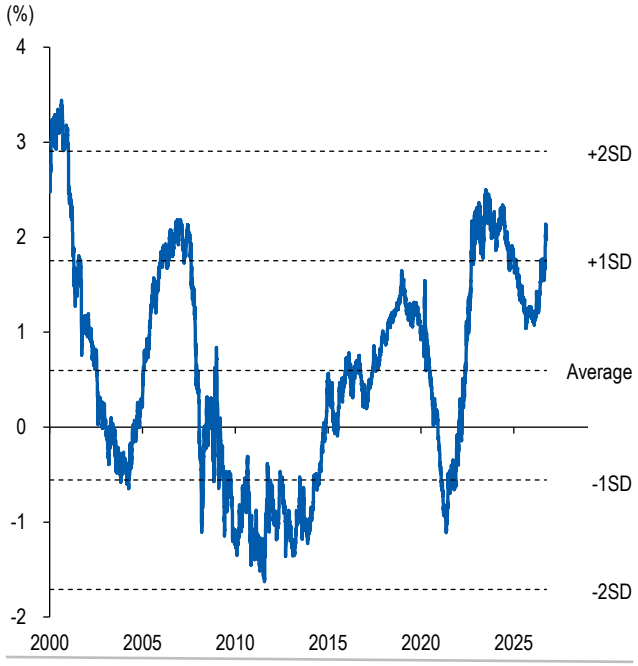


Source: LSEG Workspace, Yuanta Securities

50bp drop in core real rate should bring US 10-yr yield into 4.8-5.0% range in 2027

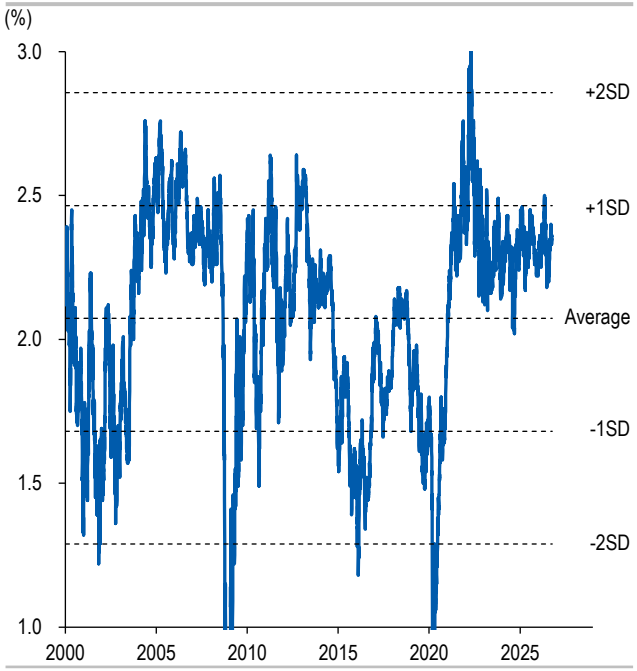
- **Scope for further declines in long-term inflation expectations and the term premium is limited. Ultimately, changes in the core real rate (real short-term rate) will determine whether long-term yields decline and stabilize.**
- As in 2026, upward revisions to economic and earnings growth expectations driven by the AI capex supercycle, together with increased corporate bond issuance by major big tech companies and hyperscalers, should continue unabated in 2027.
- We expect a further decline of around 50bp in the core real rate in 2027, driven by: 1) core PCE inflation approaching the 2% target in 2H27; 2) no more than two Fed rate hikes through end-2027; 3) stronger checks on Trump-related uncertainty following a midterm Democratic election victory and a potential weakening of Trump's governing authority; 4) a series of aggressive Treasury measures to lower and stabilize long-term yields; and 5) a reversal in bond vigilantes' positioning through a short squeeze in Treasury futures.
- This is why we believe a peak in high inflation, tight monetary policy, and high interest rate risks in 2027 will likely lower the core real rate and bring the US 10-year Treasury yield into its fair-value range of 4.8-5.0%.

Core real rate (real short-term rate) embedded in the US 10-year Treasury yield



Source: LSEG Workspace, Yuanta Securities

Inflation expectations embedded in the US 10-year Treasury yield (BEI)



Source: LSEG Workspace, Yuanta Securities

Term premium embedded in the US 10-year Treasury yield (NY Fed)

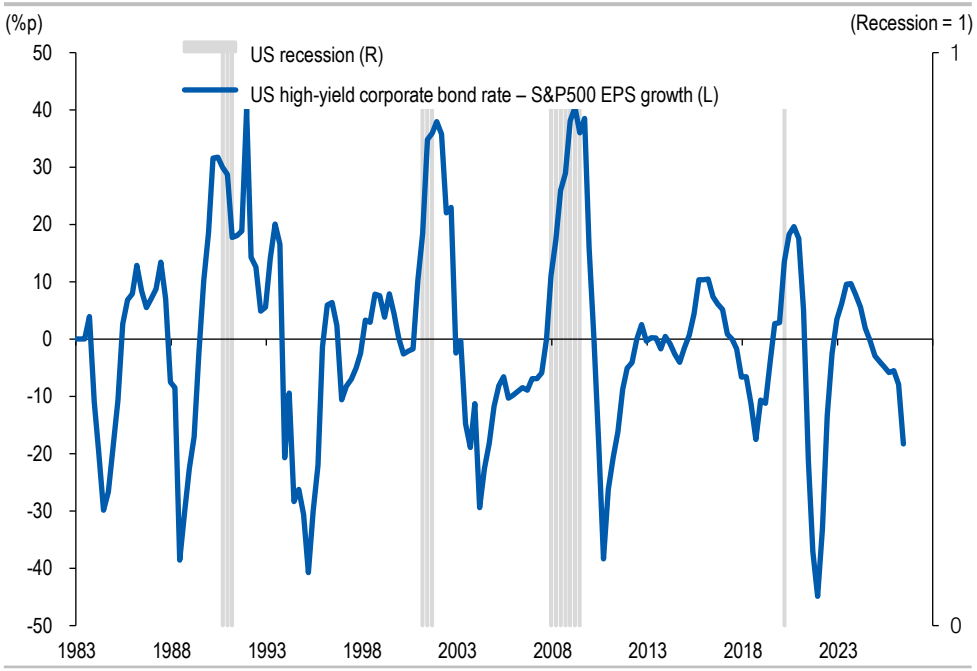


Source: LSEG Workspace, Yuanta Securities

AI capex supercycle to strengthen as risks of high inflation, aggressive tightening, high interest rates peak out in 2027

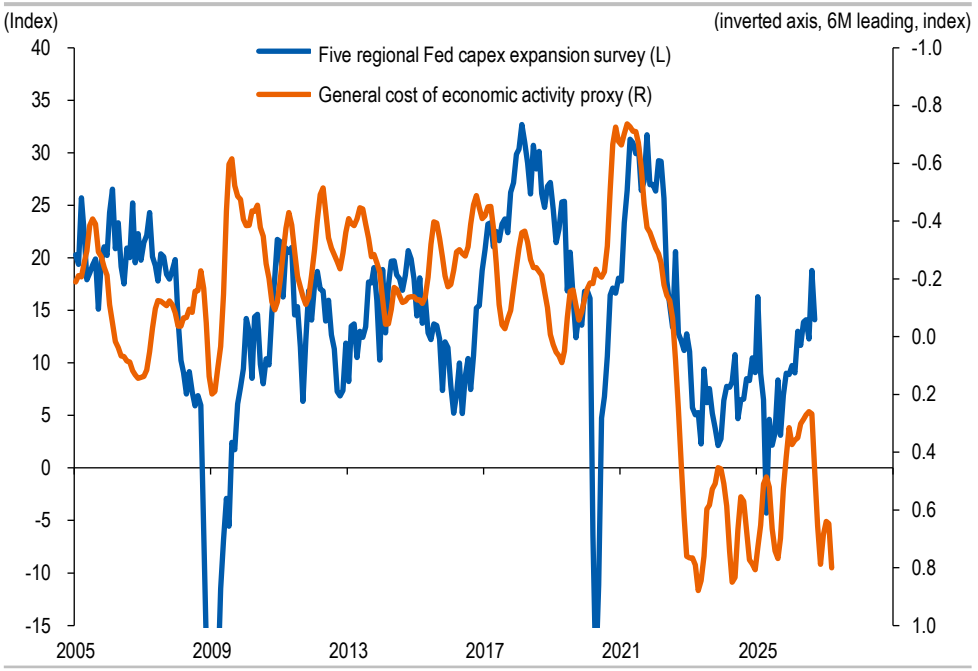
- **Despite concurrent surges in both nominal rates and core real interest rates (real short-term rates), we expect corporate earnings growth driven by the AI/semiconductor value chain to continue outpacing rising interest rates in both Korea and the US (growth > rate).**
- The market environment in 2026 has been characterized by an extreme pricing-in of the risks of high inflation, aggressive tightening, and elevated interest rates and a parallel undervaluation of the outlook for the global and domestic AI/semiconductor sector, as well as related stocks, valuations, and investor flows. Investors should capitalize on this environment in 2027, and view it as grounds for optimism rather than pessimism.
- Expanding global AI/semiconductor capex, unshaken by worsening macro risks, is expected to drive an ultra-boom cycle across real economy and corporate earnings in Korea and globally.
- Once the peak-out of high inflation, aggressive tightening, and high interest rate risks materializes in 2027, the current AI/semiconductor capex supercycle is poised to leap even further.

US recession phase and gap between high-yield corporate bond rates and S&P500 12-month-trailing EPS growth



Source: Bloomberg, Yuanta Securities

Regional Fed banks: capex expansion survey, general cost of economic activity proxy



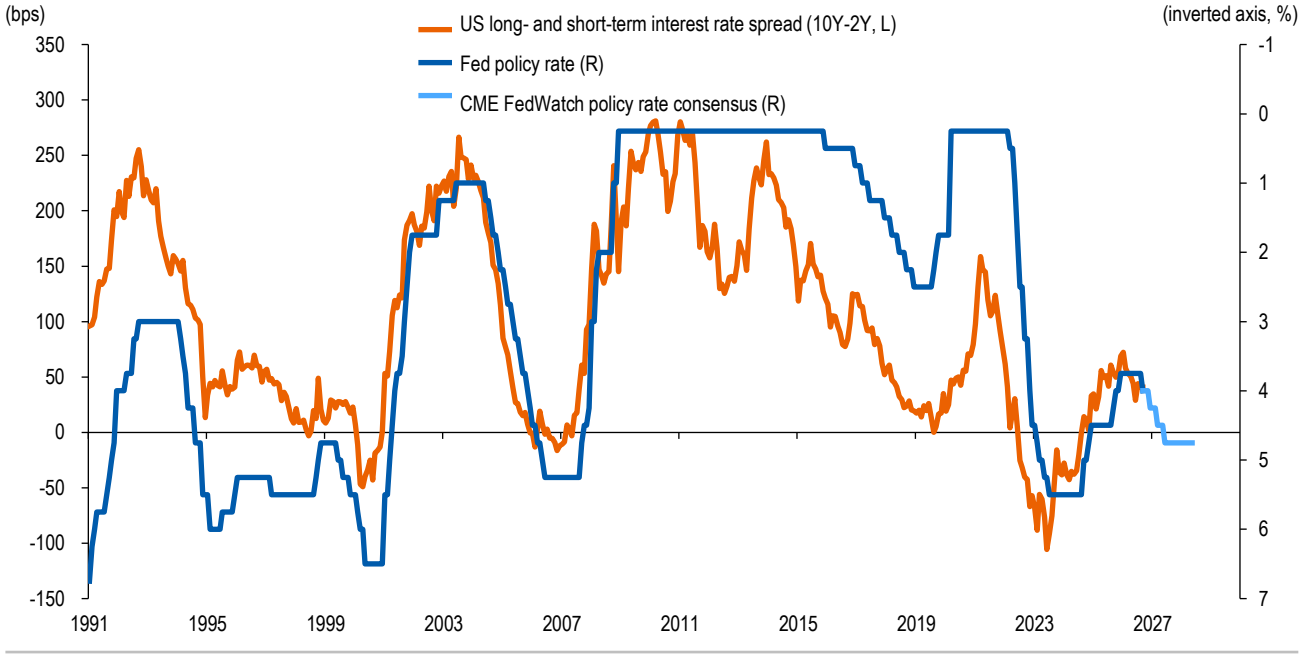
Note: Regional Fed capex expansion survey is the average of data from the Federal Reserve Banks in New York, Dallas, Philadelphia, Richmond, and Kansas City; general cost of economic activity proxy is calculated by standardizing the US 10-year Treasury yield, high-yield corporate rate, oil prices, and the US Dollar Index.

Source: LSEG Workspace, Yuanta Securities

Market rates to shift from bear flattening in 1H27 to bull steepening in 2H27

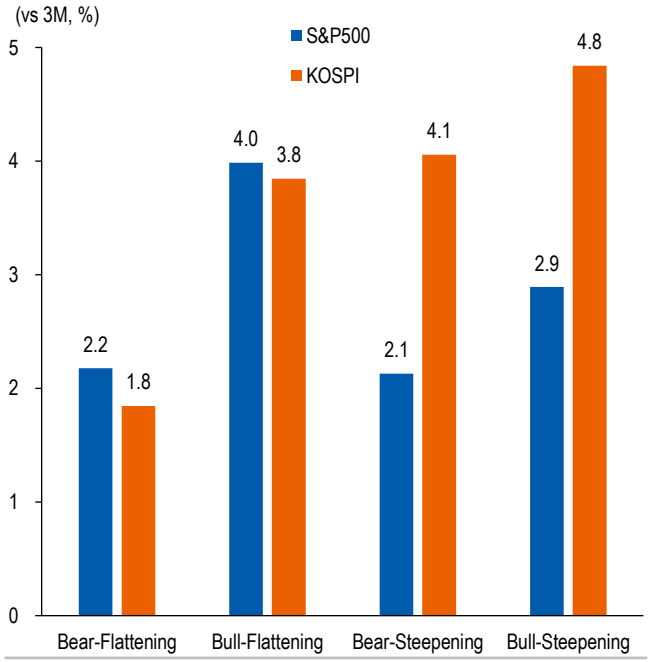
- Global and domestic long- and short-term market rate spreads (yield curves) are linked to Fed policy rate movements. While markets currently price in three or more aggressive Fed rate hikes through end-2027, an entrenched bear-flattening environment seems unavoidable in 1H27 until the peak-out of risks surrounding high inflation, aggressive tightening, and high interest is confirmed.
- In 2H27, the combination of core PCE inflation nearing the 2% target and sub-trend (potential GDP) growth should erase concerns over Fed rate hikes, and heighten demand for precautionary rate cuts. This is why we expect a shift to a bull-steepening yield curve regime in 2H27.
- **Under the bear-flattening environment up to 1H27, investors should screen for strategic alternatives capable of hedging interest rate risks and possessing pricing power. Realizing the KOSPI's anticipated weak-1H27 and strong-2H27 trajectory and engaging in index-beta plays will have to wait until the yield curve shifts to bull steepening in 2H27.**

US 10-year and 2-year yield curve and Fed policy rate



Source: LSEG Workspace, Yuanta Securities

3-month returns of S&P500 and KOSPI by yield curve regime since 1980



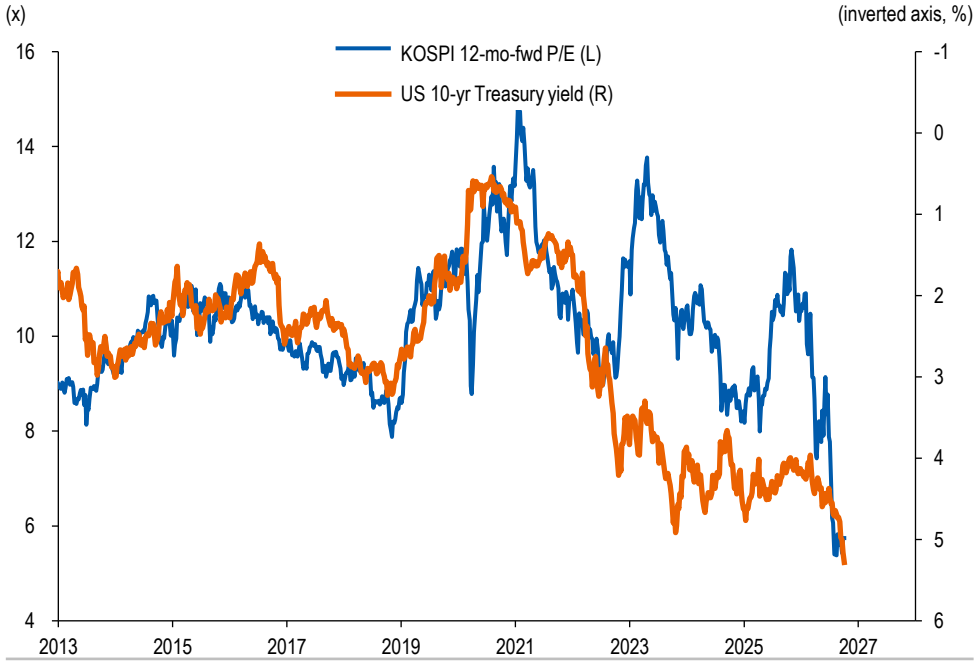
Note: excludes NBER recessions

Source: LSEG Workspace, Yuanta Securities

Normalization of KOSPI's share prices, valuations, fund flows to unfold alongside market rate regime changes

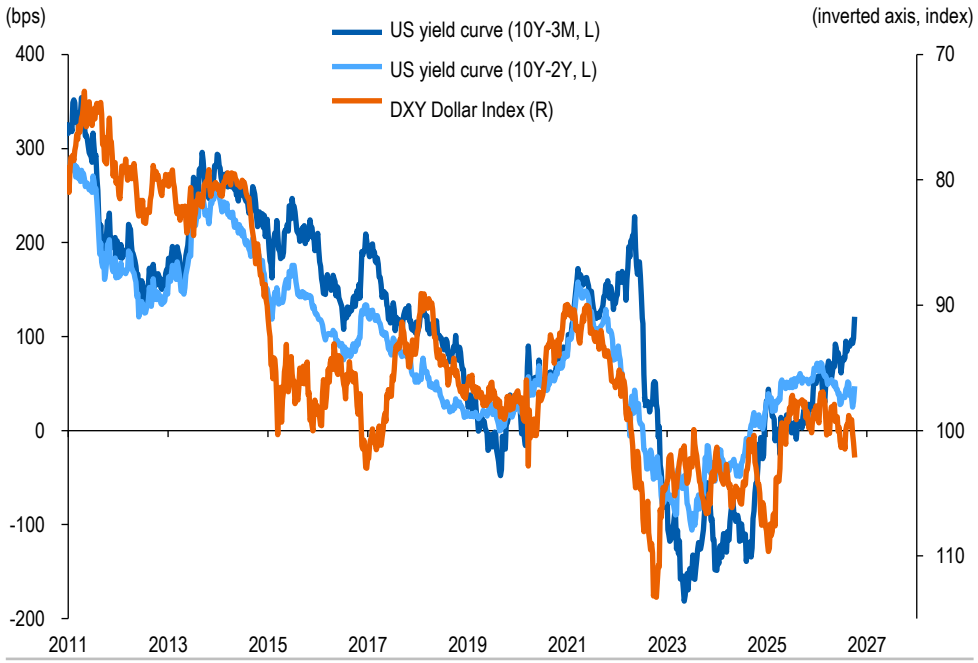
- **Korean stock prices, valuation multiples, and investor flows, which have suffered from an extreme undervaluation alongside Korea's semiconductor heavyweights, will likely stage a gradual normalization in tandem with changes in the interest rate environment.**
- Through 1H27, with the risks of high inflation, aggressive tightening, and elevated interest rates reflected in a bear-flattening yield regime, we expect the recovery of share prices, valuations, and foreign fund flows to remain sluggish and highly selective.
- Through 1H27, investment strategies should prioritize the selection of specific sectors and stocks over the broader market, and favor KOSDAQ small- to mid-cap earnings players rather than large-caps on the KOSPI.
- The peak-out of uncertainties surrounding high inflation, aggressive tightening, and elevated interest rates together with a shift to a bull-steepening yield regime in 2H27 should support a mean-reversion in share prices, multiples, and fund flows on the KOSPI. This underpins our strong conviction in the KOSPI securing a firm footing at the 10,000pt level, spearheaded by AI/semiconductor value chain heavyweights.

US 10-year Treasury yield and KOSPI 12-month-forward P/E



Source: LSEG Workspace, Yuanta Securities

Dec 2026 expiry overnight index swap (OIS) rate and DXY Dollar Index

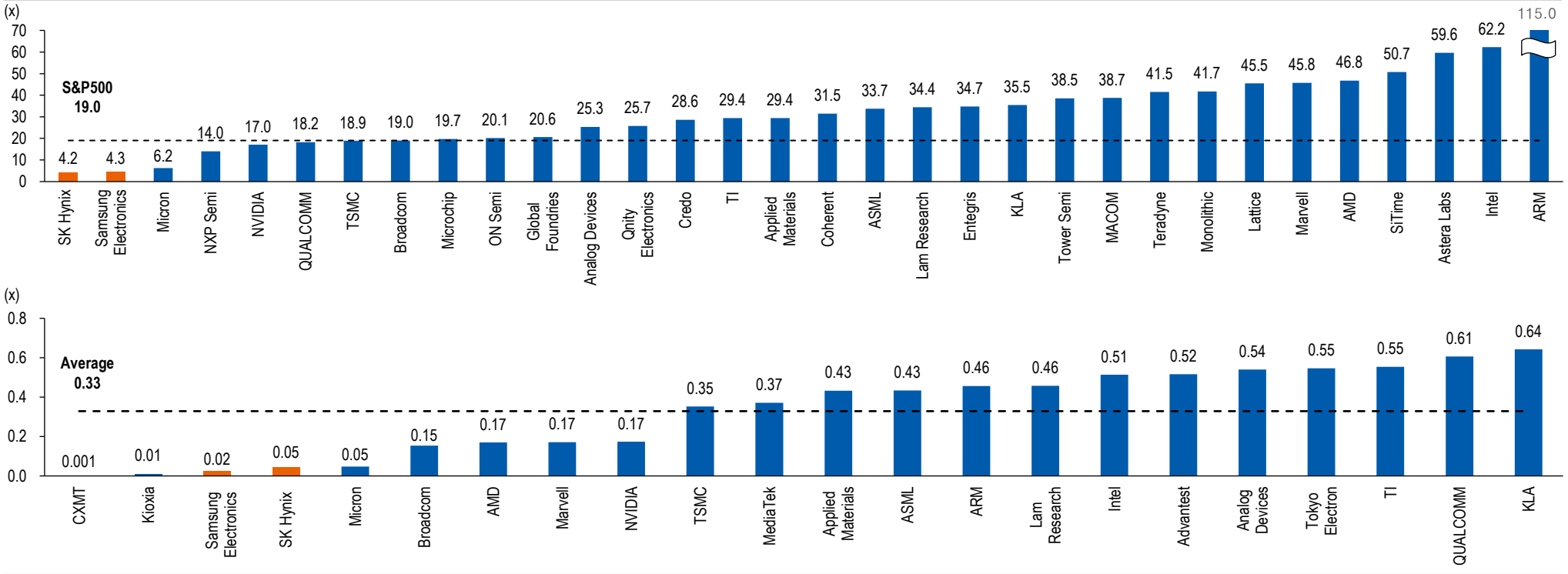


Source: LSEG Workspace, Yuanta Securities

2) 2027 strategic focus: ii) causes and outlook for severe undervaluation of AI/semiconductor value chain

- **A critical dilemma raised in 2026 and one of the key issues to resolve in 2027 is the extreme pessimism surrounding the industry outlook and the undervaluation of share prices and multiples related to domestic and global AI/semiconductor value chain leaders.**
- The Philadelphia Semiconductor Index trades at a 12-month-forward P/E of 21.1x as of early-October, essentially in line with the broader S&P500 at 19.0x, while sector leaders including Micron, NVIDIA, and TSMC trade below the market average.
- Peter Lynch, an advocate of the PEG metric, defined a PEG ratio below 0.5x as an indicator of severe undervaluation relative to earnings growth, but most global AI/semiconductor leaders with market caps exceeding $100bn are trading well below 0.5x (Kioxia 0.01, Samsung Electronics 0.02, SK Hynix 0.05, Micron 0.05, AMD 0.17, NVIDIA 0.17, and TSMC 0.35).

(Top) 12-month-forward P/E of constituents in the Philadelphia Semiconductor Index; (bottom) PEG (PER ÷ EPS growth) of global semiconductor firms with market cap of over $100bn

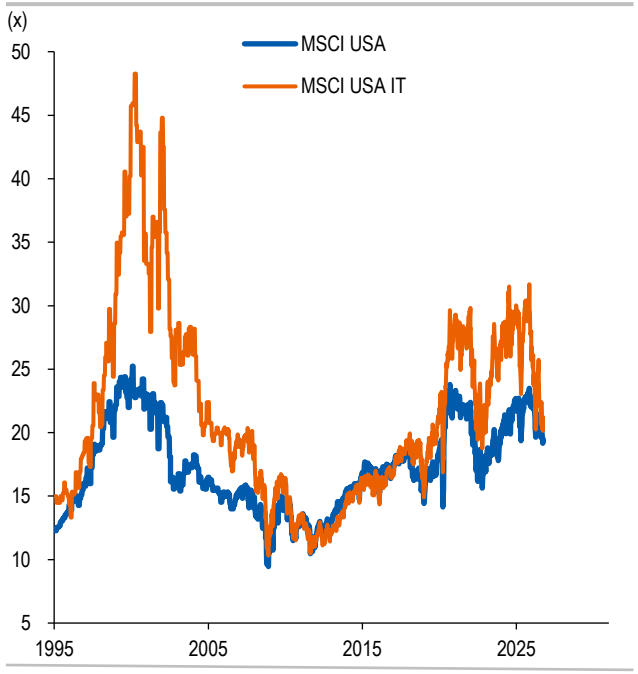


Source: Bloomberg, Yuanta Securities

Undervaluation of AI/semiconductor sector stems from excessive pricing-in of risks of high inflation, aggressive tightening, and elevated interest rates

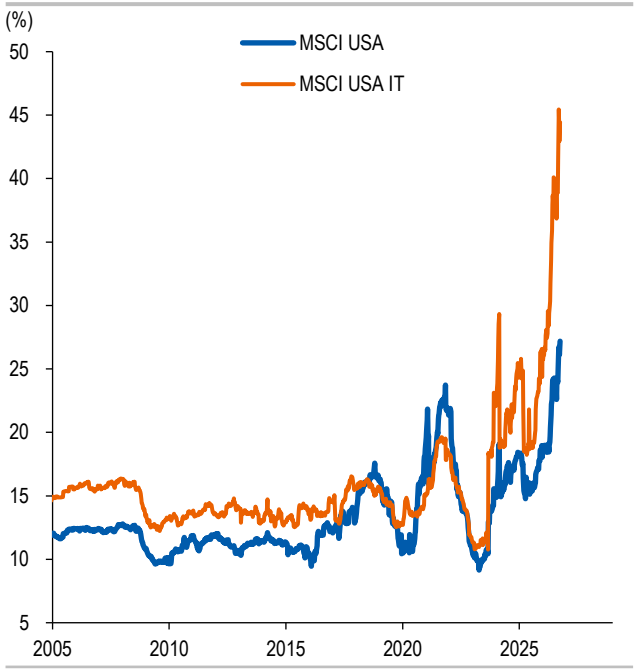
- **The pervasive undervaluation of domestic and overseas AI/semiconductor value chain leaders is fundamentally rooted in the escalation of high inflation (oil price), aggressive tightening, and high interest rate risks.**
- 1) Intensifying inflation, tightening, and interest rate risks have exacerbated doubts over the sustainability and secular longevity of the AI capex supercycle.
- 2) Concerns persist over a potential deceleration in the US AI capex supercycle (stalling AI monetization) alongside uncertainties surrounding China's efforts to catch up in the AI/semiconductor value chain.
- 3) A prolonged period of high inflation, tightening, and elevated interest rates could worsen financial bottlenecks and debt (off-balance-sheet debt) risks among Big Tech firms and hyperscalers
- 4) Insufficent revenue relative to current capex at key Big Tech firms and hyperscalers together with underappreciated depreciation burdens clouds the visibility and reliability of mid- to long-term earnings forecasts.

MSCI USA market and IT sector 12-month-forward P/E



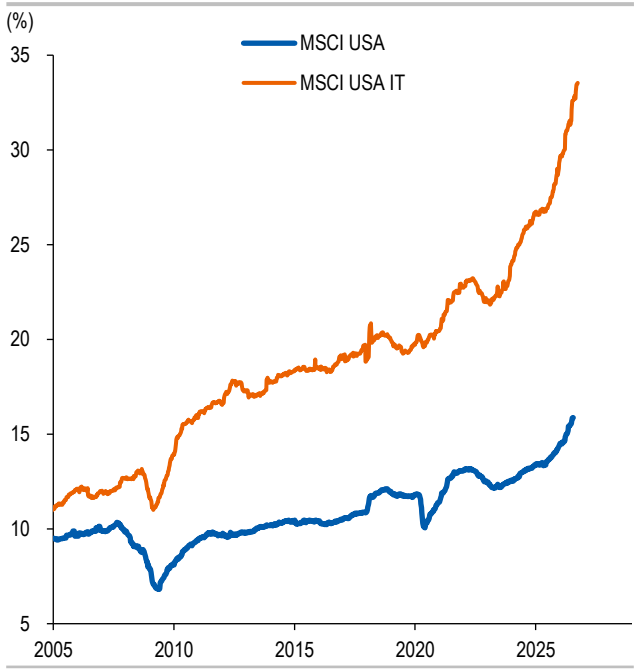
Source: LSEG Workspace, Yuanta Securities

MSCI USA and IT sector long-term EPS growth forecast



Source: LSEG Workspace, Yuanta Securities

MSCI USA and IT sector 12-MFW NPM (EPS/SPS)

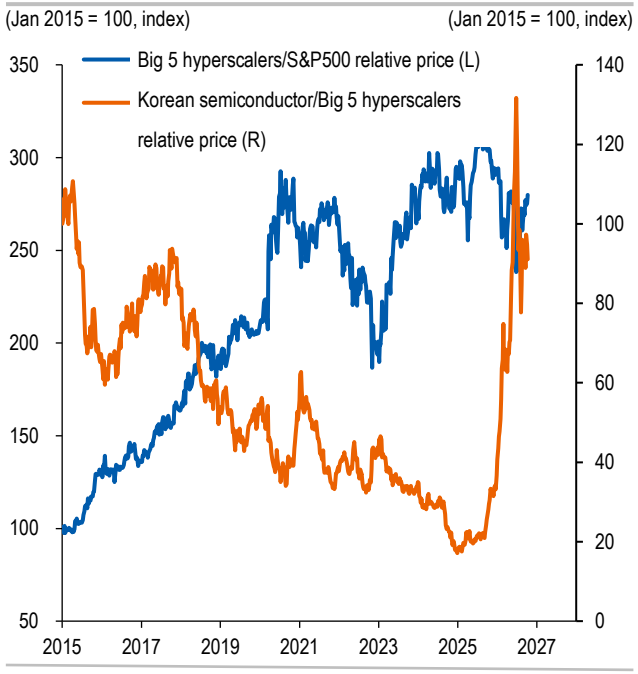


Source: LSEG Workspace, Yuanta Securities

High sensitivity to rates as intermediate/capital goods makers and KOSPI's extremely high volatility constrain Korean semiconductors

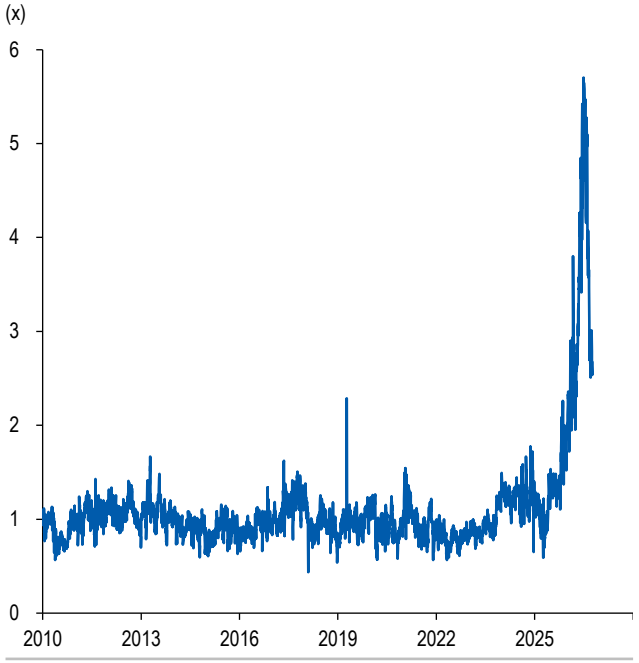
- **Korean semiconductor stocks face additional constraints on share prices, valuations, and fund flows, as they are intermediate/capital goods makers highly sensitive to inflation, tightening, and interest rates, while also being part of a high-beta, highly volatile market.**
- While both Korean and US AI/semiconductor firms are linked directly to the global AI capex supercycle, US leaders tend to be final and consumer goods/service plays and less sensitive to interest rates and inflation, while Korean firms are intermediate and capital goods/manufacturers, making them highly to sensitive to inflation and interest rates.
- As of early October, Samsung Electronics accounted for 28.9% of total KOSPI market cap and 38.9% of forecast 2026 OP, while SK Hynix accounted for 24.1% and 26.9%, respectively. The WI26 semiconductor sector accounted for 56.5% of the KOSPI's market cap and 71.1% of forecast 2026 OP. Adding exposure to Korean semiconductor leaders based only on earnings fundamentals inadvertently increases aggregate portfolio sensitivity to broad Korean market beta.
- The prevailing view among foreign investors is that it is preferable to sidestep Korea's extreme volatility for now, despite the explosive earnings growth of leading Korean AI/semiconductor firms and their rock-bottom valuations.

Relative performance of hyperscalers vs S&P500 and Korean semiconductor stocks vs hyperscalers



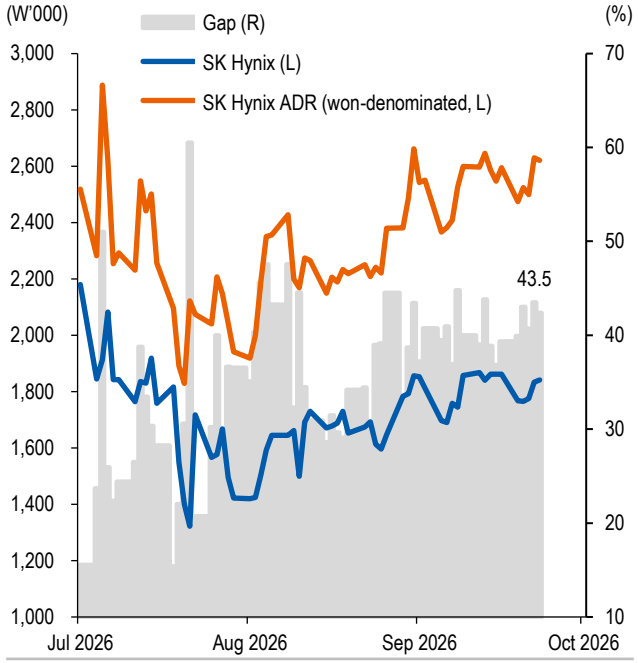
Note: Big 5 US hyperscalers are Microsoft, Google, Amazon, Meta, Oracle
Source: LSEG Workspace, Yuanta Securities

VKOSPI/VIX relative ratio: 2.7x as of early October



Source: Bloomberg, Yuanta Securities

SK Hynix common shares-ADR price divergence +43.5%

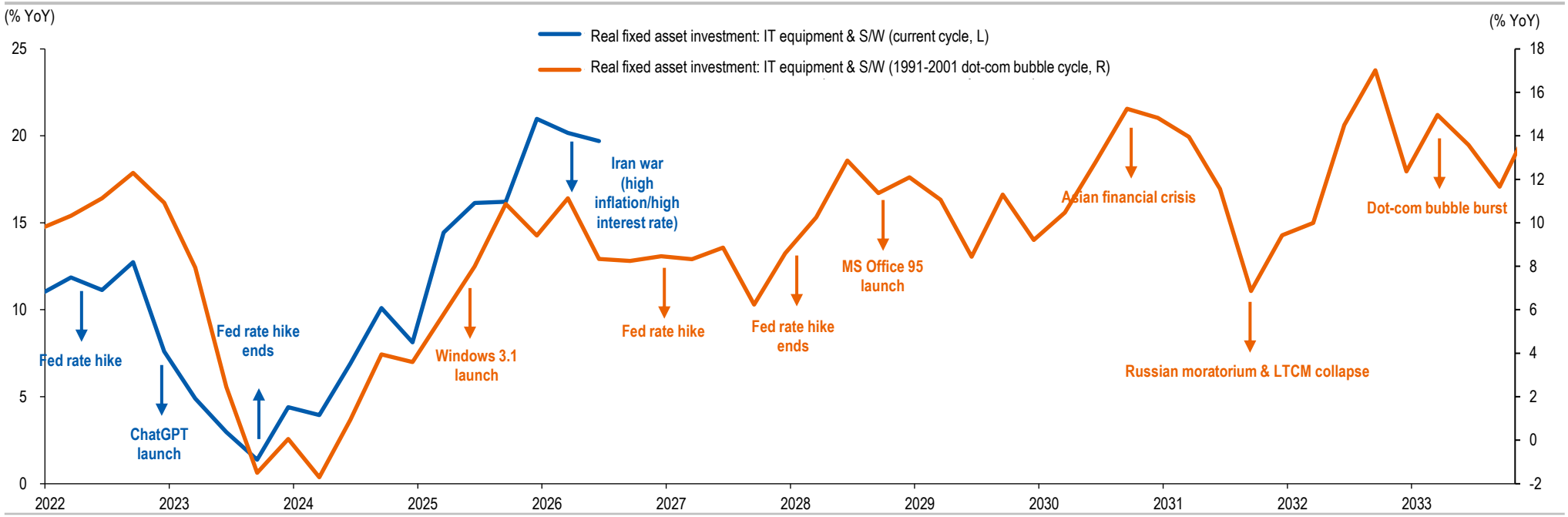


Source: LSEG Workspace, Yuanta Securities

Tech boom & bust cycles evolve as triad of tech innovation, policy support, and sudden systemic risks

- **While power and political dominance rarely last for a decade, human history shows that tech revolutions and capex supercycles face little difficulty in sustaining momentum for at least 10 years, provided that technological innovation and policy support persist while macro crises are avoided.**
- Typically, a tech boom & bust cycle unfolds through a three-part dynamic of industrial/technological innovation, fiscal/monetary policy support, and sudden systemic risks.
- The 1991-2001 dot-com bubble cycle enjoyed structural growth driven by breakthroughs in internet, telecommunications, software, and media technologies together with fiscal/monetary policy support, before ending abruptly upon the emergence of systemic risks.
- What stands out is the striking structural similarity between real fixed asset investment (capex) in IT equipment and S/W during the 1990s dot-com bubble and the ongoing AI/semiconductor technological revolution.

US real fixed asset investment in IT equipment and S/W: tech boom & bust cycle accelerates on industrial/technological innovation and policy support (fiscal/monetary) before collapsing under unprecedented systemic risks

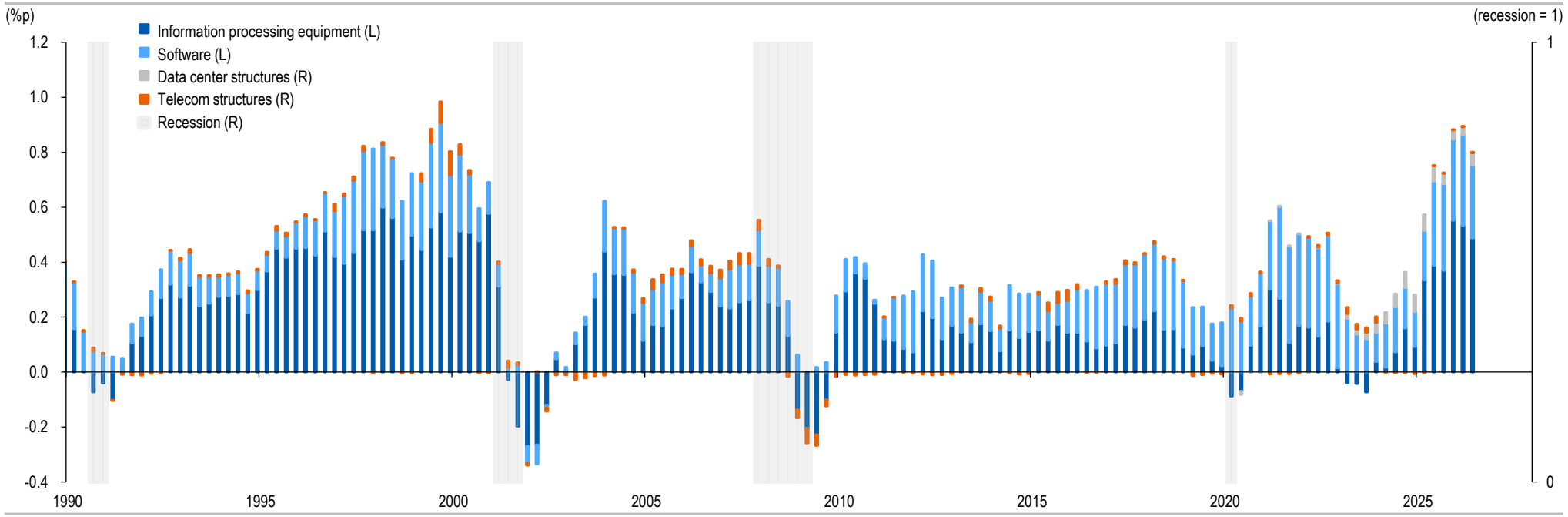


Source: LSEG Workspace, Yuanta Securities

Even if dot-com crash is repeated, AI/semiconductor technological revolution to persist for at least five more years

- **Even if the trajectory of the current cycle mirrors the bursting of the dot-com bubble of the early 2000s, we believe the current AI/semiconductor capex supercycle can persist for at least five more years.**
- As of 1Q26, the contribution of US real IT spending to real GDP growth came to 0.8%p, the highest since the 2000s and similar to the level seen during the 1990s dot-com bubble cycle.
- 1) The pace of AI/semiconductor innovation is much faster than that of the 1990s dot-com bubble. 2) Its spillovers are highly likely to become the largest industrial revolution in human history, far eclipsing the effects of the internet/telecom revolution. 3) The current AI capex race is evolving into an all-out rivalry between the US and China, matching the scale of the US-Soviet space and arms race, implying that fiscal/monetary policy support is highly likely to remain structural regardless of macro and financial market volatility. 4) The probability of a catastrophic, near-term macro collapse remains near zero.

Contribution of US IT spending to real GDP growth by category: scale and speed of ongoing AI/semiconductor capex outpaces 1991-2001 dot-com bubble cycle

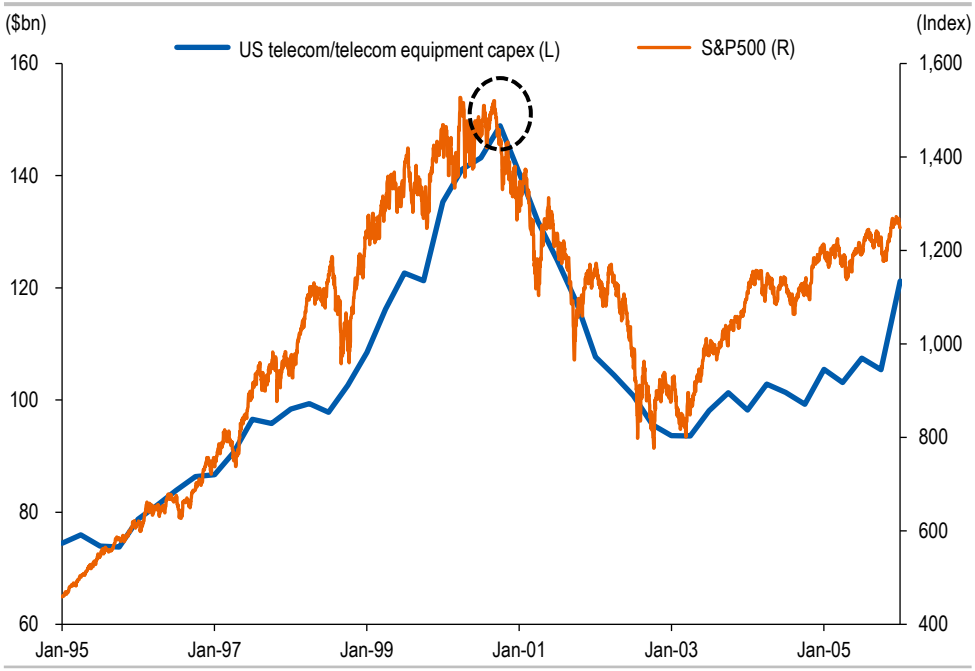


Source: LSEG Workspace, Yuanta Securities

Dot-com bubble case study: plunging free cash flow served as leading signal for capex/share price crashes

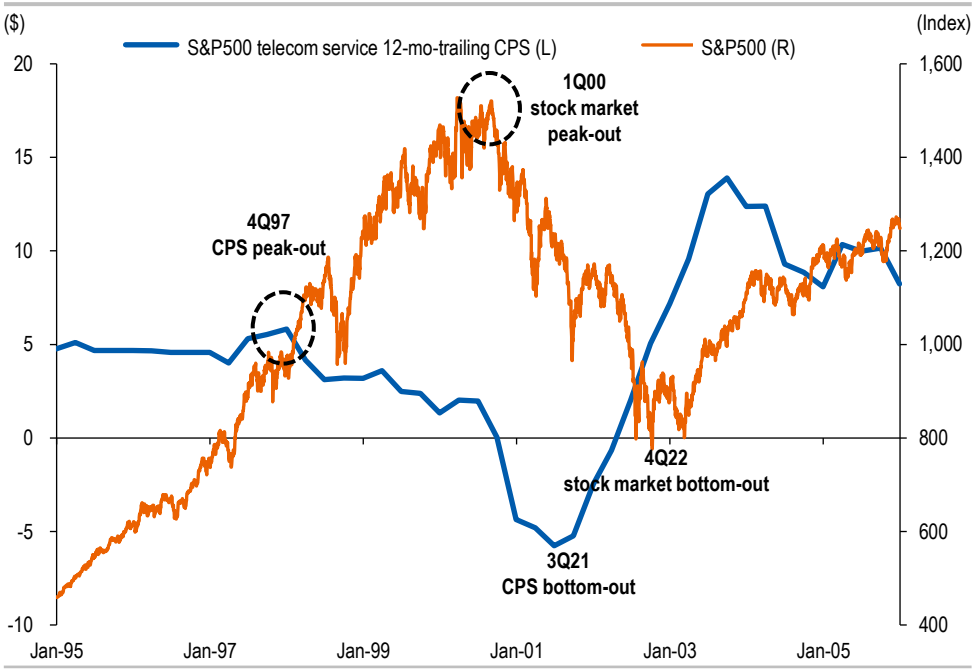
- **Concerns that high inflation, aggressive tightening, and elevated interest rates could exacerbate financing bottlenecks and debt-related risks among Big Tech firms and hyperscalers form another core pillar driving the severe undervaluation of AI/semiconductor stocks.**
- The 1Q00 dot-com crash was directly preceded by a peak-out in FCF among leading US telecom/telecom equipment companies, which had spearheaded the internet/telecom revolution.
- The 12-month-trailing CPS (cash per share or free cash flow) for the S&P500 telecom services sector peaked in 4Q97, while shares and capex began to plunge later, starting in 1Q00.
- Subsequently, the bottoming of telecom sector CPS in 3Q21 served as the leading signal that shares and capex would reach bottom in 4Q22.

US telecom/telecom equip capex and S&P500: capex coincides with or lags share prices



Note: telecom/equipment capex measured as the sum of communication and communication equipment within private fixed investment
Source: Bloomberg, Yuanta Securities

S&P500 telecom service 12-month-trailing CPS and S&P500

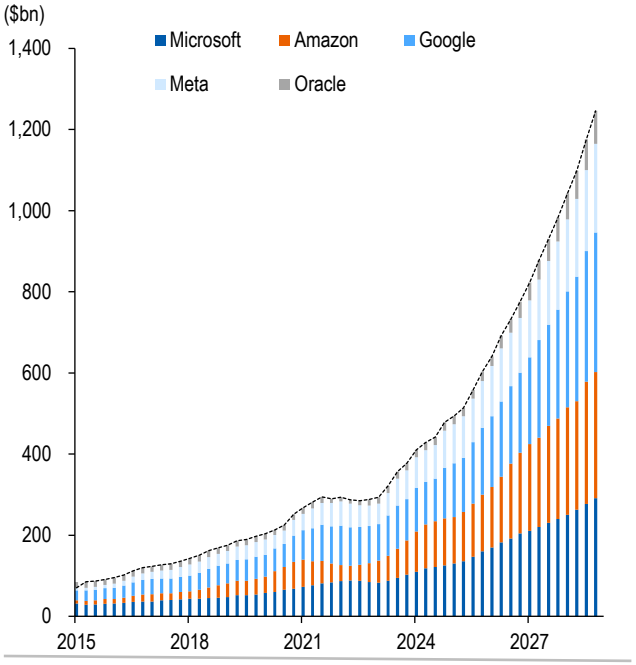


Source: Bloomberg, Yuanta Securities

US Big 5 FCF to turn negative in 2026 on explosive capex growth

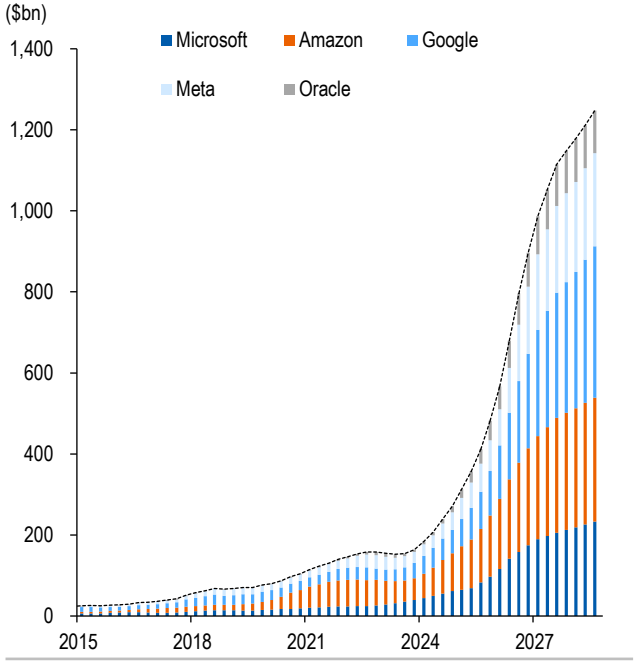
- Capex across the US Big 5 will likely expand relentlessly from $411.5bn in late-2025 to $805.2bn at end-2026, and $1,119.6bn at end-2027.
- FCF across the US Big 5 hyperscalers is almost certain to turn negative in 2026 after peaking in 2024, reflecting the impact of surging AI capex.
- Memories of the bursting of the dot-com bubble, where a sharp drop in FCF served as the strongest signal of subsequent crashes in capex and share prices have fueled growing skepticism regarding the long-term sustainability of the AI capex supercycle.
- **However, 1) while shrinking FCF due to surging AI capex resembles the conditions preceding the dot-com collapse; 2) current OCF at Big Tech firms and hyperscalers continues to rise sharply, in contrast to weak OCF at leading internet, telecom, and software firms during the dot-com bubble; and 3) borrowing constraints and credit risks remain negligible, in stark contract to the dot-com era.**

US Big 5 hyperscalers: operating cash flow



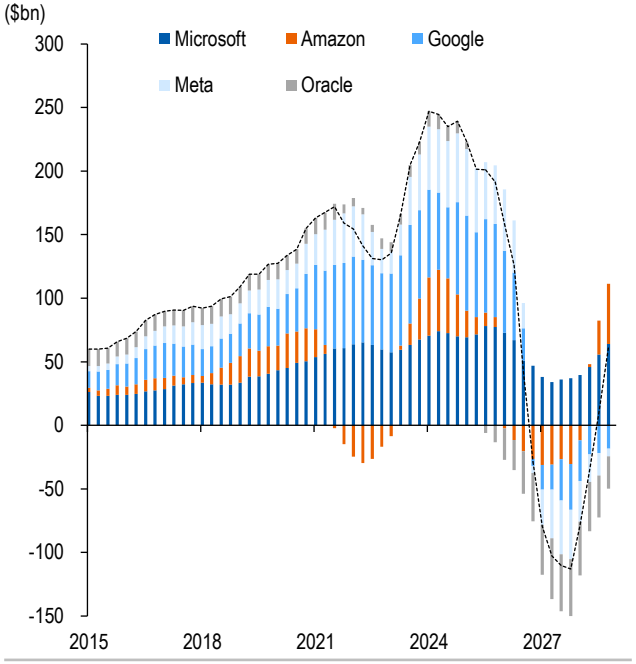
Source: Bloomberg, Yuanta Securities

US Big 5 hyperscalers: capex



Source: Bloomberg, Yuanta Securities

US Big 5 hyperscalers: free cash flow

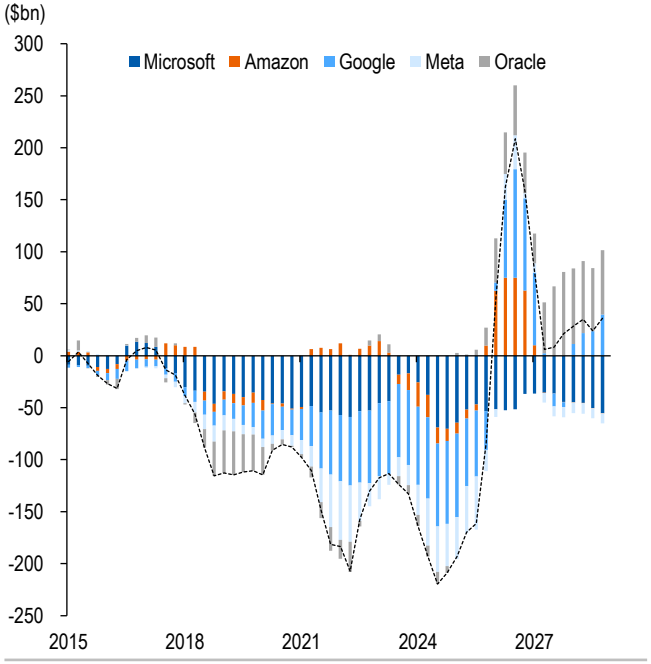


Source: Bloomberg, Yuanta Securities

Explosive OCF growth and limited external financing relative to capex mark a stark contrast with the dot-com bubble

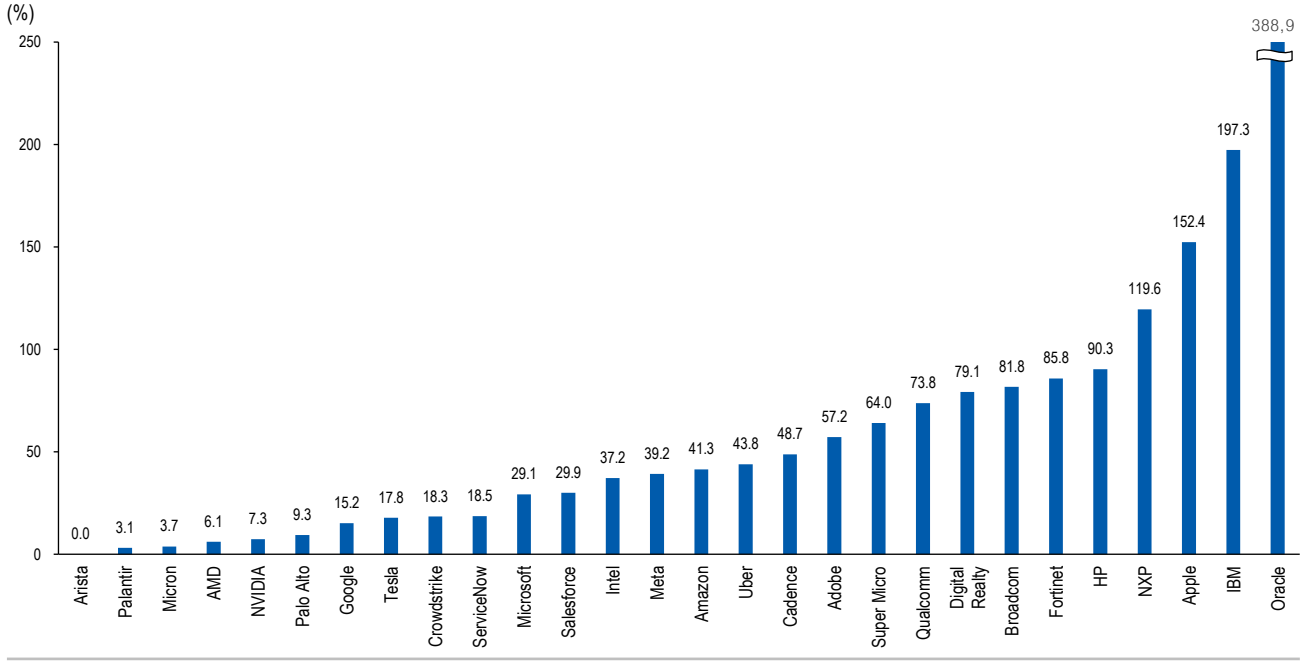
- **Explosive growth in operating cash flow and limited external financing relative to capex underscore why the AI capex supercycle could follow a very different path from the collapse of the dot-com bubble.**
- During the dot-com bubble, capex relied entirely on external funding through debt financing (bond issuance and other borrowings) and equity financing (IPOs and share offerings), rather than internally generated cash flow (OCF or FCF). With funding costs increasing from internal cash flow to debt financing and then equity financing, capex that relied on external funding was inherently difficult to sustain.
- Through 1H25, major Big Tech firms and hyperscalers funded AI capex entirely through internally generated cash flow, without equity or debt financing.
- Debt financing began to supplement internal funding in 2H25, led by Oracle (debt-to-equity ratio of 389%), Amazon (41%), and Meta (39%). However, the amounts remain modest relative to OCF/FCF. Despite intensifying risks from high inflation, tight monetary policy, and high interest rates, these companies face no funding constraints, while concerns over contagion into a credit crisis remain largely unfounded.

Financing cash flow of the Big 5 US hyperscalers



Source: Bloomberg, Yuanta Securities

Debt-to-equity ratios of leading US AI companies (hyperscalers and semiconductors)

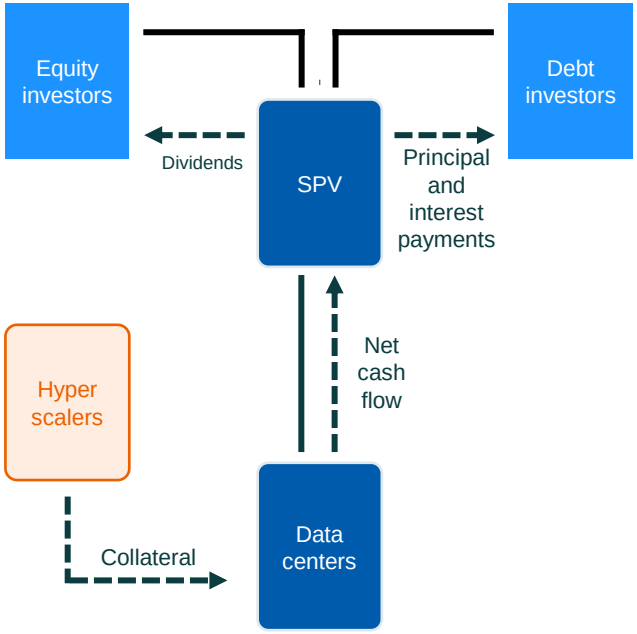


Source: Bloomberg, Yuanta Securities

Hyperscalers' off-balance-sheet debt risks manageable despite concerns

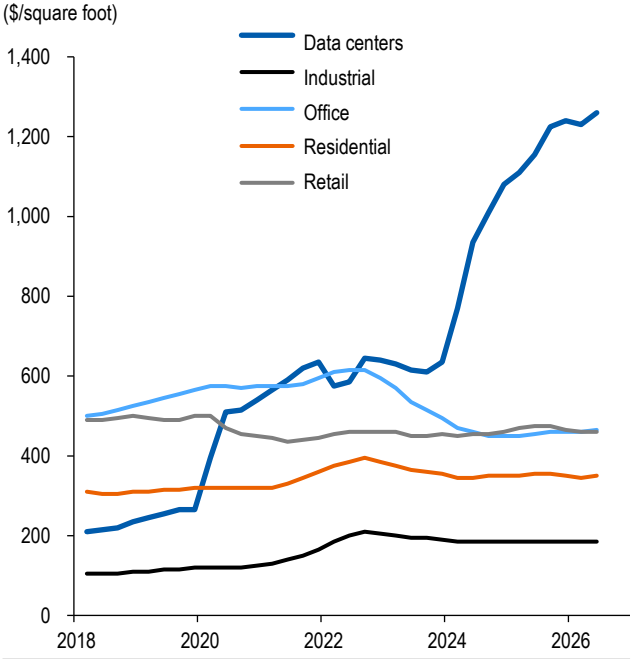
- **Contrary to concerns in some parts of the market, we believe off-balance-sheet debt at major big tech firms and hyperscalers is likely to remain manageable.**
- Off-balance-sheet debt can escalate into a risk or shock if SPV sponsorship is unclear, limited recurring cash flow impairs principal and interest payments, and bonds issued by SPVs have limited marketability.
- However, 1) most hyperscaler off-balance-sheet debt consists of debt recorded on the books of SPVs established to develop data centers; 2) hyperscalers account for more than 70% of leased data center capacity, providing rental income that supports principal and interest payments to SPV creditors; and 3) rising data center land values are also driving a sharp increase in SPV book values.
- At end-2Q26, off-balance-sheet debt as a share of net assets stood at 35.2% for Meta, 21.8% for Alphabet, 15.1% for Microsoft, and 9.9% for Amazon—modest levels relative to the concerns raised.

Big Tech firms and hyperscalers retain effective control over SPVs and data centers



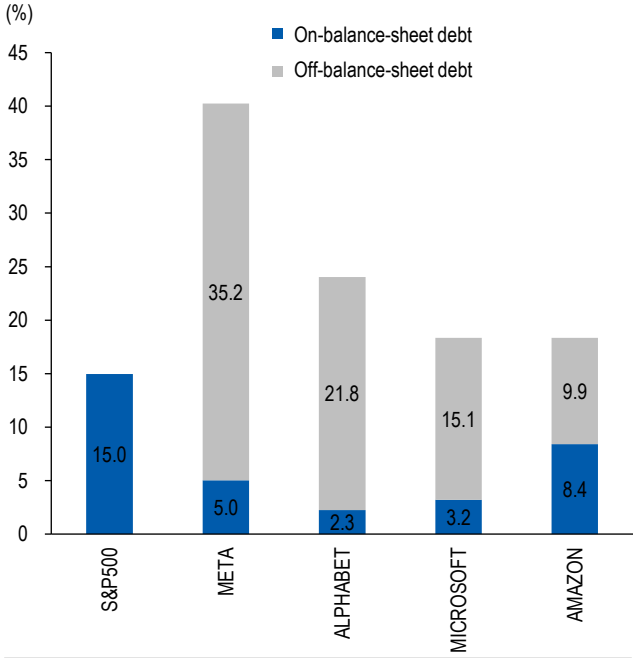
Source: Yuanta Securities

Real estate values by use: data center property values surge



Source: LSEG Workspace, Yuanta Securities

Hyperscaler debt-to-equity ratios including off-balance-sheet debt

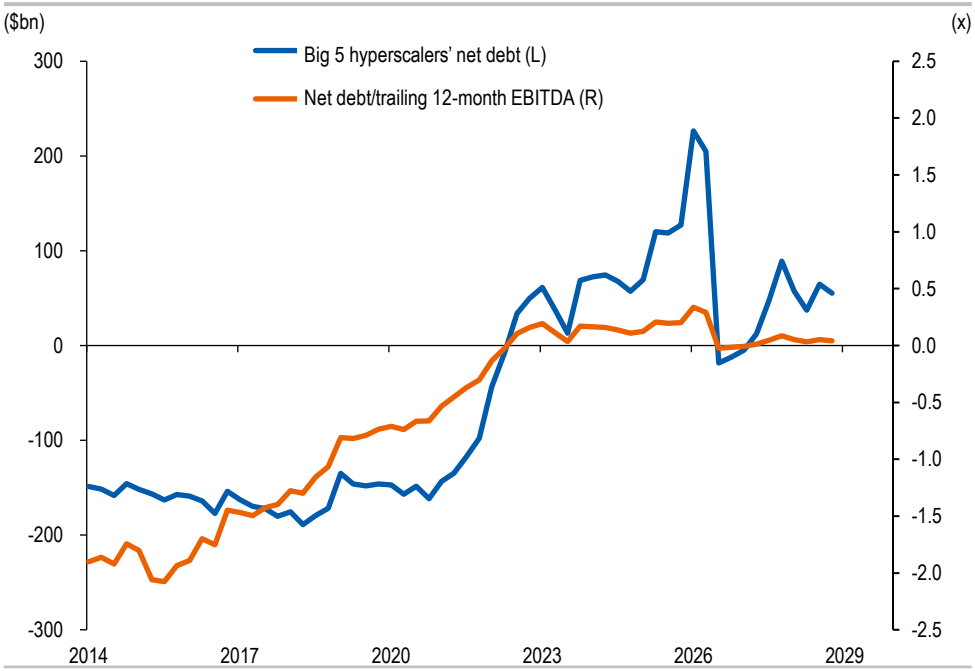


Source: Factset, Yuanta Securities

Concerns over hyperscaler debt risks and funding constraints largely exaggerated, temporary noise

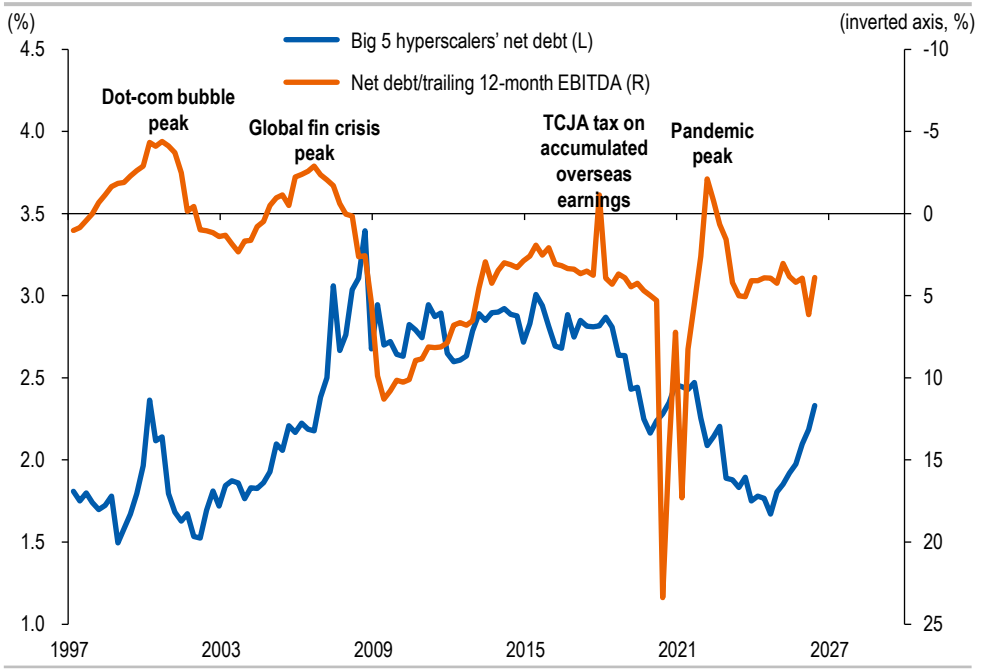
- **We view concerns over Big Tech and hyperscaler debt risks and funding constraints as temporary noise, greatly exaggerated by heightened uncertainty over high inflation, tight monetary policy, and high interest rates.**
- Net debt at the Big 5 hyperscalers surged to $204.7bn at end-2Q26, but EBITDA also jumped to $705.9bn, keeping the net debt-to-EBITDA ratio at just 29.0%.
- Although surging AI capex has weighed on free cash flow at hyperscalers, their on- and off-balance-sheet debt could be repaid through operating cash flow in less than six years as of end-2Q26.
- Whether the Big 5 continue to access debt and equity financing, and whether funding constraints intensify, will largely depend on private-sector liquidity and the underlying strength of the economy. However, 1) US margin debt currently stands at 2.3% of market capitalization, under the 3.4% level during the 2008 financial crisis; 2) the private-sector financial balance is currently +3.9% of GDP (net lending), in stark contrast to readings below -3% (net borrowing) during past crises; and 3) funding conditions are likely to improve further as high inflation, tight monetary policy, and high interest rate risks peak in 2027.

Net debt and net debt-to-EBITDA ratio at Big 5 hyperscalers



Note: figures from 3Q26 onward are based on Bloomberg consensus
Source: Bloomberg, Yuanta Securities

NYSE margin debt/S&P 500 market cap, US private-sector financial balance/nom GDP

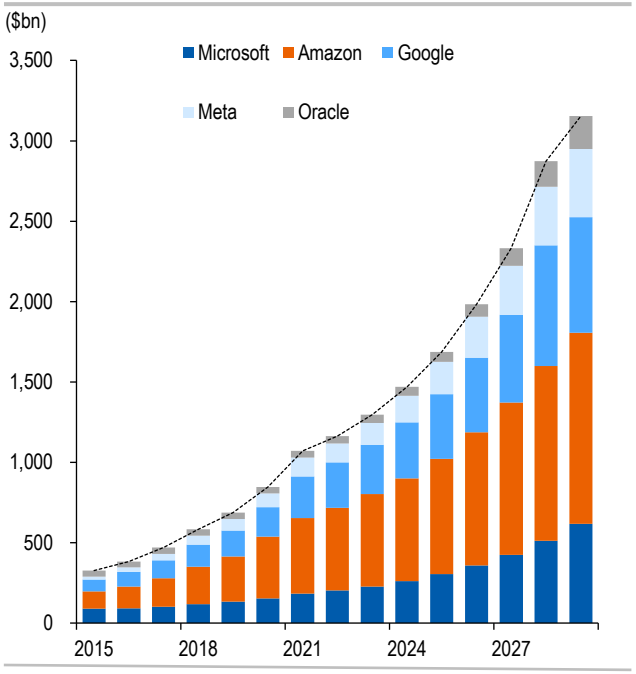


Source: LSEG Workspace, Yuanta Securities

Watch for revenue shortfalls relative to surging capex and underestimated depreciation

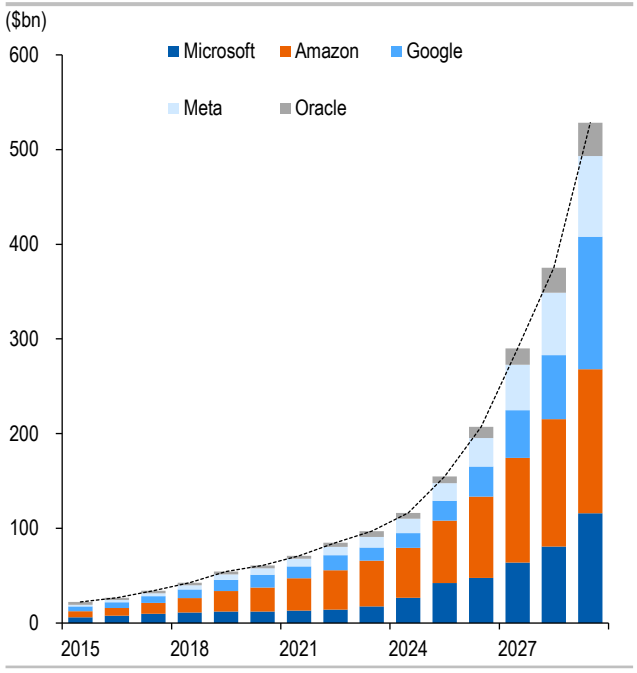
- **Key risks for investors to monitor in 2027 are whether hyperscaler revenue can keep pace with surging capex and whether underestimated depreciation could heighten earnings uncertainty**.
- Current consensus forecasts for capex/depreciation among the Big 5 hyperscalers are $805.2bn/$207.3bn for 2026, $1,119.6bn/$289.9bn for 2027, and $1,236.1bn/$375.1bn for 2028.
- 1) Given $1.1tn in capex in 2027, achieving a 20% ROIC at a 50% EBITDA margin would require $3.9tn in revenue, versus current consensus of only around US$2.3tn.
- 2) If ROIC falls to 5%, just one-quarter of the current market consensus, required revenue would decline to $2.6tn, closer to consensus. However, a sharp deterioration in return on invested capital could lead to accelerated depreciation, pushing actual depreciation expenses well above consensus. The resulting increase in earnings uncertainty would inevitably prompt a cautious response from investors, weighing on stock prices and investor flows.

Big 5 hyperscaler revenue



Source: Bloomberg, Yuanta Securities

Big 5 hyperscaler depreciation cost, including depletion



Source: Bloomberg, Yuanta Securities

Estimated revenue requirements based on Big 5 hyperscaler capex

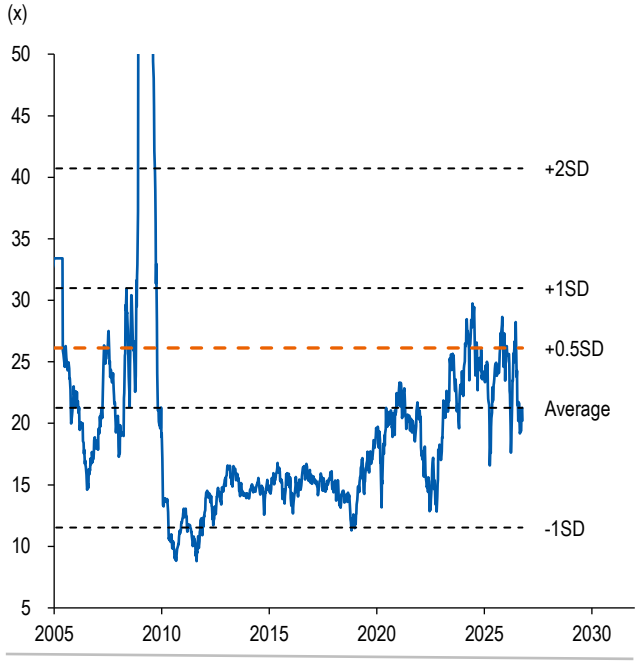
Item	Amount ($tn)
2027 Big 5 hyperscaler capex	1.1
Gross capital stock	8.5
Net capital stock	4.2
1) EBIT (assuming 5% pretax ROIC)	0.2
1) EBIT (assuming 20% pretax ROIC)	0.8
2) EBITDA (assuming 5% pretax ROIC)	1.3
2) EBITDA (assuming 20% pretax ROIC)	1.9
3) Revenue (assuming 5% pretax ROIC and a 30% EBITDA margin)	4.4
3) Revenue (assuming 5% pretax ROIC and a 50% EBITDA margin)	2.6
3) Revenue (assuming 20% pretax ROIC and a 30% EBITDA margin)	6.5
3) Revenue (assuming 20% pretax ROIC and a 50% EBITDA margin)	3.9

Note: depreciation rate including depletion assumed at 13%
Source: Bloomberg, Yuanta Securities

Big Tech's revenue expansion should drive gradual valuation normalization for leading semiconductor stocks in 2027

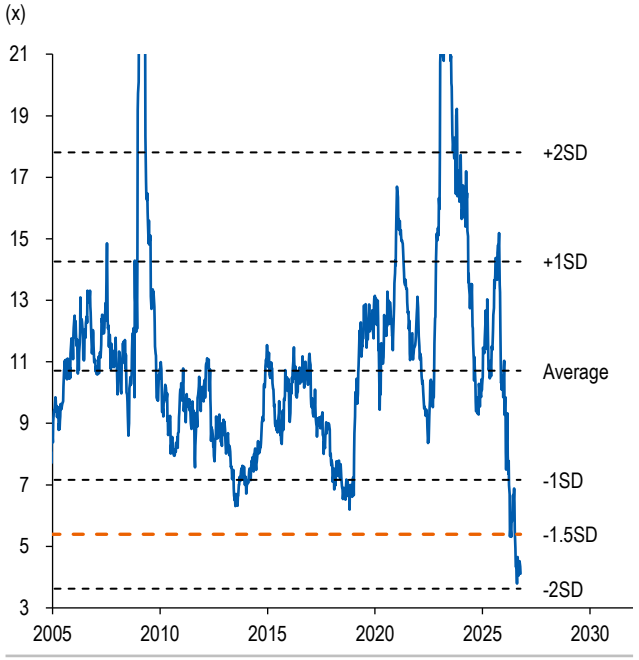
- **Ultimately, 1) the capex investment race is likely to remain an all-out contest until the winners of the AI technological revolution emerge; 2) companies deliberately targeting substantially lower ROIC is an unrealistic assumption, with such declines generally becoming apparent only after the fact; and 3) major Big Tech firms and hyperscalers are therefore likely to focus their 2027 strategies on aggressively expanding their businesses and revenue through new services, including AI agents such as Meta's "Muse" and OpenAI's "dots," and entry into new business areas, rather than further increasing EBITDA margins.**
- Despite margin fluctuations, business expansion by Big Tech firms and hyperscalers should cushion the burden of surging capex and improve the prospects for monetizing those investments, supporting further multiple expansion.
- The Philadelphia Semiconductor Index currently trades at a 12-month-forward P/E of 21.3x, broadly in line with its historical average. Hyperscalers' efforts to expand revenue should drive a normalization of valuations toward 26.1x (+0.5SD).
- Improved visibility on returns from hyperscaler capex and valuation normalization should support mean reversion in Korean semiconductor stock prices, multiples, and investor positioning, all of which have been pushed to extreme lows.

Philadelphia Semiconductor Index 12-month-forward P/E: currently 21.3x → 26.1x in 2027



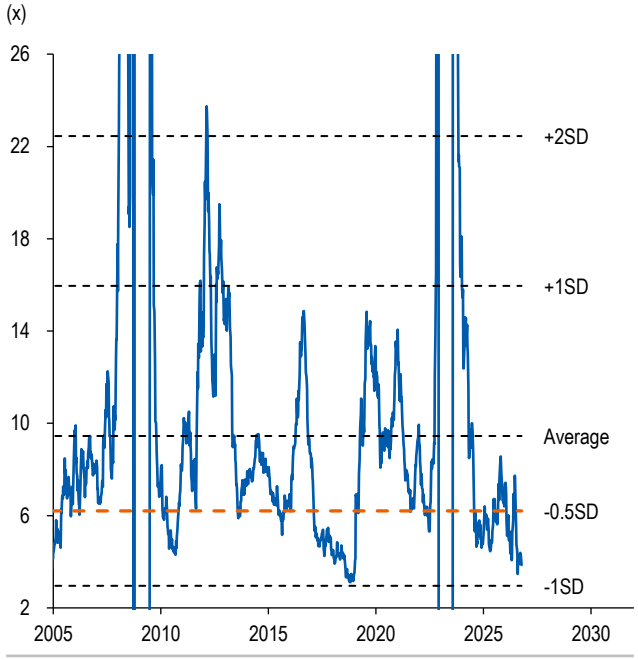
Source: Bloomberg, Yuanta Securities

Samsung Electronics 12-month-forward P/E: currently 4.3x → 5.4x in 2027 (-1.5SD)



Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix 12-month-forward P/E: currently 4.3x → 6.2x in 2027 (-0.5SD)

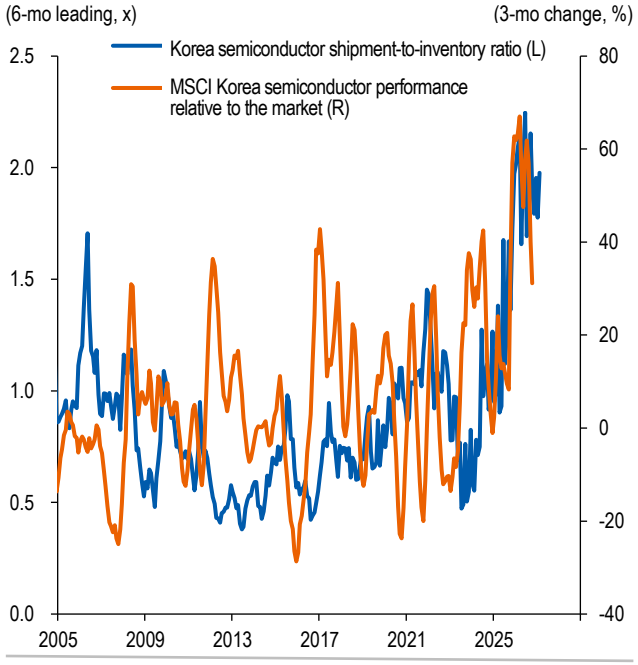


Source: FnGuide Quantiwise, Yuanta Securities

Semiconductor export and earnings supercycle set to continue into 2027

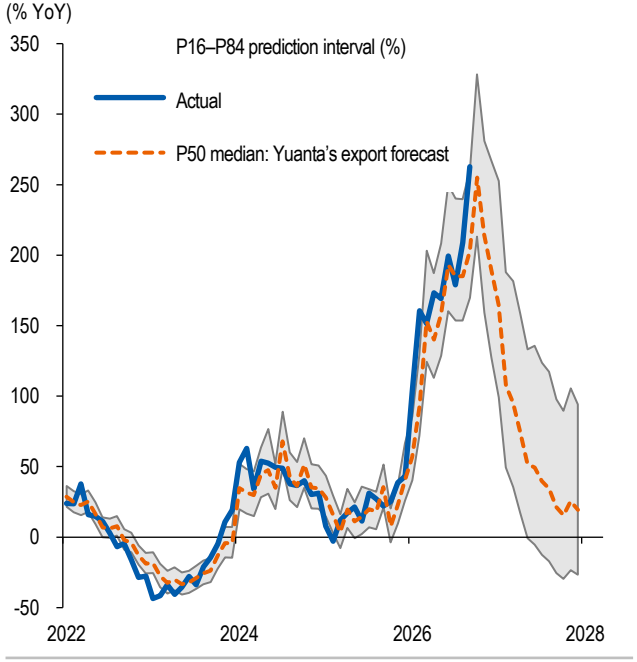
- **We forecast Korea's semiconductor exports at $747bn in 2027, up 46.3% YoY, following projected exports of $510.4bn in 2026 (+194.2% YoY).**
- Korea's semiconductor shipment-to-inventory ratio, which leads semiconductor stocks' performance relative to the broader market by roughly six months, stood at 2.0x as of end-August.
- This underscores that: 1) despite near-term fluctuations, the semiconductor export and earnings supercycle remains firmly intact, with shipments still twice the level of inventories; 2) the extreme undervaluation currently reflected in Korean semiconductor share prices, multiples, and investor flows largely stems from changes in sentiment and positioning rather than fundamentals; and 3) continued export strength should gradually thaw frozen investor sentiment.
- The agentic AI phase, which combines training and inference, requires both high-performance GPUs and AI CPUs that manage AI workloads across the system. As GPUs become more advanced, HBM demand grows arithmetically (surging export prices but flat or declining volumes in 2026). As the role of CPUs expands, demand for conventional semiconductors, led by DDR5, grows exponentially (further export price increases and volume growth in 2027).

Korea's semicon shipment-to-inventory ratio and stock performance relative to market



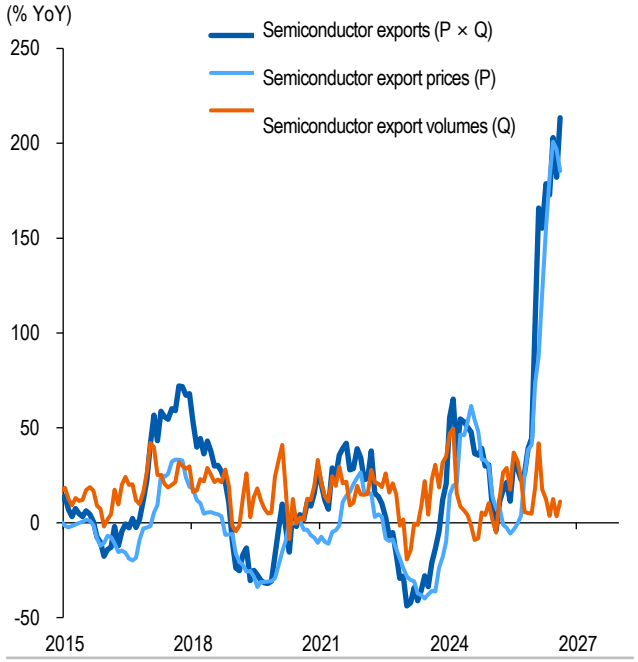
Source: LSEG Workspace, Yuanta Securities

Yuanta Securities' Korean semiconductor export forecasts: +194.2% in 2026 and +46.3% in 2027



Source: LSEG Workspace, Yuanta Securities

Korean semiconductor exports: price-led boom, with volume growth as hidden catalyst

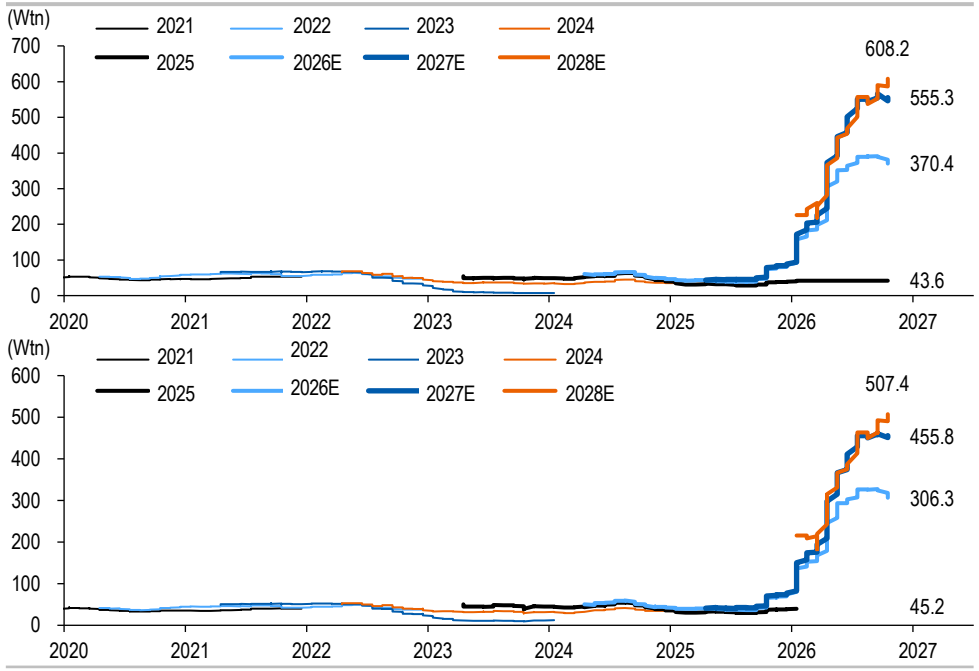


Source: LSEG Workspace, Yuanta Securities

Fallen angels: two semiconductor heavyweights' earnings keep soaring despite plunging share prices, multiples, and investor flows

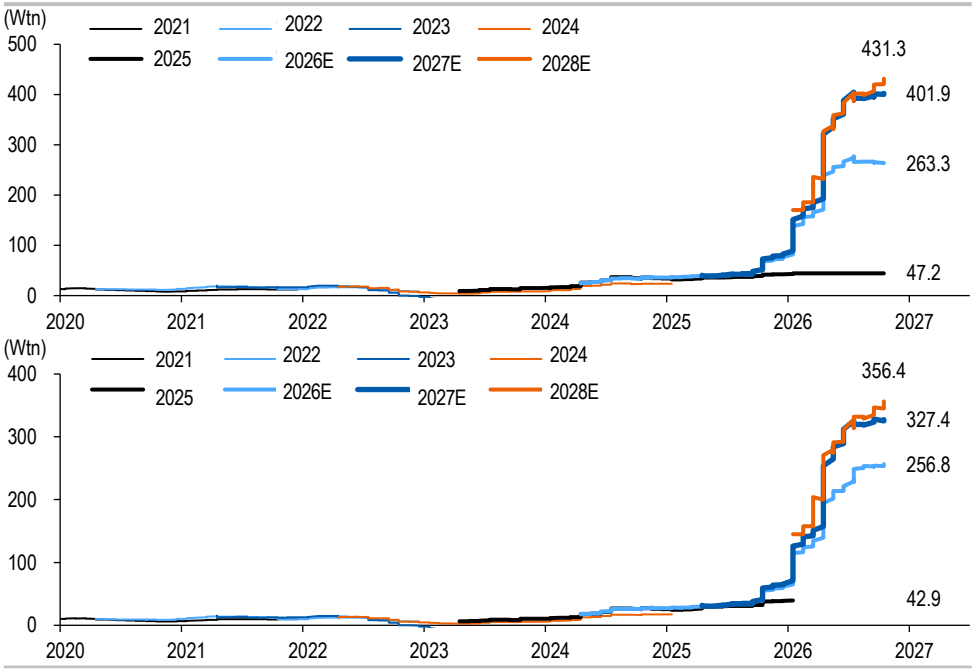
- **Share prices, valuations, and investor flows across Korea's AI and semiconductor value chain, led by Samsung Electronics and SK Hynix, have plunged. However, earnings fundamentals, are expected to remain strong through 2027.**
- Based on consensus as of Oct 8, Samsung Electronics' OP is expected to rise from W370.4tn in 2026 (W254.1tn in 1Q–3Q cumulative OP plus W116.1tn in 4Q26E) to W555.3tn in 2027 (one-month average consensus: W540.4tn; best-case estimate: W632.4tn), before settling at an elevated earnings plateau of W608.2tn in 2028 (one-month average: W572.1tn; best-case: W767.8tn).
- The prevailing view is that SK Hynix's OP will rise from W263.3tn in 2026 (W98.2tn in 1Q–2Q cumulative OP, W77.1tn in 3Q26E, and W88.0tn in 4Q26E) to W401.9tn in 2027 (one-month average consensus: W398.0tn; best-case: W454.1tn), before establishing an earnings base above W400tn at W431.3tn in 2028 (one-month average: W421.9tn; best-case: W599.2tn).

Revisions to Samsung Electronics' annual OP (top) and net profit (bottom) consensus estimates (as of Oct 8)



Source: FnGuide Dataguide, Yuanta Securities

Revisions to SK Hynix's annual OP (top) and net profit (bottom) consensus estimates (as of Oct 8)

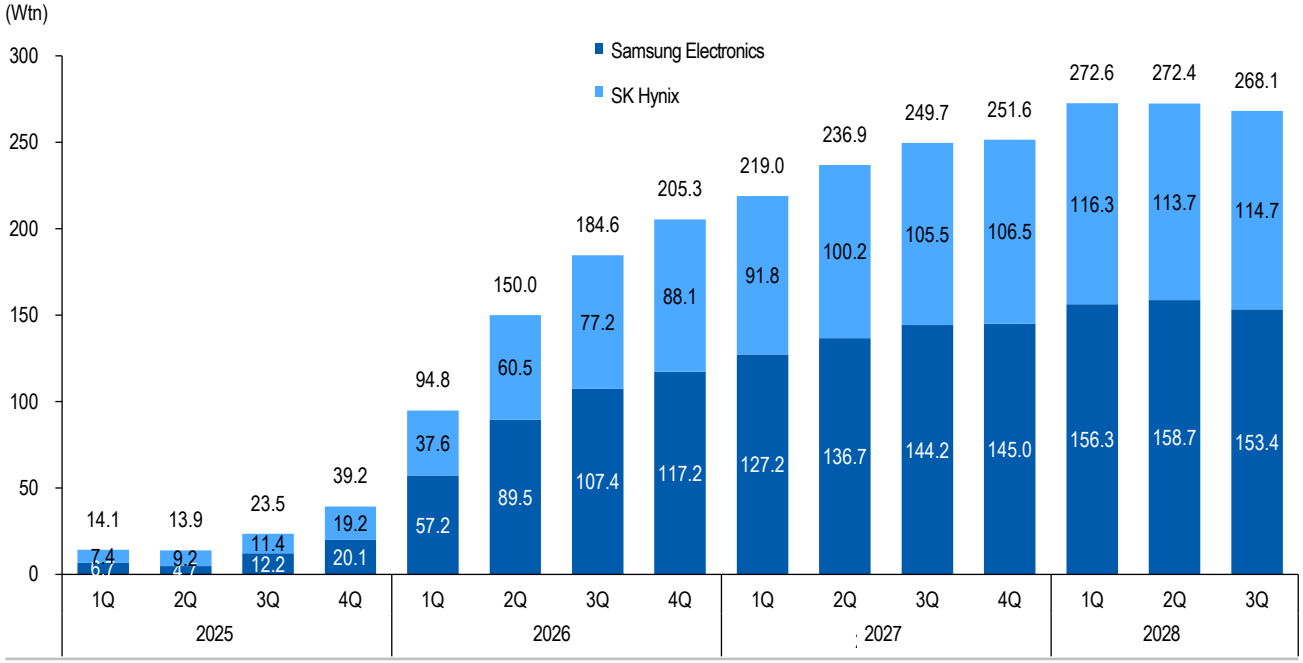


Source: FnGuide Dataguide, Yuanta Securities

LTAs extend contract duration, limit price downside, and improve earnings visibility and forecast reliability

- **Long-term agreements (LTAs) are becoming the prevailing framework for semiconductor supply relationships. 1) Customers' demand forecasts translate directly into binding purchase commitments and obligations; 2) contract terms have extended to at least five years, with rolling extensions; and 3) price floors provide suppliers with safeguards against price downside even in a worst-case scenario. Consequently, 4) the severe volatility that historically characterized semiconductor cycles is likely to moderate over the medium to long term; and 5) visibility and confidence in the current industry and earnings outlook have improved further.**
- According to our semiconductor analyst, Gil-hyun Baik, roughly 70% of supply capacity at both Samsung Electronics and SK Hynix is estimated to be covered by LTAs lasting at least five years and carrying substantial penalties.
- Based on current earnings forecasts, Samsung Electronics could reach the milestone of W100tn in quarterly OP from 3Q26, followed by SK Hynix from 2Q27.
- Based on the highest current earnings estimates, Samsung Electronics (W632.4tn), NVIDIA (W590.9tn), and SK Hynix (W454.1tn) are likely to rank as the world's top three listed companies by OP in 2027, in that order.

Quarterly OP at Samsung Electronics and SK Hynix



Source: FnGuide Quantiwise, Yuanta Securities

Key terms of Micron's strategic customer agreements (SCAs), disclosed at its 3Q earnings release

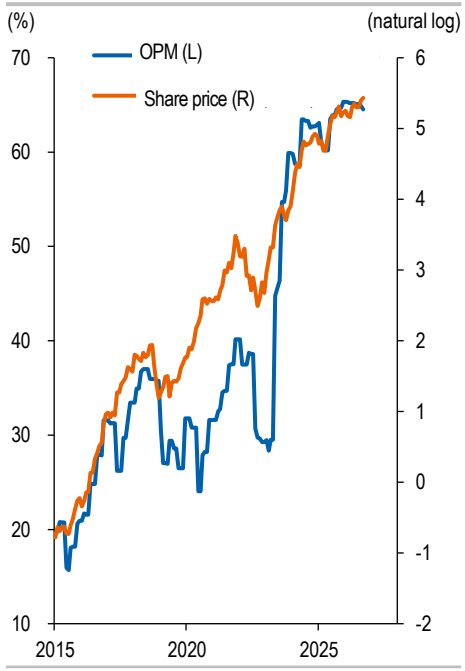
	Details
Contract structure	Multiyear take-or-pay agreements, requiring payment even if customers do not take delivery
Agreements signed	26 agreements in total, covering more than 35% of revenue through 2030
Pricing structure	Pricing frameworks are fixed for three-quarters of contracted revenue; the remaining quarter is subject to periodic negotiations based on market prices
Contract duration	Agreements extend through 2031. Two existing agreements were also extended by one year through 2031
New negotiations	Being conducted at higher prices reflecting current market conditions
Customer commitments	$32bn, mostly in cash deposits
Remaining performance obligations	Approximately $150bn, including only contracts with established pricing frameworks
Profitability	Margins are expected to exceed prior cycle peaks even at floor prices. Actual revenue is expected to substantially exceed remaining performance obligations

Sourcd: Micron, Yuanta Securities

At elevated OPM plateau, buying at low P/Es and selling at high P/Es is the winning strategy

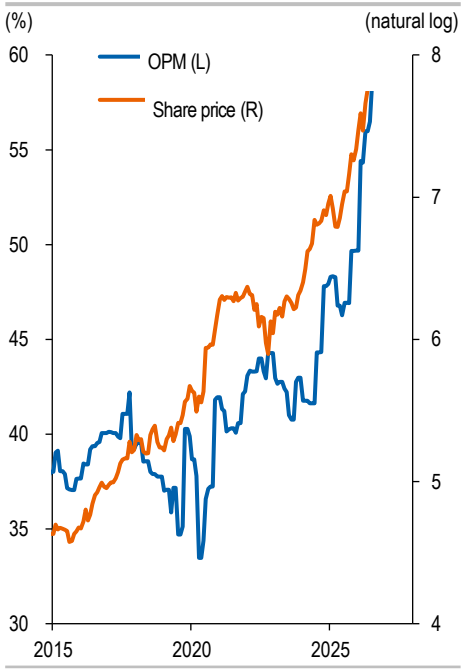
- **Share prices and valuations of leading global technology and semiconductor firms move in tandem with changes in OPM. The semiconductor investment strategy that outperforms the market is to: 1) buy at high P/Es and sell at low P/Es when OPM is flat, declining, or low in absolute or relative terms; and 2) buy at low P/Es and sell at high P/Es when OPM is rising steadily or high in absolute or relative terms.**
- Even for NVIDIA, the icon of the AI revolution: 1) buying at high P/Es and selling at low P/Es worked well when PC GPUs were its core business and OPM fluctuated below 30%; but 2) as GPUs for AI accelerators became its primary profit source and OPM made successive step changes above 30%, buying at low P/Es and selling at high P/Es became the winning strategy.
- Samsung Electronics, whose OPM fluctuated cyclically between 5% and 20% from 2000 onward, is expected to exceed 50% in 2026 and target a sustained level of 60% by end-2027. SK Hynix, whose OPM swung between -5% and 40%, is also expected to establish a level of 70% in 2026 before making a secular advance toward 80% in 2027.

NVIDIA: 12-mo-fwd OPM and share price



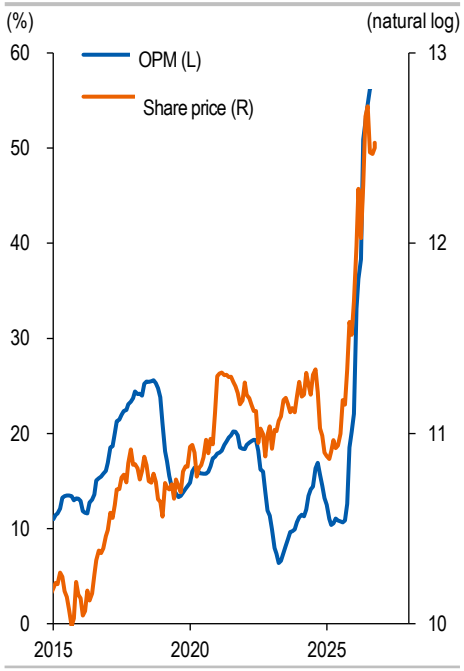
Source: Bloomberg, Yuanta Securities

TSMC 12-mo-fwd OPM and share price



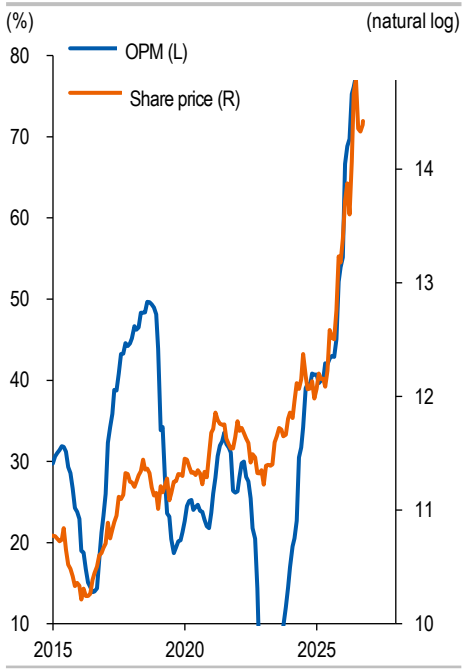
Source: Bloomberg, Yuanta Securities

SEC: 12-mo-fwd OPM and share price



Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix: 12-mo-fwd OPM and share price

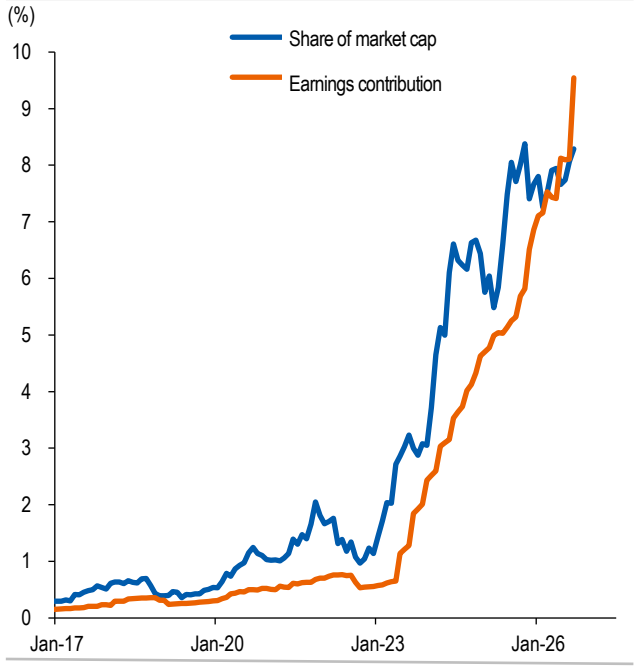


Source: FnGuide Quantiwise, Yuanta Securities

Samsung Electronics and SK Hynix's combined KOSPI weight to remain capped near 57% in 1H27, before exceeding 60% in 2H27

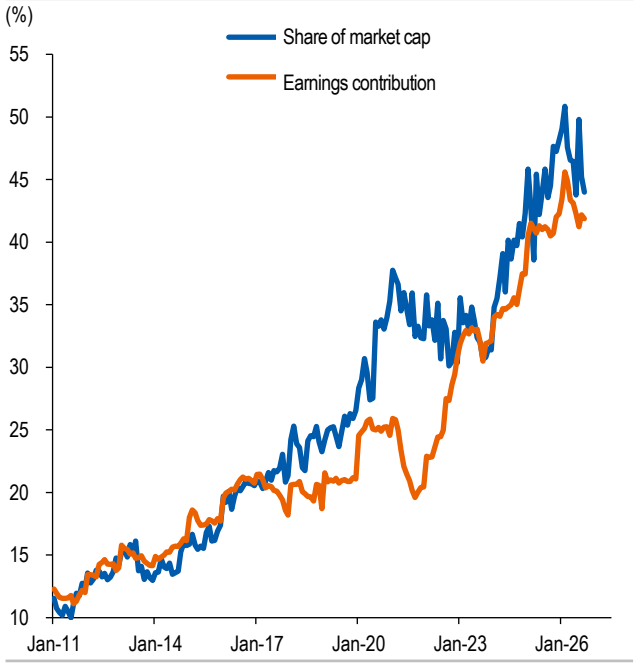
- Changes in earnings momentum and profit contributions determine the share price trajectories and weights of leading global AI and semiconductor companies in major benchmarks.
- Samsung Electronics' market cap weight in the KOSPI declined from 29.0% at end-2Q26 to 28.8% at end-3Q26. SK Hynix's weight also fell sharply from 28.1% to 23.8% over the same period. Their combined market cap weight consequently declined from 57.1% to 52.6%.
- Samsung Electronics' projected share of KOSPI net profit is 45.2% in 3Q26, 44.3% in 4Q26, and 43.7% in full-year 2027. SK Hynix's projected share is 31.4%, 37.0%, and 31.6%, respectively. Their combined net profit contribution is 76.6% in 3Q26, 81.3% in 4Q26, and 75.2% in full-year 2027, excluding double counting from SK Square's equity-method earnings on its stake in SK Hynix.
- **Given the lingering impact of the 3Q26 market panic and the shock from leveraged ETF flows, the combined weight of the two semiconductor heavyweights is likely to remain capped near the 2Q26 peak of 57% through 1H27. A renewed attempt to exceed 60% is more likely in 2H27, supported by the peak-out in risks from high inflation, aggressive monetary tightening, and high interest rates, alongside multiple normalization driven by hyperscalers' continued expansion.**

NVIDIA's share of S&P 500 market cap and earnings (12-mo-fwd net profit)



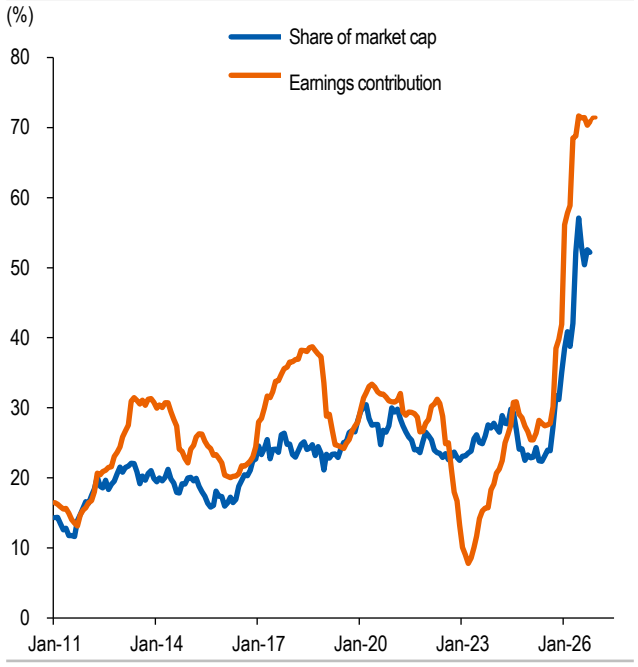
Source: LSEG Workspace, Yuanta Securities

TSMC's share of TAIEX market cap and earnings



Source: LSEG Workspace, Yuanta Securities

Samsung Electronics and SK Hynix's combined share of KOSPI market cap and earnings

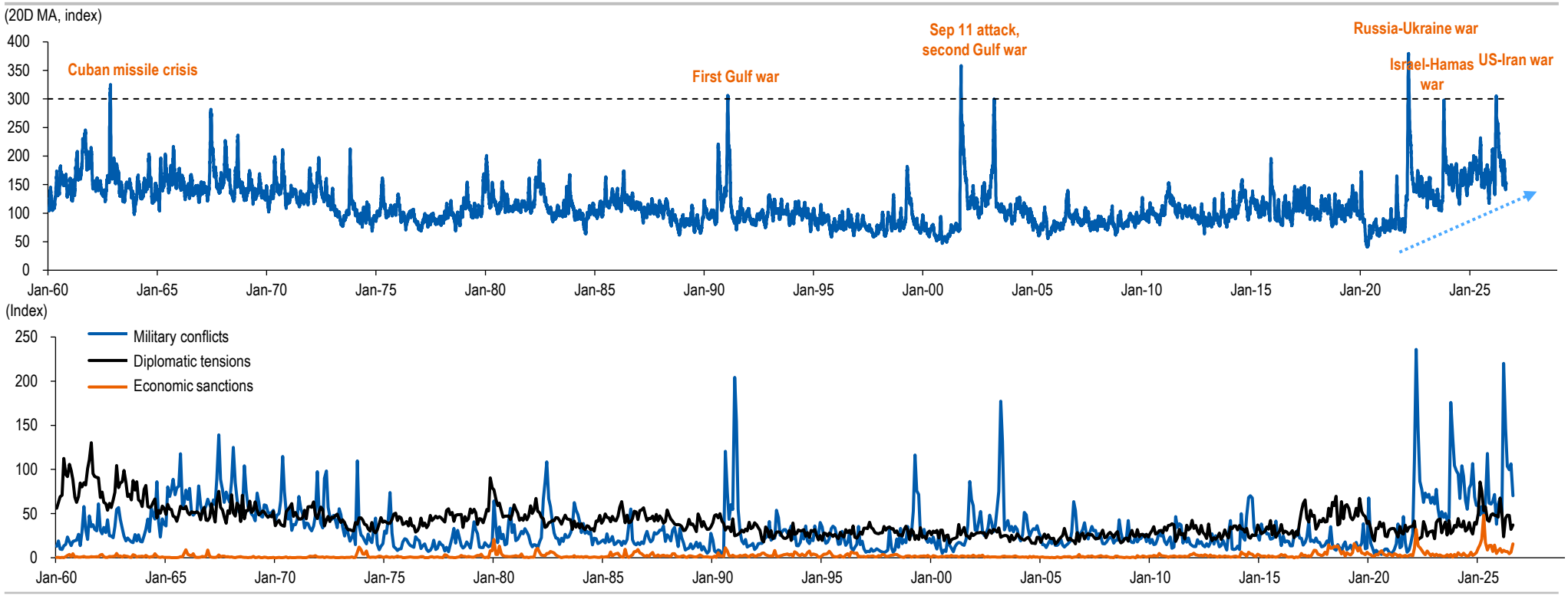


Note: figures from 3Q26 onward are based on current market consensus
Source: FnGuide Quantiwise, Yuanta Securities

2) 2027 strategic focus: iii) the law of conservation of headwinds (political / geopolitical risks)

- **Investors should remain vigilant against the potential for further escalation in political/geopolitical uncertainties in 2027.**
- **Uncertainties include: 1) escalating political/policy clashes between Democrats and Republicans in the US, 2) persistent, protracted stalemate in Middle East geopolitical risks, 3) reignition of tariff/trade friction risks (the potential for coordinated retaliation against the US by major countries including China, Eurozone, and Canada that have largely remained on the defensive), and 4) a prolonged Russia-Ukraine war and the expansion of impacts on the Eurozone.**
- According to Matteo Iacoviello's AI-GPR index, extreme shock events exceeding 300pts, which historically occurred barely once in a decade, have struck three times since 2020s. Shocks surpassing 200pts have occurred twice under the second Trump administration alone ("Liberation Day" in 2025 and the 2026 outbreak of the Iran war).

Global geopolitical risk (GPR): (top) AI-GPR index (AI-based GPR index); (bottom) components of AI-GPR index (military conflicts, diplomatic tensions, economic sanctions)



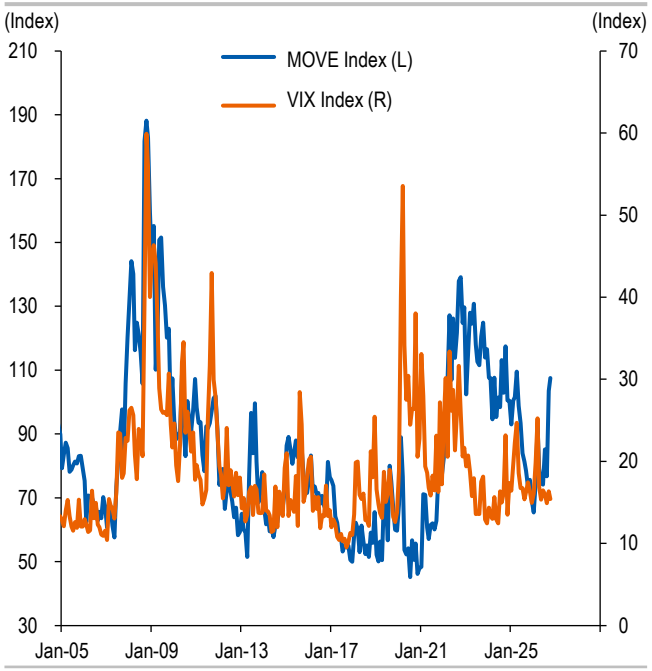
Note: AI-GPR index standardizes daily geopolitical risk scores assigned by LLMs across all newspaper articles by the total volume of published news

Source: https://www.matteoiacoviello.com, Yuanta Securities

Geopolitical risks transition from single megaton shocks to multiple sporadic noises

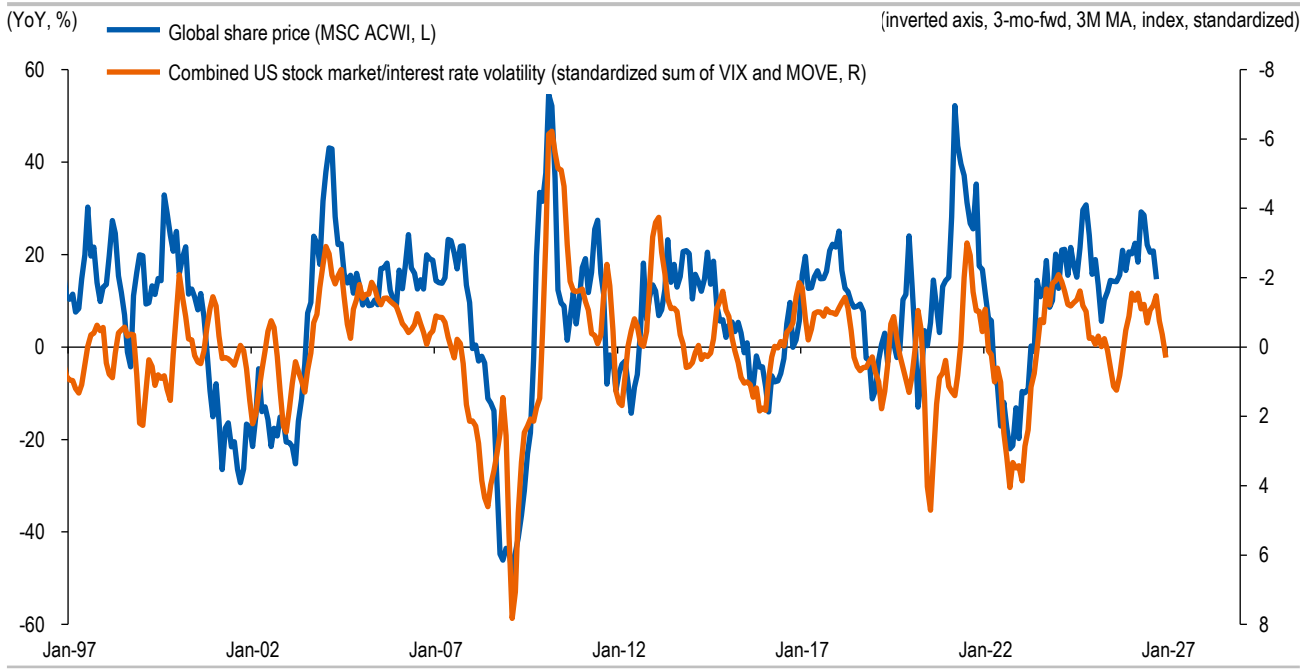
- **While the 2025-2026 period (the first half of Trump's second term) was dominated by singular, megaton-scale geopolitical shocks driving global/geopolitical uncertainties, the 2027-2028 period (the latter half of the term) is highly likely to see multiple sporadic noises accumulate and entangle, with the "law of conservation of headwinds" across asset markets highly likely to remain.**
- Typically, global and domestic stock market indexes tend to lag movements in aggregate US stock market (VIX)/interest rate (MOVE) by about three months.
- The high oil price and inflation environment triggered by the 2025 tariff shock and the 2026 Iran war were supply shocks that stoked aggressive tightening/high interest rate risks, leading to sharper increase in MOVE than VIX.
- As the risks of high inflation/aggressive tightening/high interest rate peak out in 2027, interest rate volatility will also likely to seek a peak-out (MOVE declining), but recurring sporadic political/geopolitical noises will likely inevitably trigger a bottoming-out of stock market volatility (VIX rising). This underpins our view that total combined stock market/interest rate volatility in 2027 will not materially deviate from 2026 levels.

US stock market volatility (VIX) and interest rate volatility (MOVE)



Source: Bloomberg, Yuanta Securities

Global share price and combined US stock market/interest rate volatility

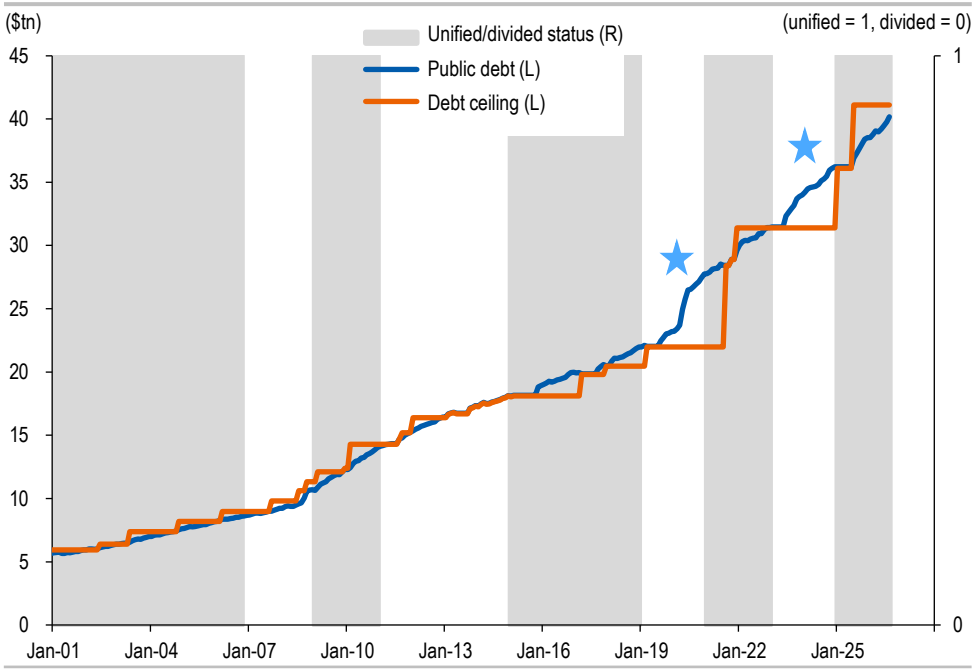


Source: Bloomberg, Yuanta Securities

Divided US government ahead; heightened domestic politics/policy uncertainty to fuel market noise in 2027

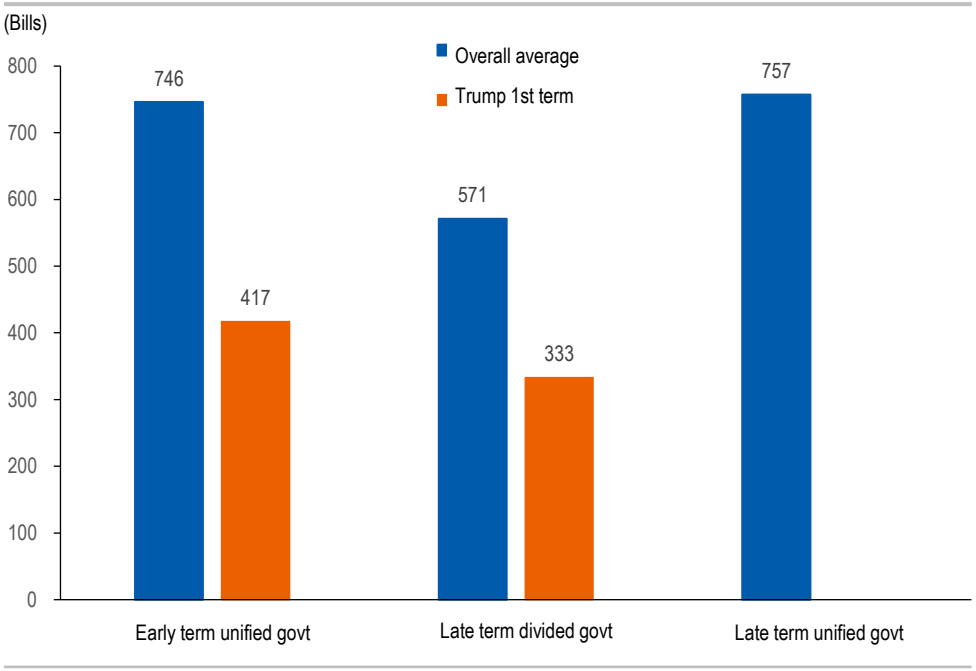
- **The November 3 US midterm elections are widely expected to result in a sweeping victory for the Democratic Party (RealClearPolitics polling averages currently 53 Senate seats (vs 47 for Republicans), and 234 House seats (vs 201)). While the historical impact of a divided government on global and domestic stock markets has generally been mixed, deepening domestic policy/political uncertainties in the US will likely amplify noise across asset markets in 2027.**
- An analysis of all midterm elections since 1950 shows that S&P500 returns were relatively stronger under a unified White House/Senate/House. However, during Trump's first term (Democrats reclaiming the House) acted as a positive catalyst for global asset markets by raising expectations that uncertainties over Trump's politics/policy/geopolitics will ease.
- As Democrats are desperate to win the presidential election in 2028, they will likely mount a fierce counteroffensive. 1) Delays in passing budget bills within the legislative session will highly likely trigger recurring government shutdown risks. 2) Debt ceiling negotiations will likely inevitably face gridlock. 3) Democrats will likely sharply ramp up the introduction of legislative amendments aimed at reversing earlier Republican laws and braking Trumps' unilateral policy agenda.

Federal government debt and the debt ceiling: under a divided government



Source: LSEG Workspace, Yuanta Securities

Number of bills enacted by the Congress: sharp drop amid rising political uncertainty when shifting from a unnotified govt in early term to divided govt in late term

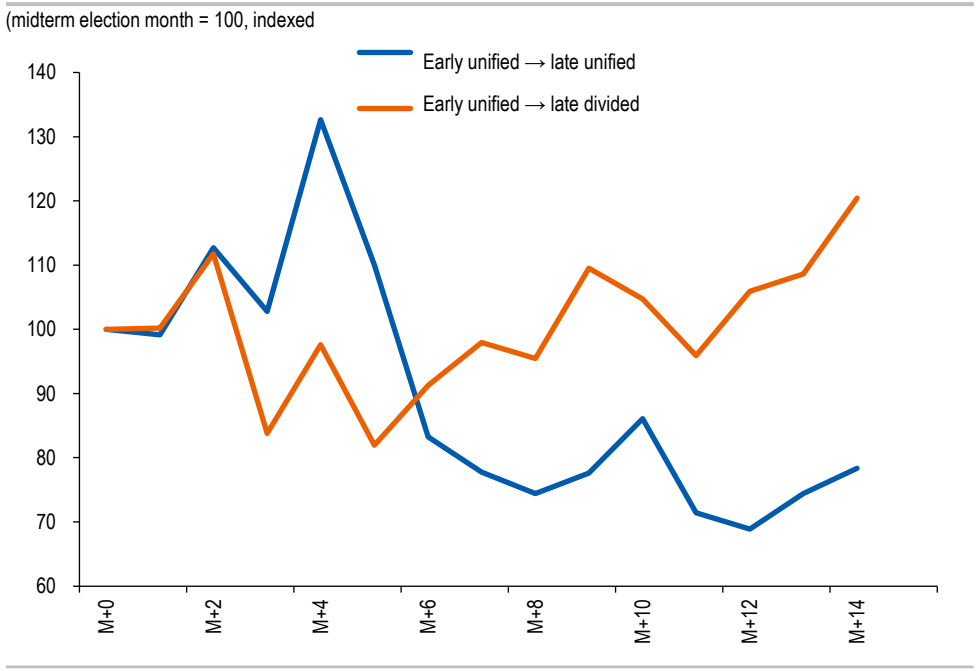


Source: Library of Congress, Yuanta Securities

Democratic pushback to unwind Republican legislation and curb Trump's policy runaway

- **Once in a control of Congress, the Democratic Party's political and policy counteroffensive will likely unfold in four different directions:**
- 1) Adjusting Trump's unilateral foreign policy: To shift from current pro-Israel/anti-Iran (Shina) stance to a neutral/balanced approach, and to pivot from a pro-Russia or bystander posture to active, pro-Ukraine (Eurozone) intervention aimed at resolving the conflicts in the Middle East and Ukraine
- 2) Redefining US-China relations: To enhance stance on containing China's geopolitical ambitions toward Taiwan/South China Sea, and focus on easing trade/tariff risks through counter-legislation to neutralize Trump's executive orders.
- 3) Extending expired 2025 Obamacare enhanced subsidies: Legislation to extend enhanced subsidies has passed the House and is pending in the Senate. If Democrats capture the Senate, passage of the bill will likely gain rapid momentum.
- 4) Shifting energy leadership back to renewables from fossils: Due to expanding data center power shortages, discussions on diversifying power sources through renewable energy and nuclear power will likely expand.

US economic policy uncertainty: political/policy uncertainty expand when leadership shifts from early-term unified to late-term divided



Note: average across all periods/cases since 1985
Source: LSEG Workspace, Yuanta Securities

Factoring in expanded Democratic counteroffensive to unwind Republican legislation and curb Trump's policy overreach

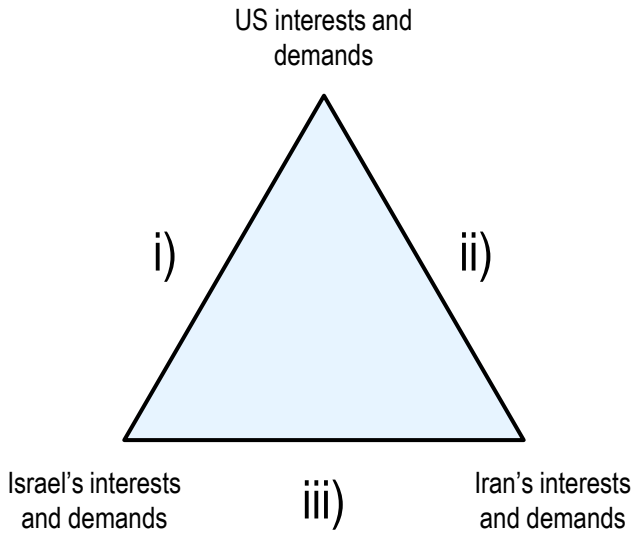
Category	Details
Middle East risk	Prioritizing conflict resolution through a balanced pivot from a pro-Israel, anti-Iran (Shia) negotiating stance to a neutral stance
Russia-Ukraine war	Pivoting from neutral stance toward a pro-Ukraine (Eurozone) stance
US-China relations	Alleviating trade/tariff risks and focusing on blocking geopolitical ambitions toward Taiwan/South China Sea
Obamacare (health care)	Pushing to extend Obamacare enhanced subsidies that expired in 2025
Energy policy priorities	Pushing a transition back from carbon-centered energy to decarbonized (renewable) energy leadership

Source: media reports, Yuanta Securities

Impossible trinity (trilemma) of Middle East geopolitical uncertainty

- **Most historical Middle East conflicts unfolded as bilateral confrontations between a rational US (or Israel) and irrational Islamic power, but the current war is distinctly characterized by a multilateral clash among three irrational/non-irrational players including the US, Israel, and Iran. This explains why deriving an optimal solution that satisfies all three parties is structurally difficult in the short term (The Impossible Trinity or Trilemma).**
- i) (US + Israel) vs Iran: If the US and Israel agree on regime change and complete denuclearization of Iran through active military intervention, Iran will likely enter an all-out-war for regime survival.
- ii) (US + Iran) vs Israel: If the US and Iran reach a nuclear/missile agreement in exchange for regime guarantees, Israel which cannot accept anything short of the permanent dismantling of nuclear/missile programs, is highly likely to launch unilateral/aggressive action against Iran without US's consent.
- iii) (Israel + Iran) vs US: If the conflict escalates into a head-on, all-out clash between Israel and Iran joined by Yemen's Houthi rebels, US control and leverage over the Middle East will likely inevitably weaken.

The Impossible Trinity or Trilemma



Source: Yuanta Securities

Impossible trinity (trilemma) of US, Israel, and Iran

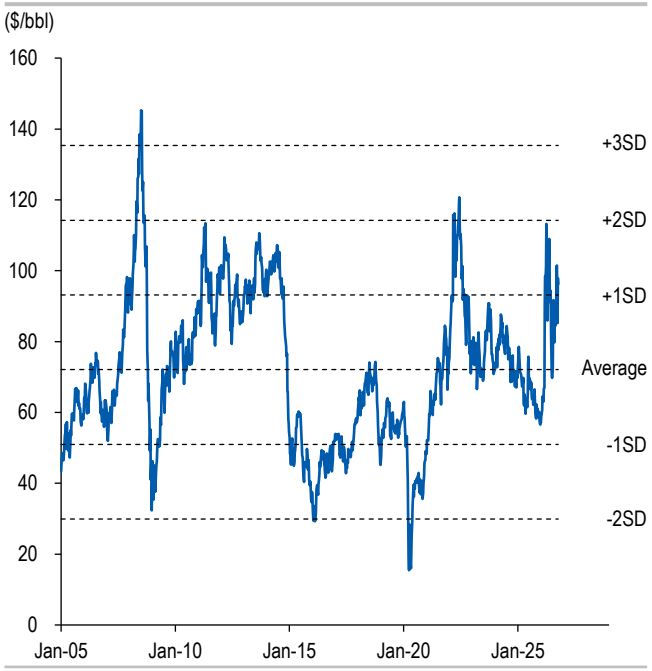
	Bilateral agreement/decision	Backlash from the excluded party
① (US + Israel) vs Iran	The US/Israel agree to induce Iranian regime change and complete denuclearization via active military intervention.	Iran enters an all-out war to defend its regime. A scenario that triggers a catastrophic shock to the global economy and financial markets.
② (US + Iran) vs Israel	The US/Iran agree to cap nuclear/missile programs in exchange for regime security guarantees and recognition of Iran's hegemony over the Strait of Hormuz.	Israel refuses to accept the deal without Iranian regime change, and is highly likely to launch unilateral/aggressive action against Iran without US's consent.
③ (Israel + Iran) vs US	Armed conflict between Israel and Iran escalates from localized or remote strikes into a full-scale, all-out war.	Strikes on Gulf energy facilities and blockade of the Strait of Hormuz can spark a surge in oil price/inflation/interest rates. The US fiercely opposes this due to mounting economic/political burdens.

Source: Yuanta Securities

2027 investment strategy scenarios for Middle East risk under the impossible trinity

- **Based on the impossible trinity framework, we establish three investment strategy scenarios regarding Middle East geopolitical uncertainty in 2027.**
- 1) Best case (20% probability): The US secures the abandonment of Iran's nuclear/missile programs alongside economic/political stability; Iran secures regime survival and its role as gatekeeper for the Strait of Hormuz; Iran secures Iran's complete denuclearization and regional hegemony. WTI crude immediately stabilizes downwards below its historical average of $72/bbl, driving global and domestic Goldilocks macro environment and further leap in stock markets.
- 2) Base case (70% probability): TACO expectations and FACO fears recur. With an optimal resolution out of reach, the US focuses on simultaneously containing both the worst-case (a joint US-Israeli terminal military operation) and the second-worst scenario (the escalation of an all-out, hardline armed conflict between Israel and Iran). A "higher for longer" regime across oil prices/inflation/interest rates, and WTI fluctuating around $93 (+1SD, average ~ +2SD) remain inevitable.
- 3) Worst case (10% probability): A full-scale war breaks out and macro shocks accelerate. WTI initially spikes above $114 (+2SD) before peaking out after economic recession drives down demand.

WTI crude oil price ($96.2 as of Oct 7)



Source: LSEG Workspace, Yuanta Securities

Three investment strategy scenarios factoring in the US/Israel/Iran impossible trinity (trilemma)

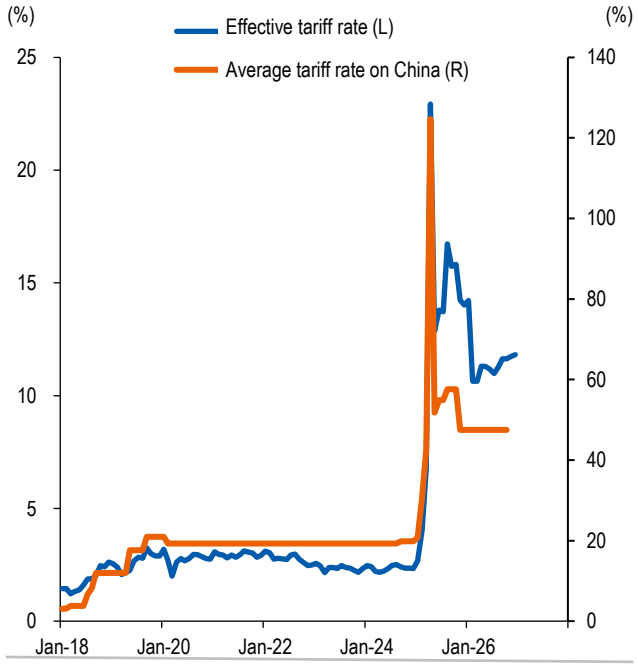
Scenario	Detailed conditions	Characteristics & limitations	Investment environment
Best case (20% probability)	The US secures the abandonment of Iran's nuclear/missile programs alongside economic/political stability; Iran secures regime survival and its role as gatekeeper for the Strait of Hormuz; Iran secures Iran's complete denuclearization and peace in the Middle East.	Substantial time and efforts between the three parties are needed to reconcile trilateral interests. Mediation of rom the UN, China, Russia, and India needed.	Upon complete resolution, an immediate downward stabilization of WTI below $72 (historical average) drives global and domestic Goldilocks macro environment and further leap in stock markets.
Base case (70% probability)	Employing a dual carrot-and-stick approach, the US focuses on simultaneously containing ① (a joint US/Israeli terminal operation against Iran, the worst case), ② (the outbreak of a large-scale, all-out war between Israel and Iran, the scond-worst case), under the impossible trinity. In the mid- to long-term, the US concentrates on persuading Iran with regime guarantee cards and Israel with complete denuclearization.	A repeated cycle of TACO hopes and FACO fears. "Higher for longer" dynamics across crude oil/inflation/interest rates act as a persistent disruptor to the market.	WTI fluctuates between $72-114 (average ~ +2SD) and "higher for longer" oil price/inflation/interest rates persist.
Worst case (10% probability)	Due to the failure of US negotiation/mediation, catastrophic scenarios under the impossible trinity materialize: ① (a joint US/Israel terminal operation, worst case), ② (all-scale, all-out war between Israel/Iran, second-worst case)	The outbreak of a full-scale war triggers global economic recession, evolving from stagflation (pace of inflation > economic contraction) to recession (pace of inflation < economic contraction)	WTI rises further to over $114 (+2SD) before peaking out and reversing downward as it reflects intensifying concerns over a collapse in demand triggered by widespread recession.

Source: Yuanta Securities

Watch for US-China trade friction risk emerging again in 2027-2028

- **Following the "Liberation Day" tariff clashes in 2025 and an uneasy truce in 2026, we express concerns over the potential resurgence of tariff/trade friction between the US and China during the 2027-2028 window (midterm elections-presidential election).**
- At the September 25 US-China summit, President Xi requested an extension of the tariff truce deadline through the end of 2028, but Trump only approved a two-month extension from November 10 to January 10, 2027.
- China is thinking to muddle through the truce until Trump's remaining term concludes, hoping for a more favorable shift in the next US administration, under the perception that "time is on their side."
- To secure a victory in the 2028 presidential election, Trump (Republican party) will likely focus on enforcing compliance with the 2020 Phase 1 trade agreement (raising goods/services exports to China from the 2017 baseline of $186bn to the 2021 target of $309.3bn) that was sidelined by the COVID-19 pandemic. Furthermore, the US is highly likely to push for a Phase 2 trade agreement loaded with additional purchasing commitments and punitive penalty clauses.
- The problem is that China is highly unlikely to meet Washington's escalating demands due to its fiscal/monetary policy momentum mired in deflation, sluggish domestic demand, and liquidity trap.

US tariff: overall average at 11.8% and China average at 47.6% as of Oct



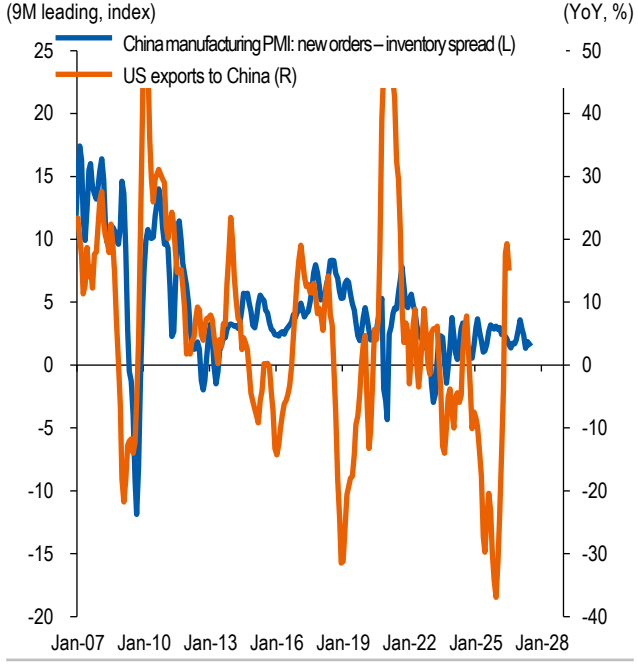
Source: The Budget Lab at Yale , Yuanta Securities

US goods/service exports to China: falling far short of Phase 1 trade agreement targets



Source: LSEG Workspace, Yuanta Securities

China's manufacturing PMI new orders and inventory spread and US exports to China

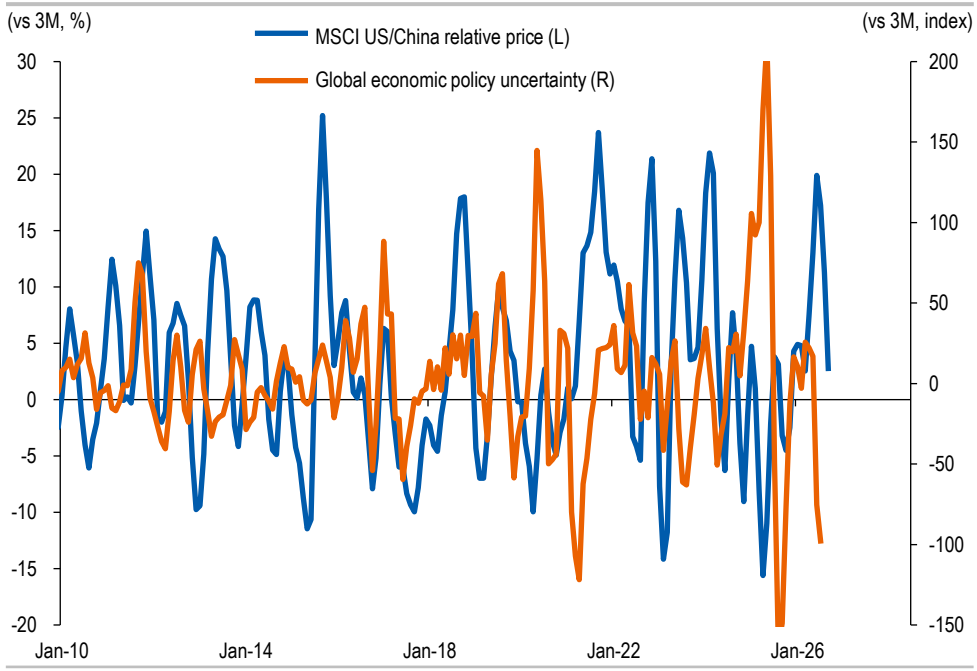


Source: LSEG Workspace, Yuanta Securities

2027 US-China tariff/trade risk to take the form of localized skirmishes (noise) rather than total war (shock)

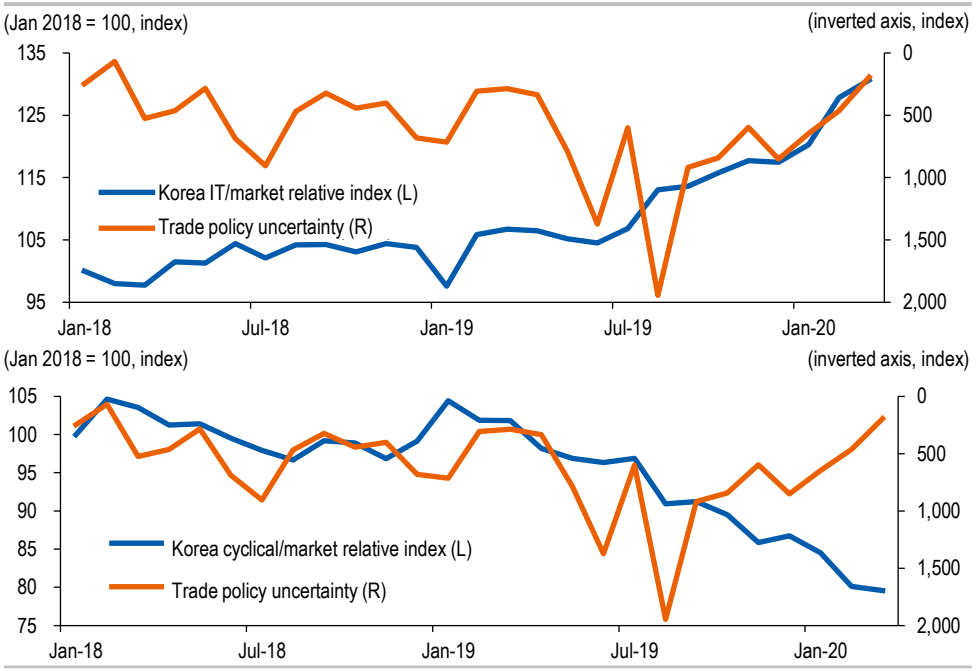
- **We believe that the nature of US-China tariff/trade friction risks in 2027 is more likely to manifest as recurring, localized skirmishes (noise) rather than an all-out, head-on collision (shock).**
- While bilateral relations will likely oscillate between extremes continuously, Washington and Beijing share a substantial common interests in politics/economics. The US continues to turn a blind eye to indirect AI semiconductor exports to China, and China's rare earth export channels to the US remain fully operational.
- The upcoming November APEC (China) and G20 summit in December (US) to be held before the January 10, 2027 tariff truce deadline, will likely become the watershed moment dictating the direction of the G2 tariff/trade friction risks in 2027.
- The impact on domestic/global stock markets from the expansion of global economic/policy uncertainties driven by a resurgence of US-China trade/tariff friction risks will likely predominantly manifest as the absolute/relative outperformance of investment alternatives closely correlated with the aggressor side (US/DM/AI semiconductor value chain leaders, US macro play) than the victim side (China/EM/cyclical sectors including materials and industrials, China macro play).

MSCI US/China relative price and global economic policy uncertainty



Source: LSEG Workspace, Yuanta Securities

MSCI Korea IT/market (top) and cyclical/market (bottom) relative price and global trade policy uncertainty



Source: LSEG Workspace, Yuanta Securities

Part 2

Portfolio/leading stock strategy



Yong-goo Kim

Strategist

+822 3770 3521
yg.kim@yuantakorea.com

2027 portfolio and market leadership strategy from ground zero

- Our 2027 Korean equity portfolio and market leadership strategy will focus on three areas: 1) identifying stocks with both earnings momentum and pricing power that have outperformed the KOSPI during US yield curve bear-flattening regimes or transitions from bear flattening to bull steepening; 2) within the AI/semiconductor value chain, targeting oversold stocks with strong earnings whose share prices have closely tracked revenue growth at the five major US hyperscalers, and outside that value chain, concentrating on stocks largely insulated from earnings uncertainty, whose lowest 2027 earnings estimates exceeds their highest 2026 estimates; and 3) positioning ahead of the inclusion of stocks with strong earnings in the KOSDAQ Select Index, scheduled to launch in 2027.
- **Under the WI26 sector classification, semiconductors, IT appliances (secondary batteries), IT hardware, shipbuilding, machinery, chemicals, and biotech fit these criteria for 2027.**

Sector selection for 2027 portfolio and market leadership strategy

Sector	Strategy views (S: strategy/ Q: quant)	Macro leading indicator	Price performance	Earnings			Valuation		Position	
				EPS change	EPS growth	EPS revision ratio	P/E	P/B	Foreign investors	Institutional investors
Energy		+	+	+	+	+	+	-	+	-
Chemicals	S	+	+	+	+	-	-	+	+	-
Non-ferrous metals/timber		+	-	-	+	-	-	-	+	-
Steel		+	-	-	+	-	-	+	+	-
Construction/building materials		+	-	+	-	+	-	-	+	-
Machinery	S	+	-	-	+	-	-	-	+	-
Shipbuilding	S	+	-	+	+	-	+	-	-	-
Trading companies/capital goods		+	-	-	+	+	-	-	-	-
Transportation	Q	+	+	+	+	+	+	+	-	-
Automobiles		+	-	-	+	-	+	+	-	+
Cosmetics/apparel/toys		+	+	-	+	+	+	+	-	-
Hotel/leisure services		+	-	-	+	-	+	+	+	+
Media/education		-	-	-	+	-	+	+	+	+
Retail	Q	+	-	-	+	-	+	+	-	+
Consumer staples		-	+	-	+	-	+	+	-	-
Healthcare	S	-	+	-	+	-	+	+	+	-
Banking		+	-	-	+	-	-	-	+	-
Securities		+	-	-	-	-	+	-	-	+
Insurance		-	-	+	+	+	-	+	+	-
Software		-	-	-	+	-	+	+	-	-
IT hardware	S/Q	+	+	+	+	+	-	-	+	+
Semiconductors	S/Q	+	-	+	+	+	+	-	+	+
IT appliances	S/Q	+	+	-	+	-	-	-	+	-
Display		+	+	-	+	-	+	+	+	+
Telecommunication services		-	-	+	+	-	-	-	+	-
Utilities		-	-	-	+	-	+	-	-	+

Note: Strategy views reflect a comprehensive assessment of qualitative factors and sector analysts' investment opinions, rather than a simple aggregation of the data presented in the table. Sectors follow the WI26 classification. Quantitative assessment criteria are as follows:
[Macro] OECD composite leading indicators signaling recovery or expansion are positive for cyclical sectors, while signals of slowdown or contraction are positive for defensive sectors. [Price] Outperformance versus the market over the past one and three months is positive.
[Earnings] 1) EPS change: changes in EPS estimates over the past one and three months; 2) EPS growth: projected EPS growth over the next 12 months; 3) EPS revision ratio: EPS revision ratios over the past one and three months. [Valuation] Current P/E and P/B levels relative to their respective 10-year averages. [Position] Whether foreign and institutional net buying intensity, measured relative to market cap, has improved over the past month versus the past three months.

Source: FnGuide Quantiwise, Yuanta Securities

1) Hedging risks from high inflation, aggressive monetary tightening, and high interest rates: i) outperforming sectors during bear flattening

- From 4Q26 through 1Q27 (or 1H27), investors seeking to hedge risks from high inflation, aggressive monetary tightening, and high interest rates are likely to focus on semiconductors, IT appliances (secondary batteries), chemicals, shipbuilding, and steel. These sectors combine: 1) a record of outperforming the KOSPI during US yield curve bear flattening conditions since 2005; 2) earnings momentum for 3Q26-4Q26 and full-year 2027; and 3) pricing power, as indicated by sales per share growth (SPS%) < earnings per share growth (EPS%) ≤ net cash per share growth (CPS%).

Sectors with 2026-2027 earnings momentum that have outperformed the KOSPI during US yield curve bear flattening since 2005

	Bear-flattening phase average (%)		3Q26E OP (%)		4Q26E OP (%)		2026E OP (%)		2027E OP (%)		Pricing power (%)		
	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
Shipbuilding	0.8	53.3	165.6	5.1	61.6	3.6	86.9	3.2	8.4	3.3	6.9	9.6	6.9
IT hardware	0.7	44.0	70.8	-6.0	101.6	-0.7	115.6	-3.4	77.1	0.7	16.7	67.2	46.0
Steel	0.6	52.0	19.9	-2.4	5,174.2	-2.7	53.5	-2.0	35.9	-0.6	4.5	41.0	13.5
Cosmetics/apparel/toys	0.6	57.3	-11.4	0.9	-5.2	0.8	-11.3	0.8	17.4	0.9	13.0	17.6	18.1
Semiconductors	0.5	48.0	711.6	-4.3	453.4	-3.8	635.1	-3.0	49.0	0.9	38.4	36.9	34.8
Insurance	0.4	49.3	-14.4	0.7	66.6	27.9	6.4	0.2	35.2	1.8	-	37.6	-
Chemicals	0.3	50.7	TTB	-3.2	TTB	-3.6	647.4	2.2	71.3	2.6	7.1	132.6	23.6
IT appliances	0.2	53.3	410.0	3.0	TTB	-1.8	TTB	-0.6	79.4	-0.8	12.7	185.0	37.1
Energy	0.2	54.7	155.3	6.6	409.3	3.3	598.7	5.2	-22.5	4.1	-7.4	-13.1	-14.3
Consumer staples	0.1	52.0	-32.0	-4.7	-8.6	-4.2	-24.7	-14.0	11.4	-13.1	6.6	14.1	8.5
Non-ferrous metals/timber	0.1	56.0	18.3	0.5	0.1	-0.6	30.2	1.4	-10.2	-1.9	4.7	-4.2	2.2
Banking	0.0	52.0	10.0	-1.9	3.8	-2.9	9.8	-0.4	5.6	-0.6	1.6	5.5	12.3
Machinery	0.0	49.3	29.2	1.6	75.5	2.8	51.1	1.1	24.9	0.1	12.8	36.1	30.9
Construction/building materials	-0.2	53.3	8.7	20.1	TTB	18.1	44.9	19.5	23.2	20.2	9.9	-3.6	-2.2
Retail	-0.2	52.0	29.5	-2.4	45.0	-1.2	32.8	-1.0	16.9	-0.7	4.3	31.5	4.3
Healthcare	-0.4	48.0	19.3	-1.1	114.6	-2.2	57.8	0.4	22.1	-1.1	17.1	24.6	17.8
Automobiles	-0.5	50.7	8.2	-5.2	25.3	-5.4	-5.0	-3.9	11.8	-5.0	5.4	11.1	9.9
Securities	-0.6	37.3	-25.0	-16.3	-12.3	-4.8	19.6	-2.4	-19.7	-2.0	-4.5	-17.3	-
Transportation	-0.7	44.0	73.8	-1.8	33.1	-6.5	13.7	-3.2	24.4	2.5	-1.3	24.0	9.3
Trading companies/capital goods	-0.7	45.3	-12.0	-2.8	11.3	-3.4	-4.0	-3.5	19.4	-4.3	7.9	25.3	13.6
Hotel/leisure services	-0.8	49.3	5.4	-5.1	32.3	-5.5	3.0	-2.6	16.8	-2.0	7.1	20.8	11.8
Software	-0.9	48.0	-1.3	-4.3	-2.3	-2.0	10.3	-1.0	16.1	2.6	11.3	21.3	14.9
Telecommunication services	-0.9	41.3	83.6	-0.5	88.4	1.2	18.1	0.3	6.7	0.2	2.7	7.9	-0.2
Utilities	-1.2	52.0	-51.1	-7.2	-48.1	-2.9	-32.5	-1.5	30.0	-1.7	1.5	34.9	10.1
Media/education	-1.7	42.7	31.5	-2.9	3.5	-2.7	8.9	-1.1	25.9	-0.5	2.8	19.6	7.8
Display	-1.7	36.0	-30.9	-19.9	35.0	-12.9	-4.2	-14.1	51.2	-8.9	4.1	683.5	17.9

Note: based on Oct 8 closing prices; market and sector classifications follow KOSPI WI26. Relative returns versus the market are monthly averages for each respective phase since 2005. TTB = turn to black

Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

Outperforming stocks with earnings momentum during bear flattening

- Extending the analysis to all stocks with consensus estimates, we identify candidates combining: 1) a record of outperforming the KOSPI during US yield curve bear flattening since 2005; 2) earnings momentum for 3Q26-4Q26 and full-year 2027; and 3) pricing power, as indicated by SPS% < EPS% ≤ CPS%.
- **Qualifying stocks include Isu Petasys, Celltrion, Samyang Foods, Samsung Electro-Mechanics, LS Electric, Daeduck Electronics, Kolmar Korea, Hanwha Engine, ISC, Cosmax, Hanmi Semiconductor, LS, and SeAH Besteel Holdings.**

Stocks with 2026-2027 earnings momentum that have outperformed the KOSPI during US yield curve bear flattening since 2005

	Bear-flattening phase average (%)		3Q26E OP (%)		4Q26E OP (%)		2026E OP (%)		2027E OP (%)		Pricing power (%)		
	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
Isu Petasys	5.6	54.3	64.9	1.8	90.2	3.3	70.1	1.1	52.0	3.2	40.2	53.8	52.3
Celltrion	5.5	55.7	69.1	0.1	23.0	-0.3	59.3	0.3	23.3	1.3	17.3	19.6	16.5
Samyang Foods	5.4	52.9	42.9	-0.3	36.1	-1.7	39.3	-0.5	22.7	0.1	20.9	20.5	21.0
Samsung Electro-Mechanics	3.7	52.9	146.8	7.6	185.2	8.2	124.0	5.1	96.5	7.8	28.6	96.2	70.8
LS Electric	2.9	52.9	88.8	1.2	73.3	-0.4	69.1	0.1	43.8	0.0	22.4	44.0	35.6
Daeduck Electronics	2.8	51.4	213.3	0.0	173.7	0.2	465.6	0.4	47.7	0.8	25.5	43.3	40.2
Kolmar Korea	2.5	52.9	58.3	0.3	42.3	3.2	45.6	0.9	19.7	1.5	13.1	22.8	16.7
Hanwha Engine	1.9	50.0	123.4	-0.4	48.2	-2.1	70.8	-2.2	74.2	4.0	45.1	62.3	53.4
ISC	1.7	52.9	58.1	0.0	38.9	0.0	72.1	0.4	38.4	0.0	28.4	34.6	35.0
Cosmax	1.6	51.4	75.7	11.1	61.0	5.8	36.5	4.1	24.8	5.8	17.9	25.0	18.2
Hanmi Semiconductor	1.5	54.3	90.4	0.0	347.3	0.0	52.0	0.0	47.0	0.0	37.1	48.2	46.8
AmorePacific	1.4	51.4	27.8	-0.8	151.4	5.8	45.9	1.1	17.1	2.2	10.1	16.5	8.1
LS	1.1	54.3	96.0	-0.1	89.6	0.0	91.7	2.5	12.3	2.6	7.1	19.6	16.5
Pan Ocean	0.9	54.3	47.2	4.3	31.3	3.9	40.3	2.1	2.2	3.5	0.0	6.9	6.5
SBHC	0.8	51.4	47.7	1.4	315.7	6.2	70.5	1.7	37.0	2.0	8.2	40.9	22.0

Note: based on Oct 8 closing prices. Relative returns versus the market are monthly averages for each respective phase since 2005. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations.
Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

ii) Outperforming sectors amid shift to bull steepening

- From 4Q26 through 1Q27 (or 1H27), investors are also likely to focus on identifying investment candidates combining: 1) a record of outperforming the KOSPI during US yield curve transitions from bear flattening to bull steepening since 2005; 2) earnings momentum in 3Q26-4Q26 and full-year 2027; and 3) pricing power, as indicated by SPS% < EPS% ≤ CPS%.
- **As the yield curve environment shifted following bear flattening, market attention broadened to include steel, machinery, banking, telecom services, and bio.**

Sectors with 2026-2027 earnings momentum that have outperformed the KOSPI during US yield curve transitions from bear flattening to bull steepening since 2005

	Average during transition from bear-flattening to bull-steepening (%)		3Q26E OP (%)		4Q26E OP (%)		2026E OP (%)		2027E OP (%)		Pricing power (%)		
	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
Healthcare	5.6	75.0	19.3	-1.1	114.6	-2.2	57.8	0.4	22.1	-1.1	17.1	24.6	17.8
Consumer staples	2.6	75.0	-32.0	-4.7	-8.6	-4.2	-24.7	-14.0	11.4	-13.1	6.6	14.1	8.5
Insurance	2.0	75.0	-14.4	0.7	66.6	27.9	6.4	0.2	35.2	1.8	-	37.6	-
Construction/building materials	2.0	87.5	8.7	20.1	TTB	18.1	44.9	19.5	23.2	20.2	9.9	-3.6	-2.2
Steel	1.9	50.0	19.9	-2.4	5,174.2	-2.7	53.5	-2.0	35.9	-0.6	4.5	41.0	13.5
Telecommunication services	1.6	50.0	83.6	-0.5	88.4	1.2	18.1	0.3	6.7	0.2	2.7	7.9	-0.2
Non-ferrous metals/timber	1.4	62.5	18.3	0.5	0.1	-0.6	30.2	1.4	-10.2	-1.9	4.7	-4.2	2.2
Shipbuilding	1.2	37.5	165.6	5.1	61.6	3.6	86.9	3.2	8.4	3.3	6.9	9.6	6.9
Banking	1.1	50.0	10.0	-1.9	3.8	-2.9	9.8	-0.4	5.6	-0.6	1.6	5.5	12.3
Hotel/leisure services	0.9	50.0	5.4	-5.1	32.3	-5.5	3.0	-2.6	16.8	-2.0	7.1	20.8	11.8
Cosmetics/apparel/toys	0.8	50.0	-11.4	0.9	-5.2	0.8	-11.3	0.8	17.4	0.9	13.0	17.6	18.1
Machinery	0.5	50.0	29.2	1.6	75.5	2.8	51.1	1.1	24.9	0.1	12.8	36.1	30.9
Transportation	0.5	37.5	73.8	-1.8	33.1	-6.5	13.7	-3.2	24.4	2.5	-1.3	24.0	9.3
Software	0.0	50.0	-1.3	-4.3	-2.3	-2.0	10.3	-1.0	16.1	2.6	11.3	21.3	14.9
Utilities	0.0	37.5	-51.1	-7.2	-48.1	-2.9	-32.5	-1.5	30.0	-1.7	1.5	34.9	10.1
Retail	0.0	25.0	29.5	-2.4	45.0	-1.2	32.8	-1.0	16.9	-0.7	4.3	31.5	4.3
Chemicals	-0.1	25.0	TTB	-3.2	TTB	-3.6	647.4	2.2	71.3	2.6	7.1	132.6	23.6
Automobiles	-0.2	62.5	8.2	-5.2	25.3	-5.4	-5.0	-3.9	11.8	-5.0	5.4	11.1	9.9
Media/education	-0.5	62.5	31.5	-2.9	3.5	-2.7	8.9	-1.1	25.9	-0.5	2.8	19.6	7.8
Display	-0.7	37.5	-30.9	-19.9	35.0	-12.9	-4.2	-14.1	51.2	-8.9	4.1	683.5	17.9
IT Hardware	-1.2	62.5	70.8	-6.0	101.6	-0.7	115.6	-3.4	77.1	0.7	16.7	67.2	46.0
IT appliances	-1.3	50.0	410.0	3.0	TTB	-1.8	TTB	-0.6	79.4	-0.8	12.7	185.0	37.1
Trading companies/capital goods	-1.3	50.0	-12.0	-2.8	11.3	-3.4	-4.0	-3.5	19.4	-4.3	7.9	25.3	13.6
Energy	-1.9	25.0	155.3	6.6	409.3	3.3	598.7	5.2	-22.5	4.1	-7.4	-13.1	-14.3
Semiconductors	-2.4	12.5	711.6	-4.3	453.4	-3.8	635.1	-3.0	49.0	0.9	38.4	36.9	34.8
Securities	-2.5	37.5	-25.0	-16.3	-12.3	-4.8	19.6	-2.4	-19.7	-2.0	-4.5	-17.3	-

Note: based on October 8 closing prices. Market and sector classifications follow KOSPI WI26. Relative returns versus the market are monthly averages for each respective phase since 2005.

Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

Outperforming stocks amid shift to bull steepening

- Extending the analysis to all stocks with consensus estimates, we conducted an additional screening for candidates combining: 1) a record of outperforming the KOSPI during US yield curve transitions from bear flattening to bull steepening since 2005; 2) earnings momentum for 3Q26-4Q26 and full-year 2027; and 3) pricing power, as indicated by SPS% < EPS% ≤ CPS%.
- **Hansol Chemical, Daeduck Electronics, Celltrion, PharmaResearch, Simmtech, Kolmar Korea, Cosmax, LS Corp, Fadu, Hanon Systems, Hanwha Systems, and Sanil Electric meet these criteria.**

Stocks with 2026–2027 earnings momentum that have outperformed the KOSPI during US yield curve transitions from bear flattening to bull steepening since 2005

	Average during transition from bear-flattening to bull-steepening (%)		3Q26E OP (%)		4Q26E OP (%)		2026E OP (%)		2027E OP (%)		Pricing power (%)		
	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
Hansol Chemical	5.6	62.5	7.5	-1.4	98.9	-3.5	15.5	-0.9	26.1	0.8	17.5	23.5	18.9
Daeduck Electronics	3.6	87.5	213.3	0.0	173.7	0.2	465.6	0.4	47.7	0.8	25.5	43.3	40.2
Celltrion	3.5	62.5	69.1	0.1	23.0	-0.3	59.3	0.3	23.3	1.3	17.3	19.6	16.5
PharmaResearch	2.5	62.5	18.9	0.4	45.1	0.9	27.2	0.4	25.1	0.8	22.0	22.9	22.6
Simmtech	2.3	75.0	588.5	2.8	840.4	1.4	2,076.0	1.4	69.8	2.4	18.8	69.8	47.4
Kolmar Korea	2.2	62.5	58.3	0.3	42.3	3.2	45.6	0.9	19.7	1.5	13.1	22.8	16.7
Cosmax	2.1	62.5	75.7	11.1	61.0	5.8	36.5	4.1	24.8	5.8	17.9	25.0	18.2
LS Corp	2.0	62.5	96.0	-0.1	89.6	0.0	91.7	2.5	12.3	2.6	7.1	19.6	16.5
Fadu	1.9	62.5	TTB	5.1	TTB	9.1	TTB	5.6	144.0	4.4	88.2	271.7	244.5
Hanon Systems	1.7	50.0	15.7	1.3	30.7	1.6	59.2	0.8	15.7	0.1	4.2	17.8	2.1
Hanwha Systems	1.4	75.0	26.3	3.1	942.5	-5.1	112.0	2.3	78.5	0.1	11.9	207.0	103.7
Sanil Electric	1.0	62.5	55.2	-2.3	34.7	1.3	42.1	-0.6	33.4	0.1	29.3	30.7	31.3

Note: based on Oct 8 closing prices. Relative returns versus the market are monthly averages for each respective phase since 2005. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations.
Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

iii) Outperforming sectors during bull steepening

- We also look ahead to potential outperforming sectors as the US yield curve shifts toward bull steepening in 2H27, following a peak in risks from high inflation, aggressive monetary tightening, and high interest rates in 1H27.
- **Semiconductors, chemicals, and machinery meet all three criteria of: 1) a record of outperforming the KOSPI during both global macro Goldilocks conditions (quadrant II: positive CESI and negative CISI) and US yield curve bull steepening since 2005; 2) earnings momentum for 3Q26-4Q26 and 2027; and 3) pricing power, as indicated by SPS% < EPS% or CPS%.**

Sectors with 2026–2027 earnings momentum that have outperformed the KOSPI during US yield curve bull steepening and global macro Goldilocks conditions since 2005

	Bull-steepening phase average (%)		Goldilocks phase average (%)		3Q26E OP (%)		4Q26E OP (%)		2026E OP (%)		2027E OP (%)		Pricing power (%)		
	Relative return	Hit ratio	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
Machinery	1.1	54.0	1.2	56.6	29.2	1.6	75.5	2.8	51.1	1.1	24.9	0.1	12.8	36.1	30.9
Healthcare	1.1	56.0	-0.4	46.5	19.3	-1.1	114.6	-2.2	57.8	0.4	22.1	-1.1	17.1	24.6	17.8
Semiconductors	0.9	54.0	1.2	55.6	711.6	-4.3	453.4	-3.8	635.1	-3.0	49.0	0.9	38.4	36.9	34.8
IT appliances	0.8	50.0	-0.1	42.4	410.0	3.0	TTB	-1.8	TTB	-0.6	79.4	-0.8	12.7	185.0	37.1
Software	0.5	60.0	-0.8	49.5	-1.3	-4.3	-2.3	-2.0	10.3	-1.0	16.1	2.6	11.3	21.3	14.9
Chemicals	0.5	46.0	0.7	48.5	TTB	-3.2	TTB	-3.6	647.4	2.2	71.3	2.6	7.1	132.6	23.6
Shipbuilding	0.5	46.0	1.2	51.5	165.6	5.1	61.6	3.6	86.9	3.2	8.4	3.3	6.9	9.6	6.9
Trading companies/capital goods	0.1	56.0	0.2	52.5	-12.0	-2.8	11.3	-3.4	-4.0	-3.5	19.4	-4.3	7.9	25.3	13.6
Transportation	-0.2	42.0	-0.3	42.4	73.8	-1.8	33.1	-6.5	13.7	-3.2	24.4	2.5	-1.3	24.0	9.3
Construction/building materials	-0.3	48.0	-0.3	44.4	8.7	20.1	TTB	18.1	44.9	19.5	23.2	20.2	9.9	-3.6	-2.2
Securities	-0.3	46.0	0.3	44.4	-25.0	-16.3	-12.3	-4.8	19.6	-2.4	-19.7	-2.0	-4.5	-17.3	-
Insurance	-0.5	44.0	-0.5	45.5	-14.4	0.7	66.6	27.9	6.4	0.2	35.2	1.8	-	37.6	-
Consumer staples	-0.6	48.0	-1.4	41.4	-32.0	-4.7	-8.6	-4.2	-24.7	-14.0	11.4	-13.1	6.6	14.1	8.5
Energy	-0.7	40.0	0.0	46.5	155.3	6.6	409.3	3.3	598.7	5.2	-22.5	4.1	-7.4	-13.1	-14.3
Media/Education	-1.0	40.0	-2.0	37.4	31.5	-2.9	3.5	-2.7	8.9	-1.1	25.9	-0.5	2.8	19.6	7.8
Telecommunication services	-1.0	38.0	-1.6	35.4	83.6	-0.5	88.4	1.2	18.1	0.3	6.7	0.2	2.7	7.9	-0.2
Cosmetics/apparel/toys	-1.0	38.0	-1.2	41.4	-11.4	0.9	-5.2	0.8	-11.3	0.8	17.4	0.9	13.0	17.6	18.1
Automobiles	-1.1	42.0	0.2	47.5	8.2	-5.2	25.3	-5.4	-5.0	-3.9	11.8	-5.0	5.4	11.1	9.9
Hotel/leisure services	-1.2	44.0	-1.4	39.4	5.4	-5.1	32.3	-5.5	3.0	-2.6	16.8	-2.0	7.1	20.8	11.8
IT Hardware	-1.2	46.0	0.0	49.5	70.8	-6.0	101.6	-0.7	115.6	-3.4	77.1	0.7	16.7	67.2	46.0
Display	-1.2	46.0	-1.1	40.4	-30.9	-19.9	35.0	-12.9	-4.2	-14.1	51.2	-8.9	4.1	683.5	17.9
Non-ferrous metals/timber	-1.2	40.0	0.1	48.5	18.3	0.5	0.1	-0.6	30.2	1.4	-10.2	-1.9	4.7	-4.2	2.2
Retail	-1.3	38.0	-1.5	40.4	29.5	-2.4	45.0	-1.2	32.8	-1.0	16.9	-0.7	4.3	31.5	4.3
Steel	-1.4	34.0	-0.6	44.4	19.9	-2.4	5,174.2	-2.7	53.5	-2.0	35.9	-0.6	4.5	41.0	13.5
Utilities	-1.5	36.0	-1.3	38.4	-51.1	-7.2	-48.1	-2.9	-32.5	-1.5	30.0	-1.7	1.5	34.9	10.1
Banking	-2.0	30.0	0.1	47.5	10.0	-1.9	3.8	-2.9	9.8	-0.4	5.6	-0.6	1.6	5.5	12.3

Note: based on Oct 8 closing prices. Market and sector classifications follow KOSPI WI26. Relative returns versus the market are monthly averages for each respective phase since 2005

Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

Outperforming stocks during bull steepening

- We further screen for stocks meeting all three criteria of: 1) a record of outperforming the KOSPI during both global macro Goldilocks conditions (quadrant II: positive CESI and negative CISI) and US yield curve bull steepening since 2005; 2) earnings momentum for 3Q26-4Q26 and 2027; and 3) pricing power, as indicated by SPS% < EPS% or CPS%.
- **Samsung Electronics, Samsung Electro-Mechanics, Doosan Enerbility, Celltrion, HD Korea Shipbuilding & Offshore Engineering, Hyundai E&C, APR, and Isu Petasys qualify as potential outperformers.**

Stocks with 2026-2027 earnings momentum that have outperformed the KOSPI during US yield curve bull steepening and global macro Goldilocks conditions since 2005

	Bull-steepening phase average (%)		Goldilocks phase average (%)		3Q26E OP (%)		4Q26E OP (%)		2026E OP (%)		2027E OP (%)		Pricing power (%)		
	Relative return	Hit ratio	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
Doosan Enerbility	3.3	42.0	3.8	48.4	81.2	0.1	55.6	-0.9	48.0	-0.1	45.0	0.8	11.9	80.2	35.0
Doosan	2.3	46.0	3.8	52.6	102.4	3.7	90.3	-2.3	69.9	-0.4	40.2	1.0	27.5	65.1	38.0
Tokai Carbon Korea	2.2	44.0	3.3	47.4	46.0	1.8	95.5	2.8	48.0	0.6	35.5	1.0	25.1	30.2	27.4
Hanwha Solutions	2.1	44.0	2.8	48.4	TTB	0.5	TTB	1.2	TTB	2.0	45.6	1.2	-2.7	40.6	11.4
Hyundai E&C	2.0	44.0	1.1	48.4	107.0	0.8	78.4	1.2	33.1	0.0	31.2	1.1	5.8	30.1	20.9
Hanwha Systems	1.8	56.0	0.4	47.4	26.3	3.1	942.5	-5.1	112.0	2.3	78.5	0.1	11.9	207.0	103.7
Samsung Electro-Mechanics	1.7	56.0	1.9	56.8	146.8	7.6	185.2	8.2	124.0	5.1	96.5	7.8	28.6	96.2	70.8
APR	1.5	48.0	0.7	44.2	105.3	0.6	77.3	0.8	109.8	0.0	40.2	0.0	37.6	40.0	37.8
Isu Petasys	1.3	42.0	2.6	45.3	64.9	1.8	90.2	3.3	70.1	1.1	52.0	3.2	40.2	53.8	52.3
HDKSOE	1.1	46.0	1.5	46.3	49.7	-0.6	60.3	0.4	58.6	0.6	19.2	0.3	9.0	18.8	15.5
Hansol Chemical	1.1	50.0	0.9	48.4	7.5	-1.4	98.9	-3.5	15.5	-0.9	26.1	0.8	17.5	23.5	18.9
Samsung Electronics	0.8	50.0	0.8	54.7	771.3	-4.6	478.5	-5.1	749.5	-5.0	49.9	0.1	34.1	49.1	43.6
KEPCO E&C	0.8	50.0	1.3	46.3	229.6	1.8	13.5	-1.5	77.3	-2.7	52.6	1.1	29.7	52.6	37.9
Doosan Tesna	0.7	54.0	0.7	44.2	63.9	-1.3	3.1	1.6	TTB	-2.2	192.3	6.0	46.0	180.8	56.3
Celltrion	0.3	44.0	1.8	50.5	69.1	0.1	23.0	-0.3	59.3	0.3	23.3	1.3	17.3	19.6	16.5

Note: based on Oct 8 closing prices. Relative returns versus the market are monthly averages for each respective phase since 2005. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations.
Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

2) Selective approach to AI/semiconductor and non-AI/semiconductor stocks: i) AI/semiconductor stocks sensitive to hyperscaler revenue growth

- Under the WI26 sector classification, we define semiconductors, IT appliances, IT hardware, and machinery (including power equipment and nuclear power) as the AI/semiconductor value chain.
- In 2027, to cushion the burden of capex, major Big Tech firms and hyperscalers are likely to focus on aggressively expanding their revenue through new services, such as Meta's AI agent "Muse" and OpenAI's "dots," and entering new businesses, rather than further margin expansion.
- **Within Korea's AI/semiconductor value chain, oversold stocks with 2026-2027 earnings momentum whose share prices have shown a strong correlation with revenue growth at the five major hyperscalers offer additional sources of alpha.**

Oversold AI/semiconductor stocks with earnings momentum and high sensitivity to revenue growth at the 5 major hyperscalers

Company	Share price decline since the KOSPI peak on June 22 (%)	Share price correlation with revenue growth at the 5 major hyperscalers			2026E OP (%)		2027E OP (%)	
		Share price sensitivity (%p)	Correlation coefficient		YoY	1-mo chg	YoY	1-mo chg
			Since 2023	Since 2025				
SK Square	-46.7	50.6	0.79	0.85	465.0	3.1	23.6	2.3
SK Hynix	-42.4	41.6	0.77	0.82	457.9	-0.7	52.6	1.6
Hyosung Heavy Industries	-35.0	31.9	0.83	0.86	49.7	-1.0	39.8	-0.3
VM	-34.7	32.3	0.82	0.88	275.4	0.4	46.7	-1.6
Samsung Electro-Mechanics	-30.6	41.3	0.65	0.72	124.0	5.1	96.5	7.8
Intellian Technologies	-30.5	14.1	0.73	0.90	207.6	0.3	54.3	0.5
Cymechs	-28.0	12.3	0.75	0.85	53.7	0.0	27.3	0.0
MK Electron	-26.9	12.2	0.65	0.79	702.9	166.8	53.1	120.2
LTC	-26.6	19.0	0.76	0.88	147.6	0.0	60.1	0.0
Samsung Electronics	-25.9	22.8	0.76	0.87	749.5	-5.0	49.9	0.1
Komico	-23.5	13.3	0.78	0.85	8.1	0.0	35.8	1.9
Haesung DS	-23.2	15.6	0.74	0.84	122.0	0.2	45.1	1.3
Wonik IPS	-22.5	30.4	0.79	0.89	139.8	-1.3	53.3	-0.9
LS Electric	-20.2	17.5	0.63	0.55	69.1	0.1	43.8	0.0
PSK	-19.5	27.0	0.72	0.81	114.4	2.0	22.6	-0.5
AD Technology	-17.9	12.3	0.68	0.89	233.3	0.0	223.2	0.0
Doosan Enerbility	-17.2	21.9	0.71	0.61	48.0	-0.1	45.0	0.8
Sungho Electronics	-12.2	206.1	0.73	0.84	443.0	-6.1	163.7	0.4
Doosan Tesna	-12.2	23.4	0.73	0.81	TTB	-2.2	192.3	6.0
Tes	-10.5	26.7	0.80	0.85	79.4	-2.1	35.9	-1.9

Note: based on Oct 8 closing prices. Correlation coefficients measure the relationship between YoY growth in the 5 major hyperscalers' combined quarterly revenue and YoY changes in each stock's quarterly average share price. Sensitivity measures the change in the share price growth rate corresponding to a 1%p change in revenue growth. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations.

Source: Bloomberg, FnGuide Quantiwise, Yuanta Securities

ii) Non-AI/semiconductor stocks whose worst-case 2027 earnings estimates exceeds their best-case 2026 estimates

- Based on WI26 industry classification, we define the non-AI/semiconductor value chain as all industries other than semiconductors, IT appliances, IT hardware, and machinery (including power equipment and nuclear power).
- The strategy for the non-AI/semiconductor value chain should focus on hedging underlying export and earnings uncertainty. The objective is to identify safe havens capable of delivering steady earnings growth even under the worst-case scenario.
- **We seek additional portfolio alpha by concentrating on sectors with 2026-2027 earnings momentum whose worst-case 2027 earnings estimates substantially exceeds their best-case 2026 estimates.**

Non-AI/semiconductor stocks with earnings momentum where the worst-case 2027 OP estimate exceeds the best-case 2026 OP estimate

Company	Best-case 2026 OP estimate (Wbn)	Worst-case 2027 OP estimate (Wbn)	2026E OP (%)		2027E OP (%)		12-mo-fwd valuation (x)	
			YoY	1-mo chg	YoY	1-mo chg	P/E	P/B
Hanwha Aerospace	4,893.0	5,145.0	50.5	0.0	22.7	-0.3	16.7	3.2
Samsung C&T	3,978.2	4,185.0	15.1	-0.6	16.2	0.0	15.9	0.7
Celltrion	1,972.1	2,040.1	59.3	0.3	23.3	1.3	22.9	2.0
Coway	1,040.4	1,142.4	15.3	0.0	16.8	0.0	8.7	1.5
APR	821.0	912.0	109.8	0.0	40.2	0.0	17.7	10.3
Samyang Foods	739.7	816.3	39.3	-0.5	22.7	0.1	13.4	3.8
Amorepacific	511.2	530.0	45.9	1.1	17.1	2.2	22.0	1.6
LIG Defense&Aerospace	487.5	542.4	40.4	0.0	39.0	-0.6	27.8	6.4
OCI Holdings	395.0	435.0	TTB	-0.4	60.0	-0.7	14.4	1.0
Kolmar Korea	363.9	393.0	45.6	0.9	19.7	1.5	13.8	2.6
HYBE	327.3	397.6	476.0	-0.2	71.1	-0.7	20.1	1.9
Hanwha Systems	312.0	342.9	112.0	2.3	78.5	0.1	37.7	2.4
PharmaResearch	285.7	296.0	27.2	0.4	25.1	0.8	13.2	3.3
Hanwha Engine	239.3	296.2	70.8	-2.2	74.2	4.0	11.9	3.4
Hansol Chemical	188.4	209.3	15.5	-0.9	26.1	0.8	15.1	2.2

Note: based on Oct 8 closing prices. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations.
Source: FnGuide Quantiwise, Yuanta Securities

3) Positioning ahead of potential inclusion in KOSDAQ Select Index, scheduled to launch in 2027

- **Policy discussions initiated in 2026 on introducing KOSDAQ market tiers, allowing for promotion and demotion, and measures to revitalize the small- and mid-cap growth stock market are expected to take shape through the launch of the tentatively named KOSDAQ Select Index in 2027.**
- The plan is to: 1) divide the KOSDAQ market into three tiers (Select, General, and Watchlist); 2) broaden Select Index eligibility criteria to include innovation and growth alongside stability; and 3) attract more institutional and foreign investment through indices and ETFs based on these tiers.
- Combining the government's policy direction to date with the Nasdaq Global Select methodology, we derive a prospective KOSDAQ Select Index methodology and identify potential constituents.
- We identify 84 leading candidates that meet: 1) all common criteria (ranking in the top 25% by both free-float market cap and 12-month average daily trading value, a share price of at least W5,000, and a free-float ratio of at least 35%); and 2) at least one of four financial criteria: i) positive pretax profit in each of the past three years, with cumulative pretax profit in the top 10% and the latest two years accounting for at least 50% of the three-year total; ii) top-10% rankings by market cap, cumulative three-year operating cash flow, and trailing four-quarter revenue; iii) a top-5% ranking by market cap and a top-10% ranking by revenue; or iv) a top-20% ranking by market cap and top-10% rankings by both total assets and equity.

Prospective methodology for the KOSDAQ Select Index, scheduled to launch in 2027, combining government policy direction with the Nasdaq Global Select methodology

Criteria		Nasdaq Global Select eligibility requirements	Prospective KOSDAQ Select Index	
			Requirements	Minimum threshold
Common criteria: liquidity and governance		Publicly held shares valued at $110mn or more, or $100mn or more if shareholders' equity is at least $110mn	Top 25% by free-float market cap	Approximately W100bn
		Share price of at least $4	Share price of at least W5,000	-
		Meet at least one condition: 1) at least 550 shareholders and average monthly trading volume of at least 1.1mn shares over 12 months; 2) at least 2,200 shareholders; or 3) at least 450 shareholders holding 100 shares or more	Top 25% by 12-month average daily trading value	Approximately W4.5bn
		At least 1.25mn publicly held shares	Free-float ratio of at least 35%	-
Financial criteria (At least one of four financial criteria must be met)	Earnings	Cumulative pretax profit of at least $11mn over the past three years, with positive profit in all three years	Top 10% by cumulative pretax profit over the past three years, with positive profit in all three years	Approximately W80bn
		Pretax profit of at least $2.2mn in each of the past two years	The latest two years account for at least 50% of cumulative three-year pretax profit	Approximately W40bn
	ii) Market cap + cash flow + revenue	12-month average market cap of at least $550mn	Top 10% by 12-month average market cap	Approximately W600bn
		Cumulative cash flow of at least $27.5mn over the past three years, with positive cash flow in all three years	Top 10% by cumulative operating cash flow over the past three years, with positive operating cash flow in all three years	Approximately W100bn
		Prior-year revenue of at least $110mn	Top 10% by trailing four-quarter revenue	Approximately W450bn
	iii) Market cap + revenue	12-month average market cap of at least $850mn	Top 5% by 12-month average market cap	Approximately W1.2tn
		Prior-year revenue of at least $90mn	Top 10% by trailing four-quarter revenue	Approximately W450bn
	iv) Assets + equity	Market cap of at least $160mn	Top 20% by annual average market cap	Approximately W300bn
		Total assets of at least $80mn	Top 10% by total assets	Approximately W650bn
		Shareholders' equity of at least $55mn	Top 10% by total equity	Approximately W350bn

Source: NASDAQ, Yuanta Securities

Identifying potential KOSDAQ Select Index constituents

- Among the leading candidates for inclusion in the KOSDAQ Select Index in 2027, investors should focus on stocks with 2027 earnings momentum to capture a potential reappraisal of the KOSDAQ small- and mid-cap market.
- **Jusung Engineering, HPSP, PharmaResearch, Simmtech, TCK, Silicon2, PSK Holdings, Sungho Electronics, TSE, Park Systems, Doosan Tesna, Seegene, Komico, Hana Materials, Cosmecca Korea, Sungkwang Bend, and Taekwang fit this strategy of positioning ahead of potential KOSDAQ Select Index inclusion.**

Screening leading candidates for KOSDAQ Select Index inclusion with full-year 2027 earnings momentum

Company	12-month average market cap (Wbn)	Free-float ratio (%)	12-month average daily trading value (Wbn)	Financial indicators (Wbn)					2027E OP (%)	
				Cumulative three-year net profit attributable to controlling shareholders	Cumulative three-year operating cash flow	Trailing four-quarter revenue	Total assets	Total equity	YoY	1-mo chg
Jusung Engineering	6,106.1	67.0	297.3	213.4	194.9	225.8	866.4	592.0	297.3	213.4
HPSP	3,872.9	78.0	185.0	312.4	250.4	162.8	407.0	313.5	185.0	312.4
PharmaResearch	3,622.7	65.0	54.8	433.0	386.2	603.6	1,107.2	753.7	54.8	433.0
Simmtech	3,467.0	69.0	82.2	-346.5	-453.3	1,703.1	1,840.1	649.0	82.2	-346.5
Tokai Carbon Korea	2,686.3	47.0	20.6	257.4	149.5	340.6	604.9	551.5	20.6	257.4
Silicon2	2,594.7	56.0	38.6	413.5	42.8	1,354.5	964.5	688.9	38.6	413.5
PSK Holdings	2,439.5	35.0	28.5	273.1	180.5	217.3	642.9	537.4	28.5	273.1
Sungho Electronics	2,100.6	48.0	84.5	153.4	49.8	267.0	1,359.3	413.3	84.5	153.4
TSE	1,973.0	39.0	23.3	99.8	80.9	567.7	788.3	473.9	23.3	99.8
Park Systems	1,846.8	66.0	12.3	115.6	90.5	194.8	473.9	340.3	12.3	115.6
Doosan Tesna	1,840.8	60.0	38.4	76.2	577.0	326.4	732.2	451.1	38.4	76.2
Seegene	1,431.4	65.0	9.4	45.6	329.7	509.3	1,266.1	1,039.0	9.4	45.6
Komico	1,351.6	54.0	18.0	256.7	219.0	656.2	1,284.0	286.7	18.0	256.7
Hana Materials	1,199.6	53.0	14.2	132.2	188.4	334.3	862.6	613.2	14.2	132.2
Kakao Games	1,052.5	66.0	4.6	-648.7	107.7	384.3	2,756.6	1,323.2	4.6	-648.7
Cosmecca Korea	958.4	60.0	11.2	191.6	166.5	772.1	734.7	273.8	11.2	191.6
Sungkwang Bend	853.5	65.0	8.9	146.9	101.9	247.1	600.3	562.0	8.9	146.9
Seobu T&D	815.1	49.0	10.0	382.3	218.4	304.5	3,224.7	1,064.5	10.0	382.3
Taekwang	770.9	52.0	10.8	214.7	132.9	328.0	850.8	706.6	10.8	214.7
MK Electron	414.9	66.0	20.3	-53.7	-318.7	1,765.3	2,679.4	415.5	20.3	-53.7

Note: Based on Oct 8 closing prices. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations.

Source: FnGuide Quantiwise, Yuanta Securities

Appendix: 84 potential KOSDAQ Select Index constituents (1)

Company	12-month average market cap (Wbn)	Free-float ratio (%)	12-month average daily trading value (Wbn)	Financial indicators (Wbn)				
				Cumulative three-year net profit attributable to controlling shareholders	Cumulative three-year operating cash flow	Trailing four-quarter revenue	Total assets	Total equity
Alteogen	19,364.76	80.0	201.55	195.78	169.41	254.01	739.91	536.47
Ecopro	16,127.67	74.0	243.75	-366.73	908.81	3,314.26	11,439.01	2,229.19
Ecopro BM	15,981.10	55.0	114.62	66.38	905.47	2,304.15	5,431.38	1,795.20
Leeno Industrial	6,743.89	74.0	94.79	484.64	399.97	424.56	856.87	776.76
HLB	6,318.95	90.0	49.81	-562.59	-318.53	97.47	907.98	344.27
Jusung Engineering	6,106.13	67.0	297.31	213.40	194.88	225.82	866.44	591.95
Wonik IPS	5,733.68	66.0	135.72	102.72	222.57	924.80	1,493.48	1,073.56
EO Technics	5,116.99	69.0	60.35	210.71	187.23	444.72	831.37	748.20
ISC	3,893.57	51.0	51.28	153.74	114.76	278.05	652.91	582.14
HPSP	3,872.85	78.0	184.96	312.40	250.41	162.79	407.02	313.46
PharmaResearch	3,622.74	65.0	54.83	433.03	386.23	603.58	1,107.18	753.67
Simmtech	3,467.01	69.0	82.18	-346.50	-453.27	1,703.13	1,840.12	649.03
Classys Inc.	3,202.44	40.0	17.70	390.41	331.37	369.11	774.75	549.53
PSK	3,096.40	67.0	54.52	255.82	179.54	570.87	750.71	614.91
Hugel, Inc.	3,067.17	44.0	16.41	495.20	416.82	479.57	1,192.01	1,055.21
Eugene Technology	2,996.05	62.0	33.70	162.88	175.67	386.23	681.21	543.50
Soulbrain	2,888.03	53.0	23.28	441.87	630.31	1,060.86	1,599.93	1,149.35
PearlAbyss Corp.	2,823.33	55.0	40.92	90.81	50.96	768.06	1,280.47	1,046.05
Seojin System	2,776.58	74.0	88.82	12.87	-110.64	1,216.84	3,035.66	986.50
Tokai Carbon Korea	2,686.29	47.0	20.61	257.35	149.51	340.56	604.93	551.45
ST Pharm	2,655.34	62.0	22.70	124.82	124.74	386.46	848.03	629.48
Silicon2	2,594.69	56.0	38.60	413.53	42.79	1,354.48	964.46	688.90
Dongjin Semichem	2,506.52	65.0	39.08	447.46	532.81	1,284.10	2,256.02	1,225.33
Hana Micron Inc.	2,485.26	74.0	82.87	91.96	299.01	2,073.30	2,435.67	552.51
PSK HOLDINGS	2,439.51	35.0	28.46	273.09	180.50	217.26	642.91	537.38
Celltrion Pharm	2,274.92	45.0	6.58	105.68	151.78	577.99	779.18	449.20
Jeju Semiconductor	2,247.47	86.0	213.50	88.00	18.38	673.13	731.05	446.90
BHI	2,208.22	68.0	39.22	79.35	195.98	1,046.61	1,100.00	201.91

Note: Based on Oct 8 closing prices. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations

Source: FnGuide Quantiwise, Yuanta Securities

Appendix: 84 potential KOSDAQ Select Index constituents (2)

Company	12-month average market cap (Wbn)	Free-float ratio (%)	12-month average daily trading value (Wbn)	Financial indicators (Wbn)				
				Cumulative three-year net profit attributable to controlling shareholders	Cumulative three-year operating cash flow	Trailing four-quarter revenue	Total assets	Total equity
Wonik Holdings	2,182.9	50.0	47.1	6.0	351.9	588.0	2,059.0	1,028.9
Tes	2,178.1	62.0	54.8	117.9	141.6	405.5	565.9	467.6
Sungho Electronics	2,100.6	48.0	84.5	153.4	49.8	267.0	1,359.3	413.3
SM Entertainment	2,040.1	58.0	12.9	512.7	443.5	1,269.3	2,009.1	1,031.9
JYP Entertainment	1,988.3	77.0	16.3	515.2	364.9	834.4	875.3	648.6
TSE	1,973.0	39.0	23.3	99.8	80.9	567.7	788.3	473.9
Park System	1,846.8	66.0	12.3	115.6	90.5	194.8	473.9	340.3
Doosan Tesna	1,840.8	60.0	38.4	76.2	577.0	326.4	732.2	451.1
Vitcell	1,552.8	62.0	21.5	180.8	162.2	277.1	427.0	358.8
Seegene	1,431.4	65.0	9.4	45.6	329.7	509.3	1,266.1	1,039.0
S&S Tech	1,423.1	77.0	22.4	113.6	108.5	253.3	417.0	335.4
Harim Holdings	1,366.8	42.0	19.6	1,002.7	2,925.4	14,346.0	19,669.5	3,620.1
Komico	1,351.6	54.0	18.0	256.7	219.0	656.2	1,284.0	286.7
HK inno.N	1,303.0	53.0	8.7	208.2	350.9	1,078.6	2,022.5	1,350.7
Shinsung Delta Tech	1,297.3	67.0	8.9	72.5	51.4	1,040.9	1,092.0	268.1
Chabiotech	1,246.6	63.0	7.9	-143.0	-110.6	1,311.4	2,859.0	415.7
Hana Materials Inc.	1,199.6	53.0	14.2	132.2	188.4	334.3	862.6	613.2
SAMPYO Cement	1,175.9	31.0	69.3	162.0	340.1	696.4	1,397.4	780.3
Kakao Games	1,052.5	66.0	4.6	-648.7	107.7	384.3	2,756.6	1,323.2
People&Technology	976.7	82.0	9.7	356.6	4.2	698.7	2,003.6	735.9
YG Entertainment	968.5	72.0	10.6	197.2	184.6	619.7	843.8	520.6
Cosmecca Korea	958.4	60.0	11.2	191.6	166.5	772.1	734.7	273.8
Duksan Neolux	955.8	55.0	8.6	159.9	169.3	392.9	779.1	488.1
Itcenglobal	927.6	75.0	16.4	311.3	235.3	11,548.2	1,526.0	164.5
Dongkook Pharmaceutical	915.5	56.0	10.5	238.2	186.6	979.6	1,117.7	696.6
Enchem	886.2	92.0	15.2	-671.3	38.6	366.9	1,061.6	434.7
Sungkwang Bend	853.5	65.0	8.9	146.9	101.9	247.1	600.3	562.0
SAMT	844.0	48.0	11.8	187.4	-118.6	6,450.1	2,324.1	833.3

Note: based on Oct 8 closing prices. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations

Source: FnGuide Quantiwise, Yuanta Securities

Appendix: 84 potential KOSDAQ Select Index constituents (3)

Company	12-month average market cap (Wbn)	Free-float ratio (%)	12-month average daily trading value (Wbn)	Financial indicators (Wbn)				
				Cumulative three-year net profit attributable to controlling shareholders	Cumulative three-year operating cash flow	Trailing four-quarter revenue	Total assets	Total equity
Seobu T&D	815.1	49.0	10.0	382.3	218.4	304.5	3,224.7	1,064.5
SFA Nexel	813.5	67.0	37.0	142.2	59.2	291.1	689.7	533.4
Wonik QnC	809.5	59.0	12.7	150.3	244.6	1,007.4	1,624.0	534.2
Cheryong Electric	808.6	67.0	18.1	249.2	202.4	183.8	283.4	247.8
Global Standard Technology	773.3	73.0	13.9	164.0	143.5	392.5	424.1	322.6
Taekwang	770.9	52.0	10.8	214.7	132.9	328.0	850.8	706.6
Kona I	729.3	60.0	6.8	172.4	205.3	344.7	588.1	281.6
Taewoong	728.8	46.0	14.3	63.0	114.5	370.7	834.2	617.8
ENF Technology	701.4	65.0	6.4	103.4	262.7	698.8	794.9	482.5
WeMade Entertainment	699.2	60.0	4.7	-2.2	-23.0	617.0	1,657.8	395.3
Solid, Inc.	686.1	88.0	63.7	143.0	134.6	316.7	601.0	375.2
Dongsung Finetec	664.5	62.0	5.1	162.2	217.0	770.2	507.4	290.6
NHN KCP	661.6	51.0	17.1	165.7	202.6	1,381.4	698.9	314.2
Protec	628.9	63.0	4.8	94.6	74.6	275.4	527.0	397.5
Wontech	602.3	46.0	6.3	132.6	92.0	167.4	278.8	173.0
Seoul Semiconductor	601.1	68.0	13.6	-131.6	268.2	1,053.0	1,140.2	647.0
GnCenergy	600.1	66.0	18.5	117.0	112.5	257.5	409.5	244.4
Mico	591.9	72.0	9.7	218.3	186.9	1,184.7	2,647.9	184.0
Sungwoo Hitech	582.0	55.0	7.4	634.9	1,244.4	4,375.7	5,385.0	1,799.5
Innox Advanced Materials	551.5	63.0	9.8	212.0	263.2	418.9	1,171.5	433.7
Hanyang ENG	537.2	50.0	5.1	247.8	248.1	1,255.2	998.2	706.2
Woori Technology Investment	516.6	65.0	12.1	467.6	-8.7	72.5	1,034.6	853.5
YG-1	516.0	69.0	14.4	96.6	129.4	768.1	1,506.7	502.1
Samji Electronics	499.7	38.0	7.6	316.1	-66.2	6,939.1	2,800.2	679.6
Systems Technology Incorporated	446.9	71.0	7.4	84.5	63.7	303.1	346.5	292.3
MK Electron	414.9	66.0	20.3	-53.7	-318.7	1,765.3	2,679.4	415.5
WCP	378.5	64.0	10.8	-176.0	91.1	135.4	1,955.6	902.8
Vitzro Tech	287.6	40.0	10.0	154.9	151.7	458.9	708.8	259.3

Note: based on Oct 8 closing prices. Stocks were selected through quantitative analysis and may differ from the firm's official investment recommendations

Source: FnGuide Quantiwise, Yuanta Securities

Top picks for 2027

Company	Market cap and share price			Valuation				
	Mkt cap (Wtn)	Current price (won)	Target price (won)	P/E (x)	P/B (x)	EPS growth (%)	ROE (%)	Dividend yield (%)
Samsung Electronics	1,531.7	262,000	630,000	4.1	1.7	49.1	40.4	2.4
SK Hynix	1,228.0	1,681,000	3,300,000	3.9	1.9	26.0	48.4	2.5
Samsung Electro-Mechanics	115.5	1,546,000	2,300,000	41.5	8.6	96.2	20.7	0.2
KB Financial Group	57.7	162,800	235,000	8.7	0.9	5.8	9.9	3.3
Doosan Enerbility	50.0	78,000	149,000	88.4	5.6	80.2	6.4	0.0
Samsung SDI	45.9	569,000	913,000	33.8	1.8	49.3	5.3	0.0
Celltrion	41.8	179,600	280,000	22.9	2.0	19.6	8.9	0.4
LS Electric	29.3	195,500	300,000	39.7	9.8	44.0	24.6	0.7
S-Oil	19.0	168,700	205,000	7.2	1.5	-17.2	20.2	3.6
LIG Defense&Aerospace	13.6	616,000	1,050,000	27.8	6.4	36.2	23.1	0.7
Hyundai E&C	12.0	107,800	205,000	18.9	1.3	30.1	6.7	0.9
HDHMS	9.8	219,500	448,000	24.2	8.7	18.8	35.7	3.0
Daeduck Electronics	7.8	157,700	200,000	25.8	6.0	43.3	23.3	0.3
Intellian Technologies	0.7	63,000	180,000	13.9	1.8	15.9	13.1	0.3
Tomocube	0.4	33,250	n/r	347.9	11.5	TTB	3.3	0.0

Note: based on Oct 8 closing prices

Source: FnGuide Quantiwise, Yuanta Securities

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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